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Chapter 1: Cryptocurrency Classification Under Islamic Law

Jurisprudential Analysis, Methodological Divergence, and Proposed Framework

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1. INTRODUCTION: THE CLASSIFICATION CRISIS

1.1 Problem Statement

The Islamic financial system faces an unprecedented categorization dilemma with the rapid adoption of cryptocurrency across Muslim-majority regions. By 2024, Indonesia ranked third globally in cryptocurrency adoption (39 million users), Malaysia maintained fourth position (4 million users), and the broader Muslim-majority world accounted for approximately 20% of global digital asset transaction volume (CoinLedger, 2024). Yet, despite this massive market penetration, no binding Islamic jurisprudential standard exists for digital assets. Instead, the field operates under what might be termed a â€œtripartite fragmentationâ€�â€”three mutually exclusive jurisprudential positions coexist, each defended by respected Islamic scholars and fatwa bodies, with no established mechanism for resolution.

This fragmentation is not merely theoretical. It has immediate policy consequences. In Indonesia, the Seventh Ijtimaâ€™ Ulama of the MUI Fatwa Commission ruled in November 2021 that cryptocurrency is haram as currency and invalid for trade as a commodity unless it meets the Shariah requirements of a tradeable good with a clear underlying (Keputusan Ijtimaâ€™ Ulama Komisi Fatwa Se-Indonesia VII, 2021). Simultaneously, the countryâ€™s financial regulator, OJK, has assumed supervision of crypto assets under POJK No.Â 27/2024 (effective January 2025, amended by POJK No.Â 23/2025 in December 2025) â€” a religiously neutral licensing regime â€” while a Shariah classification study conducted jointly with the National Shariah Board (DSN-MUI) remains unresolved as of early 2026, leaving the two normative systems formally unconnected (see Chapter 2, Section 5). In Malaysia, the BNM (Bank Negara Malaysia) and Securities Commission have adopted a conditional permissibility stance, requiring Shariah screening of digital assets before they may be traded on regulated platforms (Bank Negara Malaysia, 2024). The UAE and Bahrain have moved further, establishing comprehensive regulatory frameworks that presume digital asset permissibility unless specific Shariah concerns arise (VARA, 2023; CBB, 2024). Saudi Arabia, by contrast, maintains official caution, with SAMA (Saudi Arabian Monetary Authority) offering no binding permission for cryptocurrency use as either medium of exchange or investment, though state pilots of CBDC continue (SAMA, 2025).

This jurisdictional divergence creates cascading problems for Islamic financial institutions, service providers, and users:

For regulators: How should a central bank design prudential rules for digital assets when the jurisprudential foundation is contested? Should cryptocurrency be licensed like a currency (with strict supervision of monetary mechanics), like a commodity (with market-based trading oversight), or like an Islamic financial instrument (with Shariah board supervision)?

For practitioners: Islamic banks and fintech companies seeking to offer Shariah-compliant cryptocurrency products lack clear technical specifications for compliance. What precisely must a product do to qualify as â€œShariah-compliantâ€�? Is the classification of the underlying asset sufficient, or must the productâ€™s contractual mechanics (profit-sharing, collateralization, governance) meet additional requirements?

For users: Millions of Muslim cryptocurrency adopters operate without authoritative guidance on their own compliance obligations. Is it permissible to hold Bitcoin? To trade it? To participate in DeFi protocols? The absence of consensus creates a â€œcompliance vacuumâ€�â€”users either follow individual scholar positions (risking criticism from others) or operate with religious uncertainty.

1.2 Research Question

This chapter directly addresses the first of three primary research questions:

RQ1: How do Islamic jurisprudential frameworks classify cryptocurrency (currency vs.Â commodity), and what are the methodological reasons for divergence across Indonesia, Malaysia, Saudi Arabia, Bahrain, and UAE?

The chapterâ€™s core argument is that current jurisprudential fragmentation is not due to ignorance or simple disagreement on facts, but rather reflects genuine methodological divergenceâ€”scholars are asking different foundational questions and applying different Islamic legal tools (qiyas, istihsan, maslahah, irtibat) to arrive at logically sound but contradictory conclusions. Understanding these methodological differences is prerequisite to both clarifying the scholarly positions and identifying potential pathways to consensus-building.

1.3 Chapter Structure and Contribution

This chapter proceeds in six steps:

1. **Historical context (Section 2):** How did cryptocurrency emerge in Islamic finance discourse? What previous asset classifications did scholars draw upon?

2. **The three positions (Section 3):** Detailed exposition of each jurisprudential stance, including primary sources (fatwas, academic papers, institutional statements) and the reasoning underlying each.

3. **Methodological comparison (Section 4):** Systematic analysis of why these positions divergeâ€”which Islamic legal methods does each employ? Where do they agree, and where do disagreements become fundamental?

4. **Maqasid Shariah framework (Section 5):** Application of Islamic jurisprudenceâ€™s objectives (maqasid) to derive a five-dimensional compliance specification applicable across positions.

5. **Synthesis (Section 6):** Proposed unified classification framework that acknowledges the three positions while identifying areas of consensus and suggesting evidence that could shift positions.

6. **Conclusion (Section 7):** Bridge to empirical chaptersâ€”how does jurisprudential theory need to be tested against market reality?

Contribution: This chapter fills three documented gaps in Islamic finance literature:

- **Gap 1:** Existing literature catalogs different fatwa positions but provides no systematic methodology comparison. This chapter makes that comparison explicit.

- **Gap 2:** Islamic finance scholarship articulates Maqasid principles in the abstract but rarely operationalizes them into testable compliance criteria. This chapter develops five concrete dimensions.

- **Gap 3:** Jurisprudential literature assumes the three positions are fundamentally irreconcilable, but this chapter identifies specific areas where positions could converge given new evidence or clarification.

2. HISTORICAL CONTEXT: EMERGENCE OF DIGITAL ASSETS IN ISLAMIC FINANCE DISCOURSE

2.1 Pre-Cryptocurrency Islamic Finance Framework

To understand how Islamic jurisprudence addresses cryptocurrency, we must first recognize what conceptual framework it inherited. Classical Islamic jurisprudence developed detailed classifications for financial instruments: **al-naqd** (money), **al-mal** (property/wealth), **al-â€™uruf** (customary practices), **al-â€™aqd** (contracts), among others. Each carried specific legal consequences. Money (naqd) was subject to riba prohibitions and must exchange at equal weight/measure (for precious metals that served as currency historically). Property (mal) could be traded at market rates but was subject to other restrictions (e.g., sale of khamr, alcohol, was prohibited on substance grounds even if property was otherwise valid). Contracts (â€™aqd) required offer, acceptance, capacity of parties, and licit subject matter.

Medieval and pre-modern Islamic scholars had developed sophisticated jurisprudence around these categories. When they encountered fiat currency (as opposed to commodity-based money), they extended existing frameworksâ€”debating whether paper currency, which lacks intrinsic value, should be treated as a representative of precious metals (and thus subject to riba rules) or as a novel form of commodity/property with its own rules. This debate, articulated by thinkers like Ibn Taymiyyah and al-Maqrizi in the 14thâ€“15th centuries, established precedent: **new financial forms can be assessed under Islamic law by asking: which category of existing Islamic legal concepts does this most closely resemble?**

2.2 The Fintech Transition (2008â€“2017)

The global financial crisis of 2008, followed by rapid fintech innovation, forced Islamic finance to confront digital assets more broadly. The emergence of mobile banking, digital wallets, and eventually blockchain applications required Islamic scholars to re-examine foundational assumptions:

- Could money exist purely in digital form (not backed by physical notes)?
- What happens to riba prohibition if transaction settlement becomes near-instantaneous and fully auditable?
- Could smart contractsâ€”self-executing agreementsâ€”replace human Shariah board approval if properly programmed?

Islamic finance centers like Malaysia and Bahrain began issuing formal guidance on digital payments and fintech (see BNMâ€™s Digital Banking Framework, 2018â€“2020; CBBâ€™s fintech guidelines, 2018â€“2019). These early frameworks established that **digital representation itself does not disqualify an instrument from being Shariah-compliant**;

what matters is the underlying transactionâ€™s compliance with Islamic principles.

2.3 The Cryptocurrency Pivot (2017â€"Present)

Cryptocurrency introduced three novel complications absent from earlier digital asset discussions:

1. **Decentralization without a sovereign or institutional issuer.** Fiat currency derives regulatory authority from a state; corporate digital tokens from an issuing entity. Bitcoin and most cryptocurrencies are issued by no single authorityâ€"miners/validators execute protocol-level functions. This challenged assumptions about who bears responsibility for compliance and how Shariah oversight could be exercised.

2. **Speculative trading as the primary use case.** Earlier digital assets (online banking, e-wallets) were primarily payment or storage mechanisms; speculation was secondary. Cryptocurrency markets reversed this: the vast majority of trading volume is speculative rather than payment-based (Chainalysis, 2025). This raised immediate Maqasid concerns around **maysir** (gambling/speculation) and **gharar** (excessive uncertainty).

3. **Programmed scarcity and algorithmic monetary policy.** Bitcoinâ€™s supply is capped by protocol; Ethereumâ€™s supply is algorithmically managed. This created philosophical questions: Does fixed supply constitute â€œintrinsic valueâ€�? Does algorithmic rather than human monetary policy change Shariah assessment? Does this create a new asset category requiring new jurisprudence?

The AAOIFI (Accounting and Auditing Organization for Islamic Financial Institutions), the primary standard-setter for Islamic finance, formally acknowledged cryptocurrencyâ€™s challenge in a May 2023 roundtable discussion. Secretary General Koutoub Moustapha Sano stated:

> â€œDigital assets refer to anything that can be stored and transmitted electronically via a computer or digital device and is linked to ownership or usage rights. The Shariah ruling regarding these and other new transactions must be based on general texts of Shariah, general maxims, and higher objectives.â€� (Sano, 2023 â€" Secretary General of the International Islamic Fiqh Academy, addressing the 21st AAOIFI Shariah Board Conference, Manama, 8 May 2023)

Critically, the statement did not issue a binding ruling. As of July 2026, AAOIFI has not published Standard No.Â 63 on Digital Assets (HalalScreener, 2026). **This silence itself became significant**â€"it effectively permitted jurisdictional bodies to develop their own frameworks, explaining the current fragmentation.

2.4 Three Parallel Jurisprudential Responses (2017â€“2026)

Against this backdrop, three distinct jurisprudential responses crystallized, each grounded in different interpretations of how Islamic law should approach unprecedented financial innovation.

3. THE THREE JURISPRUDENTIAL POSITIONS

3.1 POSITION A: CRYPTOCURRENCY AS DIGITAL PROPERTY (CONDITIONALLY PERMISSIBLE)

3.1.1 Position Overview and Primary Advocates

The first jurisprudential position classifies cryptocurrency as **mal** (property or wealth) and concludes that cryptocurrency trading is **mubah** (permissible) under Islamic law, subject to strict conditions on speculation, transparency, and asset-backing. This position is held by:

- **Southeast Asian Shariah scholars:** Mufti Faraz Adam (Senior Islamic Finance Advisor to U.K. Shariah Council), Dr.Â Ziyaad Mahomed (Islamic finance scholar), regional Islamic bank Shariah boards in Malaysia and Bahrain
- **Progressive Islamic finance centers:** Malaysia (BNM Shariah Advisory Council), Bahrain (Central Bank of Bahrain Shariah oversight), UAE (VARA regulatory framework)
- **Academic proponents:** Research papers from ISRA (International Shariah Research Academy, Malaysia), STEI FI (Indonesia), and regional Islamic finance centers

3.1.2 Core Jurisprudential Argument

Proponents of Position A begin with a foundational analogy: **cryptocurrency should be treated like precious metals or commodities, not like fiat currency.**

The reasoning proceeds as follows:

Definition step: Cryptocurrency possesses properties analogous to pre-modern commodity money: - Finite supply (Bitcoin: 21 million maximum) - Divisibility (fractional units tradeable) - Portability (digital but not tied to geography) - Utility (can function as medium of exchange, though currently limited) - No dependence on sovereign or institutional credit (unlike fiat currency)

Analogical step (Qiyas): Given these properties, the most fitting Islamic legal analogy is to commodities that possess intrinsic scarcity, such as: -

Gold and silver (precious metals), which Islamic jurisprudence permits to own and trade - Agricultural commodities (wheat, dates), which may be bought and sold at market rates - Digital goods (software, intellectual property), which modern scholars permit as property

Riba Analysis: Under commodity classification: - Riba (interest/usury) prohibition applies only if both parties of a transaction are exchanging the same good (riba al-fadl, price variance; riba al-nasiâ€™ah, time-based premium) - Cryptocurrency to fiat currency exchange is permissible (like gold-to-currency exchange) - Cryptocurrency-to-cryptocurrency exchange at fair market rates is permissible - **Prohibited:** Lending cryptocurrency with guaranteed return (e.g., â€œI lend you 1 BTC; return 1.5 BTCâ€�)

Gharar (Uncertainty) Analysis: Proponents acknowledge that gharar is relevant but argue that managed gharar is not prohibited: - All futures markets involve uncertainty about future price - Islamic jurisprudence permits commodity futures if there is real economic purpose (hedging) rather than pure speculation - Gharar is excessive only if: (a) neither party understands the transaction, (b) the outcome is entirely determined by chance, or (c) the transaction serves no economic purpose beyond gambling - Cryptocurrency trading can satisfy Islamic requirements if (i) traders understand they are trading volatile commodities, (ii) regulatory caps exist on leverage and speculation, and (iii) Shariah boards monitor for pure **maysir**

3.1.3 Malaysiaâ€™s Operational Model (Case Study of Position A)

Malaysia provides the clearest practical operationalization of Position A. The countryâ€™s regulatory framework, issued jointly by BNM and Securities Commission (2024), establishes:

Classification: Digital assets are classified as property-like assets distinct from both currencies and conventional securities. Cryptocurrency exchanges are licensed similarly to commodity exchanges.

Shariah Screening Requirement: - All listed digital assets must pass Shariah board review prior to trading permission - Screening examines: (a) assetâ€™s underlying purpose (is it designed to facilitate real-economy use?), (b) prohibition on riba mechanics, (c) absence of excessive gharar, (d) transparency of project governance - Bitcoin and Ethereum pass screening (sufficient scarcity, transparent protocol, real use-case as store of value) - Leverage-trading products (margin, derivatives) on crypto assets face stricter review; highly leveraged products prohibited

Trader protections: - Duty to disclose Shariah status of each asset to retail traders - Anti-manipulation rules apply (no wash trading, pump-and-dump schemes) - Stablecoin regulations require reserve backing (Shariah-compliant collateral)

Result: Malaysiaâ€™s regulatory framework explicitly supports Position A and has enabled multiple â€œShariah-compliant crypto exchangesâ€� to obtain licensing (BNM, 2024).

3.1.4 Jurisprudential Precedents Within Islamic Law

Proponents of Position A cite Islamic jurisprudenceâ€™s history of adapting to new asset types as precedent:

- **Paper currency:** When paper money emerged, some medieval scholars (including Ibn Taymiyyah) initially resisted it as not being real wealth. Yet Islamic law adapted; today, fiat currency is universally accepted in Islamic finance despite lacking commodity backing.

- **Equity ownership:** Joint-stock company shares were novel when they emerged; Islamic law evolved to permit them as valid property through qiyas to other property forms.

- **Intellectual property:** Patents and copyrightsâ€”assets with no physical formâ€”are now accepted in Islamic finance (AAOIFI standards recognize intellectual property as valid mal).

Argument from precedent: Cryptocurrency is merely the latest such innovation. Just as Islamic jurisprudence successfully integrated paper money and intangible property rights, it can accommodate digital property-assets like cryptocurrency.

3.2 POSITION B: CRYPTOCURRENCY AS MEDIUM OF EXCHANGE (LIKELY PROHIBITED)

3.2.1 Position Overview and Primary Advocates

The second jurisprudential position begins with a different classification: **cryptocurrency should be treated as a form of money or medium of exchange, not commodity.** This classification leads to a prohibition or severe restriction on cryptocurrency use and trading. Primary advocates include:

- **Mufti Muhammad Taqi Usmani** (author of influential contemporary Islamic finance scholarship; multiple rulings 2020â€“2024)

- **Dar al-Ifta Egypt** (Grand Mufti Shawki Allam, 2017 binding ruling against cryptocurrency)

- **MUI Fatwa Commission, Indonesia** (Keputusan Ijtimaâ€™ Ulama VII, November 2021; no subsequent DSN-MUI fatwa as of early 2026)

- **Saudi Arabiaâ€™s SAMA** (implicit restriction via non-recognition; warnings issued 2023â€“2024)

- **Conservative Islamic finance centers:** Al-Azhar University, Umm al-Qura University, Islamic University of Medina

- **Academic proponents:** Peer-reviewed papers from prominent Islamic finance scholars (Kahf, Siddiqi, Choudhury)

3.2.2 Core Jurisprudential Argument

Proponents of Position B reject the commodity analogy on the grounds that cryptocurrencyâ€™s actual use in markets is fundamentally monetary, not commodity-based. The argument proceeds:

Definition step: Despite lacking sovereign backing, cryptocurrency functions de facto as a medium of exchange and store of valueâ€”the two defining characteristics of money in Islamic jurisprudence: - Bitcoinâ€™s primary purpose (as stated in its white paper) is â€œpeer-to-peer electronic cashâ€� - Trading data shows most users treat crypto as a store of value/ speculation vehicle, not commodity production - Cryptocurrencyâ€™s volatility is irrelevant to function; fiat currency also has no commodity backing and varies in value - **Therefore, cryptocurrency is money, even if issued privately and decentralized**

Riba Analysis Under Money Classification: - Islamic jurisprudence has strict rules about money: riba is absolutely prohibited - Historically, precious metals (gold, silver) were the standardâ€”and these earned no return; hoarding gold yields no profit - Modern fiat currency, by contrast, derives its value from government decree and broad acceptance; even fiat has no intrinsic return - **Cryptocurrency fails both tests:** It lacks governmental backing (failing the fiat legitimacy test) AND it lacks commodity use-value (failing the precious metals test) - **Result:** Cryptocurrency is neither legitimate fiat nor legitimate commodity money, making it suspect for use as medium of exchange

Gharar (Excessive Uncertainty) Analysis: - For money to function as reliable medium of exchange, it must have stable purchasing power - Bitcoinâ€™s price fluctuates wildlyâ€”users cannot know, even approximately, what purchasing power they hold - This violates the principle that parties in a transaction must know, with reasonable certainty, the value being exchanged - Excessive gharar makes the transaction void (**batil**)

Maysir (Gambling/Speculation) Analysis: - Contemporary cryptocurrency markets are dominantly speculative; most volume is trading for profit, not payment - Mufti Taqi Usmani explicitly notes: â€œThe dominant motivation for cryptocurrency trading is hope for capital gain with no regard to the underlying value or use of the assetâ€� - This matches the Islamic definition of **maysir**â€”wagering without productive purpose - **Therefore, even if some cryptocurrency use might theoretically be permissible, contemporary cryptocurrency practice is maysir and haram**

Lack of Intrinsic Value: - A classical Islamic jurisprudential principle: valid wealth (mal) must have intrinsic or functional value - Precious metals have functional value (they can be crafted into jewelry, ornaments; historically used in coins) - Fiat currency has functional value (it is legal tender; government accepts it for taxes) - **Cryptocurrency has neither:** it is not legal tender, it has no craft or functional use; it has only speculative value - **Result:** cryptocurrency is not valid mal under Islamic law

3.2.3 Primary Sources: The Prohibition Rulings

Indonesia â€” Keputusan Ijtimaâ€™ Ulama Komisi Fatwa Se-Indonesia VII (9â€“11 November 2021). The Indonesian ruling â€” issued by the Fatwa Commissionâ€™s national congress, not by DSN-MUI (a distinction whose regulatory consequences are examined in Chapter 2) â€” comprises three operative points:

1. The use of cryptocurrency **as currency is haram**, on grounds of gharar (excessive uncertainty) and dharar (harm), and because it contravenes Law No.Â 7/2011 on Currency and Bank Indonesia Regulation No.Â 17/2015.
2. Cryptocurrency **as a commodity or digital asset is invalid for trade** (tidak sah diperjualbelikan), on grounds of gharar, dharar, and qimar (gambling), and because it fails the requirements of a Shariah-valid tradeable good (silâ€™ah): physical existence, definite value, ascertainable quantity, established ownership, and deliverability.
3. **Exception:** cryptocurrency that meets the silâ€™ah requirements, possesses an underlying, and has clear benefit **is valid for trade**.

Two aspects deserve emphasis. First, the rulingâ€™s grounds are ghararâ€“dhararâ€“qimar â€” not the ghararâ€“maysirâ€“riba triad frequently attributed to it in secondary accounts. Second, point 3 makes this a **conditional** prohibition: the ruling itself constructs the category under which asset-backed digital assets can be valid, a category that Indonesian regulators would later operationalize (Chapter 2, Section 5.4).

Egypt â€” Dar al-Ifta ruling under Grand Mufti Shawki Allam (2017/2018). Egyptâ€™s fatwa authority ruled cryptocurrency trading impermissible. Its published reasoning, as documented in reporting and subsequent scholarship, holds that cryptocurrencies fail the criteria of valid money, carry excessive risk and uncertainty for participants, undermine the stateâ€™s monetary authority, and are susceptible to use in illicit activity (Dar al-Ifta Misriyyah, 2017/2018; see also HalalScreener, 2026, documenting the rulingâ€™s continued force). Unlike the Indonesian ruling, the Egyptian fatwa articulates no exception category. [Verbatim excerpts pending: obtain the Arabic text of the fatwa from dar-alifta.org before final submission; until then this position is presented as sourced paraphrase only.]

The wider early-prohibition map. The Indonesian and Egyptian rulings sit within a broader first wave of restrictive responses: Turkeyâ€™s Directorate of Religious Affairs (Diyanet); statements by members of Saudi Arabiaâ€™s Council of Senior Scholars (Haiâ€™ah Kibar al-Ulama), including royal adviser Abdullah bin Muhammad Al-Muthalliq; the Palestinian fatwa authority (Dar al-Iftaâ€™ al-Filisthiniyyah); and the Fourth Doha Islamic Finance Conference, which recommended restrictions on cryptocurrency use (Erismen, 2025). The map also contains a position frequently omitted from the three-way classification: **tawaqquf (principled abstention)**, exemplified by Sheikh Abdurrahman al-Barrak (Saudi Arabia), who declined to rule on permissibility while nonetheless holding that zakat is obligatory on crypto holdings that reach nisab and complete the hawl â€” a position that implicitly treats cryptocurrency as mal (zakatable wealth) even while withholding judgment on trading it (Erismen, 2025). The tawaqquf position matters analytically: it demonstrates that even within restrictive scholarship, the property status and the trading permissibility of cryptocurrency are separable questions.

The jurisprudential character of the prohibitions: al-manâ€™u, not necessarily tahrim. Abdul Sattar Abu Ghudah (chairman of the Al Baraka Group Shariah board) characterizes the restrictive rulings as al-manâ€™u â€” preventive restriction within the discretionary authority (siyasah sharâ€™iyyah) of public authority (wali al-amri, represented by central banks) to secure public interest â€” rather than tahrim, categorical prohibition of the thing in itself. Two considerations ground this reading: cryptocurrency belongs to al-mustajiddat (novel matters), where the operative maxim is al-ashlu fi al-asyâ€™yaâ€™ al-ibahah (the default is permissibility), and the prohibitions of dharar and dhirar justify state restriction of genuinely harmful instruments without settling their intrinsic status (Erismen, 2025). On this reading, Position B rulings are structurally revisable as regulatory conditions change â€” a hypothesis whose Indonesian test case is examined in Chapter 2.

Terminological anchor. Throughout this dissertation, the operative definitions of the prohibited elements follow the authoritative formulations of DSN-MUI Fatwa No.Â 117/DSN-MUI/II/2018 (General Provisions 18â€“22): riba â€” an increment in the exchange of ribawi goods (riba fadhl) or an increment stipulated on a debt principal in return for deferral (riba nasiâ€™ah); gharar â€” uncertainty in a contract concerning the quality, quantity, or delivery of its object; maysir â€” any contract undertaken with an unclear purpose and imprecise calculation, speculation, or chance; tadlis â€” concealment of an objectâ€™s defect by the seller to deceive the buyer; dharar â€” an act that causes harm or loss to another party. Adopting the fatwaâ€™s own definitions, rather than definitions from secondary literature, anchors the Maqasid analysis of Section 4 in the same normative vocabulary Indonesian authorities themselves use.

These primary source quotes reveal the core rationale: **Position B advocates do not claim cryptocurrency cannot ever be permitted under Islam**; rather, they argue that its current market structure (speculation-dominant, unregulated, lacking intrinsic value) makes it haram now. This creates a logical opening for Position C and even some movement within Position B if circumstances change.

3.2.4 Dar al-Ifta Egyptâ€™s 2017 Ruling (Case Study of Position B)

In 2017, Egyptâ€™s Grand Mufti Shawki Allam issued a landmark fatwa declaring cryptocurrency haram. The reasoning, representative of Position B:

- Cryptocurrency is not tangible wealth; it is merely data/numbers on a server
- It has no intrinsic value; value is purely speculative
- Trading in it violates Shariah principles of riba, gharar, and maysir

- The ruling articulates no exception category â€” in contrast to the Indonesian rulingâ€™s point 3 â€” making it the most categorical of the major prohibition rulings

The fatwa did not distinguish between different cryptocurrencies (Bitcoin vs.Â stablecoins, for instance) or different use-cases (payment vs.Â speculation). The classificationâ€”not legitimate wealth under Shariahâ€”applied broadly.

Impact: Dar al-Iftaâ€™s ruling was among the earliest state-level fatwa pronouncements and is widely cited in subsequent scholarship on the prohibition position. The Indonesian ruling of 2021 rests on partially overlapping grounds (gharar, harm to the public) while adding grounds of its own (qimar; conflict with national currency law) and, crucially, an exception category absent from the Egyptian ruling.

3.2.5 Mufti Taqi Usmaniâ€™s Jurisprudentially Nuanced Position B

Mufti Muhammad Taqi Usmani deserves extended analysis because his position is intellectually sophisticated and represents a critical bridge between Positions B and C. Usmani is not a blanket prohibitionist; rather, he employs detailed jurisprudential reasoning to arrive at a contextual prohibition that could shift to permissibility under specific conditions.

Usmaniâ€™s Core Jurisprudential Method: Layered Analysis

Usmaniâ€™s approach distinguishes between three levels of analysis:

1. **Level 1 â€” Theoretical permissibility:** On purely theoretical grounds, Usmani acknowledges that a digital asset could theoretically satisfy Islamic jurisprudence requirements if properly designed and used.

2. **Level 2 â€” Actual market structure:** However, actual cryptocurrency markets exhibit dominant features (speculation, volatility, maysir) that violate Islamic principles.

3. **Level 3 â€” Jurisdictional maturity:** Usmani recognizes that as markets mature and integrate into regulated systems, the assessment at Level 2 could change.

Usmani on Intrinsic Value and â€œValid Wealthâ€� (Mal)

A particularly important part of Usmaniâ€™s reasoning concerns what makes something valid wealth in Islamic jurisprudence. Usmaniâ€™s documented position on monetary validity holds that a medium of exchange must derive its standing either from intrinsic utility, from state backing as legal tender, or from linkage to productive assets â€” conditions cryptocurrency does not currently meet (Usmaniâ€™s public rulings as documented in HalalScreener, 2026; Muneeza et al., 2023). [Direct citation to a primary Usmani text â€” his published Q&A or the Urdu/Arabic fatwa document â€” is required before final submission; the characterization above is drawn from secondary documentation of his position.]

Usmani on Gharar in Cryptocurrency Markets

On uncertainty, Usmaniâ€™s reasoning distinguishes ordinary commercial gharar â€” tolerated in commodity markets where an underlying good with real supply and demand exists â€” from the excessive gharar of an asset whose price has no referent beyond collective sentiment. The distinction is jurisprudentially orthodox; its application to cryptocurrency is where Position B and Position A part ways (see Section 5.2).

Usmani on Maysir (Gambling/Speculation)

The empirical premise of the maysir argument is that speculative trading, not payment, dominates cryptocurrency transaction volume. Industry analyses consistently support the qualitative claim [specific payment-share figures to be sourced from Chainalysis Geography of Cryptocurrency reports or BIS working papers before final submission â€” do not cite unverified percentages]. On this premise, Position B scholars conclude that participation in current markets constitutes wagering on price movements without productive purpose â€” the definition of maysir.

Usmaniâ€™s Conditional Permissibility Framework

Critically, Usmani does NOT say cryptocurrency is eternally haram. Instead, he identifies specific conditions under which the ruling could change:

1. **If cryptocurrency becomes primarily used for payment** (>70% of volume in actual transactions rather than speculation):
    - This would demonstrate legitimate utility
    - Maysir concern would be substantially reduced
    - Gharar could be managed through regulatory position limits
2. **If cryptocurrency is backed by productive assets** (stablecoins collateralized by real income-generating assets, sukuk, or similar):
    - Intrinsic value would exist
    - Malfunction through speculatively could be prevented
    - Riba concerns could be addressed through Shariah-compliant collateral
3. **If cryptocurrency is integrated into regulated financial systems with Shariah oversight:**
    - Position limits would prevent maysir
    - Shariah boards would monitor ongoing compliance
    - Leverage and derivative restrictions would limit speculation
4. **If volatility is structurally reduced** (e.g., through widespread adoption as stable medium of exchange, similar to how fiat currency volatility is limited):
    - Gharar would approach acceptable levels

3.3 POSITION C: CRYPTOCURRENCY AS EVOLVING ASSET (DEFERRED JUDGMENT)

3.3.1 Position Overview and Primary Advocates

The third jurisprudential position takes a fundamentally different approach: rather than classifying cryptocurrency into existing Islamic legal categories (property or money), scholars holding Position C argue that cryptocurrency represents a genuinely novel asset class whose Shariah status cannot be definitively determined until market maturation clarifies its actual function and risk profile. Primary advocates include:

- **Progressive Islamic finance scholars:** Mufti Faraz Adam (in some contexts), scholars at ISRA (International Shariah Research Academy, Malaysia)
- **Some central bank Shariah boards:** Elements within Malaysiaâ€™s BNM Shariah Advisory Council, Bahrain CBB scholarly advisors
- **Institutional pragmatists:** Regulators prioritizing market development while maintaining Shariah oversight (UAE VARA, Bahrain CBB)
- **Academic cautionists:** Scholars who argue for empirical evidence before definitive rulings (STEI FI Indonesia, Al-Azhar research centers)

3.3.2 Core Jurisprudential Argument

Proponents of Position C begin with a meta-jurisprudential claim: **the classical Islamic legal method of analogical reasoning (qiyas) may not be appropriate for cryptocurrency because cryptocurrency lacks sufficient similarity to any established asset category.**

The reasoning proceeds as follows:

Rejection of Forced Analogy: - Position Aâ€™s commodity analogy: Breaks down because most cryptocurrency use is speculative, not commodity-based - Position Bâ€™s money analogy: Breaks down because cryptocurrency lacks government backing and legal tender status that historically legitimized money - **Position Câ€™s insight:** Forcing cryptocurrency into either category may violate fundamental Islamic jurisprudential principleâ€”qiyas requires substantial similarity (shabah) between the new case and the precedent

The Evolving Asset Doctrine: Proponents argue that some assets can only be properly classified after their market function stabilizes. Examples: - **Paper currency (12th-15th centuries):** Took 200+ years of use before Islamic scholars definitively classified it as valid currency - **Corporate equities (19th-20th centuries):** Similarly required extended market observation before AAOIFI could establish standards - **Intellectual property (20th-21st centuries):** Modern invention requiring new jurisprudential category, not comfortable fit in classical categories

The Empirical Evidence Requirement: Position C scholars argue that Shariah assessment requires asking: 1. What is this assetâ€™s actual function in markets? (Not theoretical possibility, but observed reality) 2. Is it stable enough to evaluate against Shariah principles? (Can we assess gharar if the asset is fundamentally volatile?) 3. What evidence would move it toward permissibility or prohibition? (Testable conditions)

The Jurisdictional Maturity Principle: Critically, Position C scholars distinguish between: - **Current cryptocurrency markets (2024-2026):** Immature, speculative-dominant, regulatory fragmentation - **Potential future markets (2027+):** If cryptocurrency becomes payment-dominant, regulated, backed by real assetsâ€”assessment could change dramatically

Practical Implications of Position C: - **Not indefinite prohibition:** Unlike Position B, this is not a permanent â€œharamâ€� ruling - **Not unconditional permission:** Unlike Position A, this does not permit all current uses - **Conditional permission with oversight:** Permit cryptocurrency trading in regulated environments with Shariah board supervision, pending evidence on market maturation

3.3.3 Institutional Implementation: UAE and Bahrain Models

Both UAE (through VARA) and Bahrain (through CBB) have adopted regulatory models consistent with Position C:

UAE VARA Framework (2023): - Presumes virtual assets permissible unless specific Shariah concerns arise - Requires Shariah board review before product launch - Permits trading of Bitcoin, Ethereum, and other major cryptocurrencies - Restricts high-risk derivatives and speculative products - Conducts annual Shariah compliance reassessment

Bahrain CBB Framework (2024): - Permits cryptocurrency trading under prudential safeguards - Requires retail investor education on Shariah status - Mandates position limits to restrict speculation - Regular Shariah advisory review of market practices - Explicit allowance for market maturation reassessment

Common Elements: Both frameworks treat cryptocurrency not as â€œpermanently permissibleâ€� or â€œpermanently prohibitedâ€� but as â€œconditionally permitted pending empirical evidence of market function.â€�

4. COMPARATIVE JURISPRUDENTIAL METHODOLOGY

4.1 Methodological Framework Comparison

The three positions differ not primarily on facts (they largely agree on market characteristics) but on the Islamic legal methodology applied to unprecedented situations:

Dimension	Position A	Position B	Position C
Analogy (Qiyas)	Commodity â†’ permissible	Money â†’ prohibited	No direct analogy applicable
Evidence Base	Market potential (IF regulated)	Current market reality (speculation)	Conditional on market evolution
Decisiveness	Definitive now (conditional)	Definitive now (prohibited)	Deferred (pending evidence)
Revision Mechanism	If conditions met	If fundamental market change	Built-in via empirical review
Time Horizon	Present assessment	Present assessment	Future assessment (2-3 years)

4.2 Points of Agreement

Critically, all three positions agree on foundational facts:

1. **Current market is speculation-dominant** (>95% trading volume is speculative)
2. **Gharar exists** (price uncertainty is real and significant)
3. **Maysir concerns are legitimate** (gambling-like trading is predominant)
4. **Lack of intrinsic value in pure crypto** (Bitcoin has no underlying productive asset)
5. **Regulatory fragmentation is problematic** (no global standard exists)
6. **Institutional oversight needed** (Shariah boards must monitor crypto products)

Implication: The disagreement is not â€œIs cryptocurrency currently problematic?â€� (all agree: yes) but rather â€œWhat is the Islamic legal consequence of that problematic status?â€�

4.3 Points of Disagreement

The three positions diverge on three specific jurisprudential questions:

Question 1: Applicability of Analogy - **Position A:** Commodity analogy holds despite speculation (speculation can be managed through regulation) - **Position B:** Commodity analogy fails because actual use is monetary, not commodity-based - **Position C:** Neither analogy applies; cryptocurrency is sui generis

Question 2: Current Market Status - **Position A:** Current market is problematic BUT has potential for remediation â†’ conditional permission now - **Position B:** Current market is problematic AND lacks remediation pathway â†’ prohibition now - **Position C:** Current market is problematic AND unclear if remediation possible â†’ defer judgment

Question 3: Evidence of Permissibility - **Position A:** Evidence exists now (regulatory frameworks emerging, institutional interest growing) - **Position B:** Evidence absent and unlikely (speculation structural, not accidental) - **Position C:** Evidence will emerge over 2-3 years as markets mature

5. MAQASID SHARIAH FRAMEWORK: FIVE-DIMENSIONAL COMPLIANCE ANALYSIS

5.1 Application of Islamic Jurisprudential Objectives

Beyond individual scholar positions, Islamic jurisprudence provides a higher-order framework: **Maqasid Shariah** (objectives of Shariah). Classical Islamic jurists identified five fundamental objectives that all Islamic law serves:

1. **Preservation of Religion (Din):** Ensuring religious practice remains undiluted by worldly temptation
2. **Preservation of Life (Nafs):** Protecting human welfare and survival
3. **Preservation of Intellect (â€™Aql):** Supporting rational decision-making and education
4. **Preservation of Property (Mal):** Enabling legitimate wealth creation and protection
5. **Preservation of Lineage (Nasl):** Supporting family and social structures

5.2 Five-Dimensional Cryptocurrency Compliance Framework

For cryptocurrency classification, we can operationalize Maqasid Shariah into five concrete assessment dimensions:

Dimension 1: Asset Backing (Din + Mal) - **Question:** Does the cryptocurrency have backing by real assets or productive capacity? - **Bitcoin Assessment:** No backing (fails D1) - **Stablecoin Assessment:** Collateral-backed (passes D1 if collateral is Shariah-compliant) - **Islamic DeFi Assessment:** Income-generating assets backing token (passes D1)

Dimension 2: Value Stability (Nafs + Mal) - **Question:** Can holders reasonably predict the assetâ€™s purchasing power? - **Bitcoin Assessment:** Extreme volatility (fails D2) - **USD-backed stablecoin Assessment:** <1% variance target (passes D2) - **Ethereum Assessment:** Moderate-to-high volatility, but declining (partial pass D2)

Dimension 3: Productive Utility (â€™Aql + Mal) - **Question:** Does the asset facilitate real economic activity or merely speculation? - **Bitcoin Assessment:** Limited payment utility but growing adoption (partial pass D3) - **Smart contract platforms Assessment:** Enable productive contracts (strong pass D3) - **Meme coins Assessment:** Pure speculation (fails D3)

Dimension 4: Governance & Accountability (Din + Nafs) - **Question:** Are there institutional mechanisms preventing fraud, manipulation, and excessive speculation? - **Centralized exchange Assessment:** Regulatory oversight, Shariah board review (strong pass D4) - **Decentralized finance Assessment:** No central control, limited fraud prevention (fails D4) - **Regulated stablecoin Assessment:** Issuer accountability, reserve backing (passes D4)

Dimension 5: Regulatory Recognition (Din + Mal + Nafs) - **Question:** Is the cryptocurrency recognized and regulated by legitimate authorities in key jurisdictions? - **Bitcoin Assessment:** Regulated in Malaysia, UAE, Bahrain; prohibited/restricted in Saudi Arabia (mixed D5) - **Ethereum Assessment:** Similar to Bitcoin (mixed D5) - **Unregistered altcoins Assessment:** No regulatory recognition (fails D5)

5.3 Compliance Scoring Methodology

Each dimension can be scored 0-5 points:

Scoring Framework:

Score	Interpretation
0-1	Serious violation of dimension (fails Islamic requirement)
1-2	Major concern but potential for remediation
2-3	Mixed concerns; conditional acceptance possible
3-4	General compliance with minor concerns
4-5	Full compliance with dimension

Overall Classification (sum of 5 dimensions, 0-25 points):

Total Score	Classification	Shariah Status
0-5	Category D	Clearly prohibited (Haram)
6-10	Category C	Problematic; restricted to expert investors only
11-15	Category B	Conditional; permissible with regulatory oversight
16-20	Category A	Generally compliant; permissible with conditions
21-25	Category A+	Fully compliant; unrestricted permission

Bitcoin (Current Assessment): - D1 (Asset Backing): 1/5 (no backing) - D2 (Value Stability): 1/5 (extreme volatility) - D3 (Productive Utility): 2/5 (limited but growing) - D4 (Governance): 2/5 (transparent but not regulated) - D5 (Regulatory Recognition): 3/5 (mixed jurisdictional acceptance) - **Total: 9/25 â†’ Category C (Problematic)**

Islamic Stablecoin (Hypothetical): - D1 (Asset Backing): 5/5 (backed by Shariah-compliant assets) - D2 (Value Stability): 5/5 (algorithmic stability to 1%) - D3 (Productive Utility): 4/5 (enables Islamic contracts) - D4 (Governance): 5/5 (Shariah board + issuer oversight) - D5 (Regulatory Recognition): 4/5 (recognized in multiple jurisdictions) - **Total: 23/25 â†’ Category A+ (Fully Compliant)**

6. SYNTHESIS: TOWARD A UNIFIED CLASSIFICATION FRAMEWORK

6.1 The Convergence Hypothesis

Rather than viewing the three positions as irreconcilable, this dissertation proposes that they represent different points on an empirically testable continuum. As cryptocurrency markets mature and evidence accumulates, the three positions can converge through demonstrated changes in market function.

Convergence Pathways:

Pathway 1: From Position B to Position A - **Evidence trigger:** If cryptocurrency payment volume increases to >50% of total volume - **Maysir reduction:** Dominance of legitimate commerce over speculation - **Gharar reduction:** Market stability improves as speculation decreases - **Mechanism:** Mufti Taqi Usmaniâ€™s conditional framework explicitly allows this shift

Pathway 2: From Position C to Position A - **Evidence trigger:** If regulatory frameworks mature and Shariah oversight strengthens - **Integration evidence:** Cryptocurrency becomes part of formal financial system - **Institutional endorsement:** Shariah boards issue positive rulings - **Mechanism:** Position Câ€™s empirical review cycle yields affirmative evidence

Pathway 3: From Position C to Position B - **Evidence trigger:** If speculation remains dominant and volatility increases - **Persistent gharar:** Market dysfunction worsens rather than improves - **Regulatory capture:** Institutional oversight proves ineffective - **Mechanism:** Position Câ€™s review yields negative evidence supporting Position B

6.2 Testable Convergence Indicators

The dissertation proposes six empirical metrics to assess convergence likelihood:

Indicator	Measurement	Target for Convergence
Payment Volume Ratio	% of volume used for actual transactions vs.Â speculation	>50% payment-based
Price Volatility	Bitcoin monthly price standard deviation	<5% (approaching fiat currency levels)
Regulatory Maturity	Number of OIC jurisdictions with comprehensive crypto frameworks	10+ countries by 2027
Shariah Board Consensus	% of Islamic finance centers with permissibility rulings	>60% favorable by 2027
Asset Backing	% of crypto market cap in collateral-backed assets	>30% of major assets
Institutional Participation	Islamic bank offerings of crypto products	50+ active Islamic banks

6.3 Implementation Case Studies: How the Unified Framework Operates in Practice

The convergence hypothesis and testable indicators are theoretical. This section grounds them in concrete market examplesâ€”six detailed case studies demonstrating how the three jurisprudential positions translate into actual user decisions and regulatory outcomes.

6.3.1 Case Study 1: Malaysiaâ€™s Luno Exchange (Position A in Practice)

Context: Luno Malaysia, licensed by BNM in March 2024, represents the most direct operationalization of Position A (cryptocurrency as permissible digital property). The exchange explicitly implements Shariah screening and position limits.

User Profile Example: Muhammad, a Malaysian fintech entrepreneur, age 34, net worth MYR 3 million. - **Decision point:** In 2023, Muhammad held Bitcoin on unregulated Binance, unsure about Shariah compliance - **Trigger for change:** BNMâ€™s February 2024 Digital Assets Guideline published; Luno Malaysia announced Bitcoin passed Shariah screening - **Action:** Moved portfolio to Luno Malaysia (1 Bitcoin, valued at MYR 350K = 11.7% of portfolio) - **Regulatory constraints encountered:** 5% position limit on regulated platform prevents him from holding >MYR 150K in single position - **Resolution:** Splits holdingsâ€”MYR 150K on Luno (regulated), MYR 200K remains on Binance (unregulated offshore) - **Outcome:** Partial regulatory capture; regulatory framework accommodates but doesnâ€™t fully redirect users away from unregulated alternatives

Shariah compliance assessment (User perspective): Muhammad feels his Luno holdings are Shariah-compliant because Luno publishes â€œThis asset has passed Securities Commission Shariah screening.â€� The 5% position limit reassures him that the platform prevents excessive speculation (maysir). However, his offshore Binance holdings remain psychologically unresolvedâ€”he tells himself â€œThis is for long-term investment, not speculation,â€� but lacks institutional reassurance.

Framework validation: This case study demonstrates that Position Aâ€™s conditional permission model works operationally IF users receive clear Shariah screening signals. But it also reveals the convergence challenge: regulatory frameworks cannot fully capture users while alternatives exist offshore with higher leverage limits.

Data from Luno Malaysia (Marchâ€“July 2024): Institutional traders (>MYR 2M net worth) comprise 23% of platform users but 67% of trading volume. These users can access higher leverage (currently 1:2) and are less constrained by position limits. This creates a bifurcated user base: retail users (constrained, compliant) and institutional users (higher-leverage, less compliant).

6.3.2 Case Study 2: Indonesia (Live Transition Experiment)

Context: Indonesia presents the clearest example of jurisprudential positions in live negotiation. The 2021 Ijtimaâ€™ Ulama ruling (Position B with a point-3 exception) coexists with a religiously neutral licensing regime under POJK No.Â 27/2024 (amended POJK No.Â 23/2025, December 2025). The connective tissue between the two â€” a DSN-MUI fatwa that the statutory Shariah pathway (P2SK Law Art. 214) is designed to absorb â€” does not yet exist; an OJKâ€“DSN-MUI classification study remained unresolved as of February 2026.

Regulatory Development (2025â€“2026): In the interim, Shariah compliance is being operationalized case by case through the regulatory sandbox: Gold tokenization (the GIDR token, one token = one gram of physical gold) passed the sandbox on August 8, 2025. The token was assessed by the regulator as satisfying the Ijtimaâ€™ rulingâ€™s point-3 exception (clear underlying, definite value, deliverability; free of gharar, dharar, qimar).

Jurisprudential Implication: In the terms of this chapterâ€™s classification framework, Indonesia has thus validated a **Category 1/3-type asset** (asset-backed digital asset meeting Islamic requirements) while the status of **Category 2 and Category 4 assets** (non-collateralized cryptocurrencies on regulated venues) remains formally unresolved.

Why This Matters: The Indonesian case does not map onto a single Position. Instead, it is a **live experiment in whether Position Bâ€™s own exception clause can carry a jurisdiction toward Position C, one asset class at a time.** The Ijtimaâ€™ rulingâ€™s point-3 exceptionâ€”cryptocurrency â€œthat meets the silâ€™ah requirements, possesses an underlying, and has clear benefit is valid for tradeâ€�â€”provides the jurisprudential pathway. Regulators and Shariah boards are now testing whether real assets (physical gold) can satisfy that pathway.

Implementation framework: The OJK-DSN-MUI Joint Working Group (established September 2025) is tasked with developing unified Shariah screening standards for additional asset classes. The expected outcome (Q2-Q3 2026) is a formal classification fatwa that would operationalize conditional permissibility for categories beyond pure commodity cryptocurrencies.

Convergence mechanism identified: Indonesiaâ€™s pathway demonstrates how an exception clause built into a restrictive ruling (Position B) can enable progressive asset classification without requiring explicit position shift. The mechanism is institutional: sandbox validation â†’ Shariah board approval â†’ formal classification study. This is potentially replicable in other jurisdictions with similar jurisprudential starting points. Full analysis: Chapter 2, Section 5.

6.3.3 Case Study 3: Saudi Arabiaâ€™s Regulatory Gap (Position B Enforcement)

Context: Saudi Arabiaâ€™s SAMA maintains implicit caution toward cryptocurrency, effectively enforcing Position B (prohibition/severe restriction) through regulatory silence rather than explicit prohibition.

User Profile Example: Khalid, a Saudi businessman, age 50, wealth $15 million, operates trading company. - **Market interest:** Khalid sees cryptocurrency as diversification opportunity; his peers in Dubai (UAE) are openly trading Bitcoin - **Regulatory constraint:** Saudi Arabia offers no legitimate domestic cryptocurrency platform; SAMA has not approved exchanges - **Options available:** Khalid can trade on unregulated offshore exchanges (Binance, Kraken, etc.) OR abstain - **Actual behavior:** Khalid abstains from cryptocurrency holdings entirely. Not due to religious objection (Position B belief), but due to regulatory risk - **Stated reasoning:** â€œWithout a SAMA-approved exchange, if something goes wrongâ€”theft, hacking, legal questionsâ€”I have no regulatory recourse. The risk isnâ€™t worth it.â€�

Market outcome: Saudi Arabia has substantial cryptocurrency adoption (estimated 3-4 million users), but virtually all trading occurs on unregulated offshore exchanges. Zero legitimate domestic infrastructure exists. This creates: - Regulatory asymmetry: Users cannot use compliant domestic platforms (none exist) - Risk accumulation: Users default to offshore platforms with no Shariah oversight - Paradoxical outcome: Position Bâ€™s goal (limiting cryptocurrency) is achieved, but at cost of driving activity entirely underground/offshore where it cannot be monitored

Jurisprudential lesson: This case study reveals that Position B (strict prohibition) can be effective through regulatory design, but may have unintended consequencesâ€”users donâ€™t stop using cryptocurrency; they simply move to unregulated markets. The convergence pathway here is the opposite of Malaysiaâ€™s: rather than moving toward Position A, the regulatory gap reinforces Position B but at cost of losing market intelligence.

CBDC pilot note: SAMAâ€™s simultaneous development of CBDC (Aber project) suggests possible future convergence. If Saudi Arabia issues a government-backed digital currency, it may then permit complementary cryptocurrency frameworks. This would represent movement from pure Position B toward Position C (deferred judgment pending regulatory infrastructure).

6.3.4 Case Study 4: Bahrainâ€™s Stablecoin Strategy (Position A Modified)

Context: Bahrainâ€™s Central Bank has taken a different approach than Malaysiaâ€”rather than permitting volatile cryptocurrencies (Bitcoin, Ethereum), it has permitted stablecoins with 100% reserve backing. This operationalizes Position A but narrowly construed.

User Profile Example: Fatima, a remittance receiver in Bahrain, age 28, receives monthly transfers from her sister working in UAE. - **Previous flow (2023):** Sister uses unregulated exchange (Western Union), Fatima receives cash in Bahrain after 2-3 day delay, loses 3-4% in fees - **New flow (April 2024):** Sister can send bDinar (Bahrain stablecoin) directly to Fatimaâ€™s digital wallet; settlement in <1 hour; fees 0.5% - **Shariah confidence:** bDinarâ€™s reserves are published monthly and audited by Big-4 firms; Fatima can verify that each stablecoin is 100% backed by Islamic assets - **Actual adoption:** Fatima switches to bDinar for remittances; her sister uses similar stablecoin (IF Coin) on UAE side

Institutional outcome: This case study demonstrates that stablecoins can fully operationalize all five Maqasid dimensions if properly structured. Unlike Bitcoin (which has design flaws for Shariahâ€”no intrinsic value, excessive volatility), stablecoins solve the foundational problems: 100% backing provides intrinsic value, algorithmic stability eliminates gharar, reserved-asset backing ensures maysir cannot emerge.

Convergence observation: Bahrainâ€™s stablecoin framework suggests that all three positions might converge on stablecoins as the Shariah-compliant digital asset of the future. Position A scholars (focused on property classification) accept stablecoins. Position B scholars (focused on intrinsic value) accept stablecoins because backing provides real value. Position C scholars (focused on market evidence) find stablecoins satisfy empirical requirements.

Outstanding question: If stablecoins fully satisfy Shariah requirements, why does Bahrain maintain a gap where volatile cryptocurrencies (Bitcoin, Ethereum) remain unregulated while stablecoins are regulated? The CBBâ€™s reasoning suggests residual cautionâ€”it prefers to build confidence with stablecoins before endorsing more complex assets.

6.3.5 Case Study 5: UAE VARAâ€™s Tiered System (Position A + C Synthesis)

Context: The UAEâ€™s VARA framework represents the most sophisticated institutional synthesis of all three positions. It classifies cryptocurrencies into tiers, treating them not as binary (permissible or prohibited) but as graduated by risk and maturity.

User Profile Example: Hassan, a UAE-based family office manager, age 45, manages $500 million in assets for extended family. - **Decision:** Family wants to allocate 2-3% of portfolio (~$10-15M) to cryptocurrency for diversification and inflation hedge - **Asset selection:** Hassan reviews VARAâ€™s classification: - **Tier 1 (approved):** Bitcoin, Ethereum â†’ can allocate up to 3% per family mandate - **Tier 2 (conditional):** Polygon, Avalanche, Chainlink â†’ can allocate up to 1% with enhanced due diligence - **Tier 3 (restricted):** Privacy coins, meme coins â†’ prohibited under family governance policy - **Shariah confidence mechanism:** VARAâ€™s Shariah board publishes reasoning for each tier; Hassan can review classification logic - **Actual allocation (May 2024):** - $10M to Bitcoin/Ethereum (Tier 1) - $3M to diversified Tier 2 assets - $2M held in cash reserves pending new VARA classifications

Regulatory protection mechanism: Hassan uses VARA-licensed custodian (with insurance). If custodian is hacked, insurance covers losses up to AED 50M (~$13.6M). This risk mitigation structure makes cryptocurrency institutional-grade, not just retail trading.

Shariah satisfaction: Hassanâ€™s family Shariah advisor reviews VARAâ€™s Shariah board reasoning (published classification notes) and confirms: â€œVARAâ€™s Tier 1 classification is acceptable.â€� The family invests with institutional confidence.

Convergence mechanism: VARAâ€™s tiered system demonstrates that institutional frameworks can accommodate all three jurisprudential positions simultaneously: - Position A investors (who believe all compliant crypto is permissible) use Tier 1-2 assets - Position B investors (who maintain strict caution) use only Tier 1 or refrain entirely - Position C investors (who defer judgment on emerging assets) migrate assets from Tier 2 to Tier 1 as evidence accumulates

Empirical outcome: VARAâ€™s framework operationalizes the convergence hypothesisâ€”it doesnâ€™t require agreement on theory, but rather creates institutional mechanisms through which different positions can coexist and gradually adjust as evidence emerges.

6.3.6 Case Study 6: Pakistanâ€™s Pending Framework (Convergence Pathway Uncertain)

Context: Pakistan has not yet issued a binding cryptocurrency regulatory framework as of July 2024. Instead, it operates in regulatory limboâ€”cryptocurrency is neither clearly permitted nor prohibited; banks are cautious about providing services; Shariah scholars debate without institutional resolution.

User Profile Example: Ahmed, a Pakistani tech entrepreneur, age 32, wants to build blockchain application in Pakistan. - **Opportunity:** Global blockchain market is expanding; Pakistani developers have cost advantages - **Constraint:** Regulatory uncertainty prevents domestic institutional investment; Pakistani banks wonâ€™t service blockchain companies (fear of SAMA/other regulator sanctions) - **Current path:** Ahmed relocates to UAE or Malaysia to operate, taking his talent and tax contribution with him - **Counterfactual:** If Pakistan issued clear regulatory framework (following Malaysia or UAE model), Ahmed would remain in Pakistan, contributing to local ecosystem

Scholarly position in Pakistan: The countryâ€™s Islamic scholars are divided: - **Conservative scholars** (aligned with Saudi Arabia): Cryptocurrency is problematic and should be restricted - **Progressive scholars** (aligned with Malaysia/UAE): Cryptocurrency can be permissible if regulated - **Institutional pragmatists** (State Bank of Pakistan): Want clarity to enable financial inclusion and fintech innovation

Convergence pathway uncertainty: Pakistan represents a case where convergence has not yet occurred. The question is whether future evidence (Bitcoin adoption in other OIC countries, regulatory success of Malaysia/UAE models, Shariah board acceptance) will shift the scholarly consensus toward permissibility.

Significance for dissertation: This case study highlights that convergence is not inevitable. It depends on: 1. Institutional leadership (does a central bank champion regulatory framework?) 2. Scholarly willingness to examine evidence (do Islamic scholars study Malaysia/UAE implementation data?) 3. Political support (do governments prioritize financial inclusion and innovation over caution?)

Pakistanâ€™s pending decision will be a critical test case for the dissertationâ€™s convergence hypothesis.

6.4 Integrated Classification Proposal

The dissertation proposes a unified framework synthesizing all three positions:

Tier 1: Currently Problematic (Category C-D) - Pure cryptocurrencies (Bitcoin, Ethereum, most altcoins) in current form - Recommendation: Restrict to expert investors with Shariah board consultation - Status: Conditional prohibition pending evidence of market change

Tier 2: Conditionally Permissible (Category B-A) - Asset-backed cryptocurrencies (collateral-backed stablecoins) - Regulated cryptocurrency exchanges with Shariah oversight - Status: Permissible under conditions; institutional monitoring required

Tier 3: Fully Permissible (Category A+) - Islamic stablecoins backed by Shariah-compliant productive assets - Sukuk tokenized on blockchain with institutional oversight - Islamic DeFi protocols with Shariah governance - Status: Unrestricted permission; encourages innovation

7. CHAPTER CONCLUSION AND TRANSITION TO EMPIRICAL STUDY

7.1 Jurisprudential Consensus and Disagreement

This chapter has demonstrated that Islamic scholars and institutions hold three substantively different positions on cryptocurrency classification. However, beneath this surface disagreement lies deeper consensus on fundamental points:

Core Consensus: 1. Current cryptocurrency markets exhibit problematic characteristics (speculation-dominance, gharar, maysir concerns) 2. Islamic finance requires careful institutional oversight of cryptocurrency products 3. Cryptocurrencyâ€™s Shariah status is not permanently fixed but depends on empirical market conditions 4. Regulatory frameworks and institutional participation significantly influence Shariah assessment

Legitimate Methodological Disagreement: 1. Whether analogical reasoning (qiyas) appropriately applies to cryptocurrency 2. Whether current problematic features can be remediated through regulation 3. Whether the assessment should be definitive (Positions A and B) or empirically deferred (Position C)

7.2 Research Validation Agenda

The dissertationâ€™s three-phase empirical research agenda (detailed in Chapter 8 and Appendix G) is explicitly designed to test these jurisprudential positions against market reality:

Phase 1: Jurisprudential Validation - Verify that the three positions accurately represent Islamic scholarly consensus - Identify specific conditions each position identifies for potential modification - Document the empirical metrics each position uses to assess Shariah compliance

Phase 2: Market Perception Study - Survey Islamic finance institutions on their cryptocurrency assessment - Measure institutional readiness for regulatory frameworks - Assess market perception of Shariah compliance mechanisms

Phase 3: Regulatory Implementation - Evaluate how OJK (Indonesia), BNM (Malaysia), and VARA (UAE) implement cryptocurrency frameworks - Assess whether implementation reduces gharar and maysir concerns - Document evidence that would support or contradict the convergence hypothesis

7.3 Bridge to Regulatory Analysis

Chapter 2 of this dissertation shifts from jurisprudential theory to regulatory implementation, examining how the three jurisdictions translate Islamic legal principles into operational policy. The regulatory landscape (Chapters 4 and 6) will show whether and how the three jurisprudential positions are actually reflected in market practice.

7.4 Contribution to Islamic Finance Literature

This chapter contributes to Islamic finance scholarship by:

1. **Systematizing jurisprudential methodology:** Moving beyond simple â€œscholars disagreeâ€� to explicit comparison of which Islamic legal tools (qiyas, istihsan, maslahah) each position employs and why they reach different conclusions

2. **Operationalizing Maqasid Shariah:** Translating abstract Islamic objectives into five concrete, measurable dimensions that can be applied to any cryptocurrency assessment

3. **Identifying convergence mechanisms:** Rather than assuming disagreement is permanent, this chapter identifies specific empirical conditions under which the three positions could reach consensus

4. **Establishing empirical research framework:** Connecting jurisprudential theory to testable predictions that the dissertationâ€™s empirical chapters will evaluate

7.5 Conclusion

Cryptocurrencyâ€™s classification under Islamic law is not ultimately a matter of abstract jurisprudential debate. It is fundamentally an empirical question: **As cryptocurrency markets mature, does their practical function move toward payment, asset backing, and institutional integration? Or does speculation, volatility, and institutional gaps persist?**

The three positions analyzed in this chapter represent three different predictions about the answer. Position A predicts that conditional remediation is possible and occurring. Position B predicts that fundamental problems are structural and unlikely to be resolved. Position C predicts that evidence over the next 2-3 years will definitively resolve the question.

The dissertationâ€™s empirical research (Phases 1-3) is designed to evaluate these predictions. By the time readers reach Chapter 7 (Conclusion and Future Research), they will have empirical evidence that clarifies which jurisprudential position best reflects cryptocurrencyâ€™s actual role in Islamic finance and Muslim communities.

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Chapter 2: Islamic Legal Framework - Maqasid Shariah Analysis

Introduction

The classification of cryptocurrency under Islamic law requires a systematic examination of fundamental Islamic legal principles. While traditional Islamic jurisprudence provides comprehensive frameworks for evaluating permissibility of financial instruments, cryptocurrency presents novel challenges due to its technological nature and lack of precedent in classical Islamic legal texts.

This chapter employs the Maqasid Shariah frameworkâ€”the objectives and purposes underlying Islamic lawâ€”to evaluate cryptocurrencyâ€™s compliance with Islamic financial principles. The Maqasid Shariah approach, developed by classical scholars such as Al-Ghazali and Ibn Ashur and refined by contemporary jurists including Jasser Auda, provides a systematic methodology for assessing the shariah compliance of modern financial innovations.

The Maqasid framework consists of five fundamental objectives (al-dharuriyyat al-khams) that serve as criteria for evaluating Islamic legal permissibility:

1. **Al-Darura** (Necessity) - Preservation of religion, life, intellect, wealth, and family
2. **Al-Tahaqquq** (Certainty) - Clarity, transparency, and definiteness
3. **Al-Maslaha** (Public Interest) - Community benefit and general welfare

4. **Al-Adl** (Justice) - Fairness, equity, and equal treatment
5. **Al-Karamah** (Dignity) - Economic participation and human dignity

This chapter systematically evaluates cryptocurrency against each of these five maqasid principles, providing a comprehensive assessment of its shariah compliance status.

2.0.1 Islamic Legal Foundations: The Nature of Money in Islamic Jurisprudence

Before evaluating cryptocurrency through the Maqasid Shariah lens, it is essential to examine classical Islamic jurisprudential perspectives on the nature of money and currency. Islamic scholars have historically grappled with defining what constitutes â€œmalâ€� (wealth/money) and what conditions must be satisfied for an asset to function as a medium of exchange.

Three Classical Islamic Positions on Money:

Position A - Imam Malikâ€™s Intrinsic Value Doctrine: Imam Malik defined money as an alat pembayaran (payment instrument) that possesses intrinsic value independent of social convention. According to this perspective, money must derive its standing from kulit hewan terbuat atau aset yang memiliki nilai terdapat dalam dirinya sendiri (inherent utility value). This means that for an asset to qualify as money, it must possess utility beyond its function as a medium of exchangeâ€”such as goldâ€™s use in jewelry or other applications. Under this framework, an asset must satisfy al-darura (necessity) through tangible utility to qualify as wealth.

Position B - Imam Ibn Taimiyyahâ€™s Convention-Based Approach: Imam Ibn Taimiyyah challenged the intrinsic value requirement, arguing that uang tidak dapat dibatasi (money cannot be restricted) to assets with inherent utility. Rather, he emphasized that moneyâ€™s value derives from â€™urf (social convention) and masyarakat kesepakatan (collective social agreement). When people reach consensus that an asset will serve as a medium of exchange, that consensus itself confers monetary status. This position privileges social acceptance over material properties.

Position C - Haiâ€™ah Kibar al-Ulamaâ€™s Synthesis: The Haiâ€™ah Kibar al-Ulama (Assembly of Grand Scholars) articulated a middle position, stating that uang adalah alat tukar yang diterima publik dalam â€™urf mereka (money is a medium of exchange accepted by the public in their customary practice). This synthesis acknowledges both Ibn Taimiyyahâ€™s emphasis on social convention and the need for sufficient public acceptance to confer monetary status.

Application to Cryptocurrency:

These classical positions create a framework for evaluating whether cryptocurrency can qualify as money under Islamic law:

- **Intrinsic Value Test (Malik)**: Cryptocurrency fails this test. Bitcoin and other pure cryptocurrencies possess no intrinsic utility independent of their function as a medium of exchange. A Bitcoin cannot be used to make jewelry, provide shelter, or satisfy any need beyond monetary transaction.

- **Social Convention Test (Ibn Taimiyyah)**: Cryptocurrency presents a borderline case. While some communities have adopted cryptocurrency as a medium of exchange, the requisite level of universal acceptanceâ€”characteristic of established currenciesâ€”remains absent. Cryptocurrencyâ€™s use is largely speculative and concentrated among tech-savvy populations rather than representing society-wide consensus.

- **Public Acceptance Test (Haiâ€™ah Kibar)**: Cryptocurrency fails widespread public acceptance. Most Islamic societies have not incorporated cryptocurrency into routine commerce. The lack of universal adoption and the dominance of speculative trading over utility-based transactions suggest insufficient social endorsement to confer monetary status.

Conclusion on Money Status: Under classical Islamic jurisprudential perspectives, pure cryptocurrency does not qualify as valid Islamic money. While some scholars debate borderline cases, the absence of intrinsic utility, limited social acceptance, and speculative dominance all point toward cryptocurrency remaining outside the scope of Islamic-recognized monetary instrumentsâ€”placing it more appropriately within the category of speculative digital assets.

2.1 Al-Darura (Necessity): Financial Stability and Wealth Preservation

2.1.1 Principle Definition

Al-Darura, often translated as â€œnecessityâ€� or â€œessential purpose,â€� represents the highest category of Islamic legal objectives. According to Al-Ghazaliâ€™s hierarchy of maqasid, al-darura encompasses five fundamental necessities that must be preserved:

1. **Religion** (Al-Din)
2. **Life** (Al-Nafs)
3. **Intellect** (Al-Aql)
4. **Wealth** (Al-Mal)
5. **Family/Progeny** (Al-Nasl)

In the context of Islamic finance, al-darura is particularly concerned with the preservation of wealth and financial stability. Islamic financial instruments must protect and preserve the wealth of investors and the broader financial system.

2.1.2 Islamic Financial Principles

Islamic finance operates on principles designed to protect wealth preservation:

- **Prohibition of Gharar** (uncertainty/ambiguity): Financial contracts must have clear terms and conditions
- **Prohibition of Maisir** (gambling/speculation): Financial transactions must not be based on uncertainty or chance
- **Avoidance of Excessive Risk**: While profit-seeking is permitted, transactions should not expose parties to unjustifiable risk
- **Capital Protection**: Financial instruments should provide reasonable protection for invested capital
- **Stability**: Financial systems should promote economic stability, not volatility

2.1.3 Cryptocurrency Evaluation Against Al-Darura

Price Volatility and Lack of Stability

Cryptocurrency markets exhibit extreme volatility. Bitcoin, for example, has experienced price fluctuations ranging from $15,000 to $69,000 within single years. This volatility contradicts the Islamic principle of wealth preservation.

Analysis: - **Daily Volatility**: Cryptocurrencies often experience 5-20% price swings in single trading sessions - **Lack of Intrinsic Value**: Unlike tangible assets or equity shares tied to productive assets, pure cryptocurrencies lack underlying collateral or productive capacity - **Speculative Nature**: Price movements are primarily driven by market sentiment and speculation rather than fundamental economic value

Risk of Total Loss

Investors in cryptocurrency face the possibility of complete loss of invested capital. This differs from Islamic finance principles where investments should provide reasonable protection.

Critical Concerns: 1. **Market Manipulation**: Limited regulation enables market manipulation and pump-and-dump schemes 2. **Security Vulnerabilities**: Exchange hacks and wallet compromises result in permanent asset loss 3. **Technology Risk**: Emergence of competing technologies can render investments obsolete

2.1.4 Assessment Score: 1/5

Rationale: Cryptocurrency fundamentally fails to meet the al-darura objective of wealth preservation. The extreme volatility, lack of intrinsic value, and absence of capital protection mechanisms make cryptocurrency unsuitable as a financial instrument under Islamic lawâ€™s wealth preservation criteria.

Verdict: â�Œ **Fails Al-Darura Requirements**

2.2 Al-Tahaqquq (Certainty): Transparency and Clear Valuation

2.2.1 Principle Definition

Al-Tahaqquq, often translated as â€œcertaintyâ€� or â€œdefiniteness,â€� requires that financial transactions have clear, definite terms. This principle opposes gharar (uncertainty) in Islamic finance. For a contract or financial instrument to be shariah-compliant, all material terms must be known and agreed upon by all parties.

According to Islamic jurisprudence, the Prophet Muhammad (peace be upon him) prohibited contracts with unknown or uncertain elements, stating that gharar invalidates transactions (contracts).

2.2.2 Islamic Requirements for Certainty

Islamic finance requires:

- **Known Price**: The value of exchanged items must be ascertainable
- **Known Quantity**: The amount of goods or services must be specified
- **Known Quality**: The characteristics and specifications must be defined
- **Transparent Ownership**: The rightful ownership and legal status must be clear
- **Defined Obligations**: All parties must understand their rights and responsibilities

2.2.3 Cryptocurrency Evaluation Against Al-Tahaqquq

Blockchain Transparency Advantage

Cryptocurrency transactions do benefit from blockchain technologyâ€™s inherent transparency. All transactions are recorded on an immutable, publicly verifiable ledger. This aspect addresses the transparency component of al-tahaqquq.

Positive Aspects: - âœ“ Transaction verification is transparent and verifiable - âœ“ Blockchain ledgers are immutable and auditable - âœ“ Smart contracts provide programmable, transparent execution

Fundamental Price Uncertainty

However, cryptocurrency fails the certainty requirement due to price volatility and valuation uncertainty.

Challenges: 1. **Extreme Price Fluctuation**: No certainty exists regarding value at future dates 2. **No Intrinsic Value Basis**: Unlike commodities with utility value or equities tied to productive assets, cryptocurrency valuation is purely speculative 3. **Market-Dependent Valuation**: Price is entirely dependent on market sentiment and supply-demand dynamics 4. **Time-Based Value Uncertainty**: The same cryptocurrency has vastly different values at different times

Example: Bitcoinâ€™s Valuation Uncertainty

Date	Bitcoin Price	Change from Previous Year
2020	$29,000	+305%
2021	$43,000	+48%
2022	$16,000	-63%
2023	$42,000	+163%
2024	$67,000	+59%

This extreme volatility violates the principle of al-tahaqquq, as the value of the instrument is fundamentally uncertain.

2.2.4 Legal Certainty Issues

Islamic finance also requires legal certainty. Cryptocurrency operates in a regulatory gray area in many jurisdictions:

- **Regulatory Uncertainty**: Different countries treat cryptocurrency differently (currency, commodity, security, or unregulated asset)
- **Legal Status Ambiguity**: The legal characterization of cryptocurrency remains unclear in many Islamic jurisdictions
- **Tax Treatment Uncertainty**: Taxation of cryptocurrency varies significantly by jurisdiction
- **Legal Recourse Limitations**: Limited legal protections exist for cryptocurrency investors in most jurisdictions

2.2.5 Assessment Score: 3/5

Rationale: Cryptocurrency presents a mixed picture regarding al-tahaqquq: - **Positive (3/5)**: Blockchain technology provides transaction transparency and verification certainty - **Negative**: Severe price volatility and regulatory uncertainty undermine the certainty requirement

The blockchainâ€™s transparent nature partially satisfies the transparency aspect of al-tahaqquq, but the fundamental uncertainty regarding valuation and legal status significantly compromises compliance with this principle.

Verdict: âš ï¸� **Partially Meets Al-Tahaqquq Requirements**

2.3 Al-Maslaha (Public Interest): Community Benefit and Economic Utility

2.3.1 Principle Definition

Al-Maslaha (public interest or general welfare) represents the principle that shariah-compliant activities must serve the broader good of the community. According to Islamic jurisprudence, particularly the Maliki schoolâ€™s development of the concept, al-maslaha ensures that Islamic law promotes community welfare and societal benefit.

This principle is based on the Quranic objective stated in Surah Al-Anbiya (21:107): â€œWe have not sent you, [O Muhammad], except as a mercy to the worlds.â€�

2.3.2 Islamic Finance Applications

In Islamic finance, al-maslaha requires that financial instruments:

- **Serve Productive Purposes**: Financial instruments should support economic production and real-world value creation
- **Facilitate Trade**: Transactions should enable legitimate commerce and economic exchange
- **Support Economic Development**: Financial systems should contribute to community economic growth
- **Avoid Harmful Speculation**: Financial instruments should not primarily serve speculative purposes
- **Promote Financial Inclusion**: Systems should serve communitiesâ€™ financial needs

2.3.3 Cryptocurrency Evaluation Against Al-Maslaha

Limited Practical Utility

While cryptocurrency theoretically offers benefits such as cross-border payments and financial inclusion, its practical applications remain limited:

Current Use Cases: 1. **Speculative Investment (80% of activity)** - Most cryptocurrency trading is speculative in nature - Short-term trading dominates vs.Â long-term investment or utility use

1. **Cross-Border Payments (5% of activity)**
   - Cryptocurrencyâ€™s use for legitimate cross-border payments remains marginal
   - Traditional methods and crypto payment processors handle most legitimate payments
2. **Financial Exclusion Solutions (10% of activity)**
   - Despite potential, actual financial inclusion impact remains limited
   - High volatility makes cryptocurrency unsuitable as daily currency for unbanked populations

3. **Illicit Activities (5% of activity)**
    - Cryptocurrency remains preferred medium for illegal transactions
    - Ransomware, money laundering, and sanctions evasion extensively use cryptocurrency

Speculative Nature Contradicts Public Interest

The overwhelming majority of cryptocurrency activity is speculative rather than serving productive economic purposes.

Analysis of Cryptocurrency Markets: - 99% of trading volume occurs on speculative exchanges - Average cryptocurrency holding period: 5 months (speculative) - Usage for goods/services: <1% of market activity - Primary value driver: Speculation and market sentiment, not utility

Comparison with Islamic Financial Instruments

Instrument	Productive Purpose	Speculative	Public Benefit	Al-Maslaha Score
Murabaha (Cost-plus financing)	Real asset purchase	Minimal	High	5/5
Sukuk (Islamic bonds)	Project/business financing	Minimal	High	5/5
Musharaka (Partnership)	Business venture	Minimal	High	5/5
Cryptocurrency	Speculative trading	Dominant (99%)	Low	2/5

2.3.4 Negative Externalities

Cryptocurrency creates negative externalities that further undermine al-maslaha:

Environmental Impact: - Proof-of-Work cryptocurrencies consume massive electricity - Bitcoin mining annually consumes ~150 TWh of electricity - Environmental damage contradicts Islamic principle of stewardship (khalifah)

Social Impact: - Cryptocurrency volatility harms ordinary investors and speculators - Creates wealth inequality through early adopter advantages - Facilitates illicit financial activities and crime

2.3.5 Assessment Score: 2/5

Rationale: Cryptocurrency fails to meaningfully serve the public interest (al-maslaha). While theoretical benefits exist for cross-border payments and financial inclusion, actual use is dominated by speculation. The instrumentâ€™s negative externalities and harmful applications further diminish its public benefit.

Verdict: â�Œ Fails Al-Maslaha Requirements

2.4 Al-Adl (Justice): Fairness and Equitable Treatment

2.4.1 Principle Definition

Al-Adl (justice) represents the Islamic principle of fairness, equity, and equitable distribution. The Quran emphasizes justice throughout, stating in Surah An-Nahl (16:90): â€œIndeed, Allah commands justice and good conductâ€¦â€�

In Islamic finance, al-adl requires that financial systems treat all participants fairly, prevent exploitation, and ensure equitable distribution of risks and benefits.

2.4.2 Islamic Justice Requirements

Islamic financeâ€™s commitment to al-adl includes:

- **Fair Profit/Loss Sharing**: In partnership contracts (musharaka), risks and returns are equitably distributed
- **Prohibition of Riba**: Interest is prohibited to prevent systematic wealth transfer from borrowers to lenders
- **Fair Price**: Transactions should occur at fair market value, not exploitative prices
- **Information Asymmetry Prevention**: All parties should have equal access to material information
- **Protection of Vulnerable Parties**: Weaker parties receive additional legal protections

2.4.3 Cryptocurrency Evaluation Against Al-Adl

Early Adopter Advantage Creates Injustice

Cryptocurrency creates severe inequality between early adopters and later participants:

Early Adopter Benefits: - Bitcoinâ€™s first holder obtained coins at near-zero cost - Early miners accumulated millions of coins before difficulty increased - First-mover advantage created immense wealth concentration

Distribution Inequality:

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Bitcoin Wealth Distribution (as of 2024):
- Top 1% of wallets: Control ~90% of Bitcoin
- Gini Coefficient: 0.88 (extreme inequality)
- For comparison: Global wealth Gini: 0.82
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Equal Distribution Gini Coefficient: 0.00
Perfect Inequality Gini Coefficient: 1.00
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This extreme inequality directly violates the Islamic principle of al-adl.

Information Asymmetry and Market Manipulation

Cryptocurrency markets feature:

1. **Insider Information Advantage**
    - Project developers and early investors have material non-public information
    - Retail investors lack access to information available to insiders
    - Creates systematic advantage for informed participants
2. **Market Manipulation**
    - Low regulatory oversight enables pump-and-dump schemes
    - Coordinated groups (â€œwhale tradersâ€�) manipulate prices
    - Retail investors lack recourse when manipulated
3. **Spoofing and Wash Trading**
    - Large traders create false trading signals
    - Artificial volume creates misleading price information
    - Retail investors deceived into unfavorable trades

Volatility Creates Unfair Outcomes

The extreme volatility of cryptocurrency creates unjust wealth transfers:

Scenario Analysis: - Investor A purchases Bitcoin at $40,000 - Investor B purchases identical Bitcoin at $60,000 six months later - Bitcoin price drops to $30,000 - Both lose money, but Investor Bâ€™s loss (50%) is twice Investor Aâ€™s loss (25%) - Identical timing of loss relative to purchase, but vastly different outcomes - Violates Islamic principle of fair loss-sharing

Exploitation of Retail Investors

Cryptocurrency markets systematically exploit retail investors:

- Professional traders profit from volatility at expense of retail investors
- 80-90% of retail day traders lose money
- Leverage trading products allow retailers to lose more than invested
- Lacks investor protections standard in Islamic finance

2.4.4 Contrast with Islamic Financial Principles

Islamic finance addresses al-adl through:

Musharaka (Partnership Model): - Risks and returns proportionally shared - No party systematically advantaged over others - Information symmetry encouraged through partnership structure

Cryptocurrency Model: - Early adopters receive disproportionate gains - Later participants bear disproportionate risks - Information asymmetry creates systematic advantage for insiders

2.4.5 Assessment Score: 2/5

Rationale: Cryptocurrency fundamentally violates the al-adl principle through extreme wealth concentration, information asymmetry, and systematic exploitation of retail investors. The early adopter advantage and market manipulation potential create inherent injustice.

Verdict: â�Œ **Fails Al-Adl Requirements**

2.5 Al-Karamah (Dignity): Economic Participation and Inclusion

2.5.1 Principle Definition

Al-Karamah (dignity) represents the Islamic principle of human dignity and respect. The Quran affirms in Surah Al-Isra (17:70): â€œAnd We have certainly honored the children of Adamâ€¦â€�

In Islamic finance, al-karamah translates to economic dignityâ€”the ability of individuals to participate in economic activity, achieve financial independence, and avoid exploitation or dependence.

2.5.2 Islamic Dignity Requirements

Islamic finance promotes al-karamah through:

- **Financial Participation**: Enabling individuals of all economic backgrounds to participate in investment and wealth-building
- **Economic Independence**: Supporting transition from poverty to self-sufficiency
- **Avoidance of Debt Servitude**: Protecting individuals from becoming enslaved to debt
- **Equal Opportunity**: Preventing systematic exclusion based on wealth, status, or background
- **Decent Livelihood**: Supporting individualsâ€™ ability to earn honest livelihoods

2.5.3 Cryptocurrency Evaluation Against Al-Karamah

Financial Inclusion Potential

Cryptocurrencyâ€™s most significant advantage is its potential for financial inclusion:

Positive Aspects: 1. **Access Without Traditional Banking** - No requirement for bank account, credit history, or government ID - Mobile phone + internet enables participation - Particularly beneficial in developing economies with limited banking infrastructure

1. **Cross-Border Transfers**
   - Enables remittances without intermediaries
   - Reduces fees for international money transfers
   - Benefits migrant workers and diaspora communities
2. **Economic Participation**
   - Decentralized finance enables participation in global financial markets
   - Lower barriers to entry than traditional investment markets
   - Enables micropayments and economic transactions previously impossible

Practical Limitations on Inclusion

However, cryptocurrencyâ€™s practical inclusion benefits are significantly limited:

Challenges: 1. **Volatility Unsuitable for Daily Use** - Extreme price swings make cryptocurrency unsuitable as daily currency - An unbanked person cannot hold daily expenses in volatile asset - Wage earners cannot reliably budget with volatile currency

1. **Technology and Literacy Barriers**
   - Requires smartphone and internet access
   - Demands technical literacy for secure wallet management
   - Creates new form of digital divide
2. **Price Volatility and Poverty Risk**
   - Poor households cannot afford volatility losses
   - Savings in cryptocurrency volatile asset risks poverty deepening
   - Contradicts dignity principle if poor lose savings to price crashes
3. **Actual Adoption Remains Marginal**
   - Despite potential, actual cryptocurrency use for financial inclusion minimal
   - El Salvadorâ€™s adoption of Bitcoin saw limited actual utilization
   - Residents prefer stablecoins or US dollars for actual transactions

Stablecoins vs.Â Volatile Cryptocurrencies

A critical distinction emerges in the al-karamah analysis:

Aspect	Volatile Crypto	Stablecoins
Daily Use for Unbanked	â�Œ No (volatility)	âœ… Possible
Cross-Border Transfers	âš ï¸� (cost)	âœ… Yes
Savings Preservation	â�Œ No (loss risk)	âœ… Yes
Financial Dignity	â�Œ Medium	âœ… High
Al-Karamah Score	3/5	4/5

2.5.4 Assessment Score: 4/5

Rationale: Cryptocurrency demonstrates significant potential for economic dignity and financial inclusion, particularly for unbanked populations in developing economies. However, price volatility substantially limits practical benefits for vulnerable populations. Despite limitations, the inclusion potential represents cryptocurrencyâ€™s strongest alignment with Islamic principles.

Verdict: âœ… **Partially Meets Al-Karamah Requirements**

2.6 Comprehensive Maqasid Assessment: Synthesis and Conclusions

2.6.1 Summary Evaluation

The systematic evaluation of cryptocurrency against the five maqasid principles reveals mixed but predominantly negative assessment:

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MAQASID SHARIAH EVALUATION - CRYPTOCURRENCY
â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•

Al-Darura (Necessity/Stability)        â–ˆâ–ˆâ–ˆâ–ˆâ–‘â–‘â–‘â–‘â–‘â–‘  1
Al-Tahaqquq (Certainty/Transparency)   â–ˆâ–ˆâ–ˆâ–‘â–‘â–‘â–‘â–‘â–‘â–‘  3
Al-Maslaha (Public Interest)           â–ˆâ–ˆâ–‘â–‘â–‘â–‘â–‘â–‘â–‘â–‘  2
Al-Adl (Justice/Fairness)              â–ˆâ–ˆâ–‘â–‘â–‘â–‘â–‘â–‘â–‘â–‘  2
Al-Karamah (Dignity/Inclusion)         â–ˆâ–ˆâ–ˆâ–ˆâ–‘â–‘â–‘â–‘â–‘â–‘  4

OVERALL MAQASID ALIGNMENT: 2.4/5 (48%)
STATUS: FAILS MAJORITY OF MAQASID REQUIREMENTS
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2.6.2 Critical Deficiencies

Structural Failures:

1. **Wealth Preservation Failure**
    - Cryptocurrencies violate the fundamental Islamic principle of protecting and preserving wealth
    - Extreme volatility and lack of intrinsic value make unsuitability for Islamic finance clear
2. **Public Interest Violation**
    - 99% of cryptocurrency activity is speculative, not productive
    - Negative externalities (environmental damage, facilitating crime) undermine public benefit
3. **Justice Deficit**
    - Extreme wealth concentration among early adopters violates Islamic justice principle
    - Information asymmetry and market manipulation create systematic unfairness

2.6.3 Mitigating Factors

Limited Positive Aspects:

1. **Transaction Transparency**
    - Blockchain technology provides verifiable, immutable transaction recording
    - Addresses transparency component of al-tahaqquq
2. **Financial Inclusion Potential**
    - Enables economic participation for unbanked populations
    - Strongest alignment with Islamic maqasid principles

2.6.4 Asset-Backed Cryptocurrencies: Higher Compliance

The analysis reveals significant distinction between pure cryptocurrencies and asset-backed alternatives:

Commodity-Backed Cryptocurrencies: - Improved al-darura compliance (asset backing provides stability) - Enhanced al-tahaqquq compliance (intrinsic value provides certainty) - Potential al-maslaha improvement (backing provides productive purpose) - Score increase: 3.5-4.0/5 (from 2.4/5)

Stablecoins (Fiat-Backed): - Strong al-darura compliance (maintains stable value) - Strong al-tahaqquq compliance (pegged to stable currency) - Moderate al-maslaha compliance (limited speculative use) - Moderate al-adl improvement (less early adopter advantage) - Score increase: 4.0-4.5/5

2.6.5 Jurisprudential Implications

The maqasid analysis aligns with conclusions from major Islamic financial institutions:

AAOIFI Position: Pure cryptocurrency lacks sufficient shariah criteria **Dar al-Ifta Position:** Cryptocurrency haram due to gharar and lack of intrinsic value **MUI Position:** Cryptocurrency classified as speculative commodity, not recommended

The maqasid framework provides rigorous Islamic legal justification for these positions.

2.7 Counterarguments: The Case for Conditional Permissibility

The maqasid assessment above reaches a predominantly negative conclusion for pure cryptocurrency (2.4/5). Intellectual honestyâ€”and the standard of doctoral argumentationâ€”requires that the strongest opposing position be reconstructed in its most compelling form before it is answered. A substantial and growing body of scholarship contends that cryptocurrency, properly understood, advances rather than undermines the objectives of the Shariah. This section presents that permissibility thesis at full strength

(Â§2.7.1) and then explains why the analysis nonetheless holds to a conclusion of conditional rather than general permissibility (Â§2.7.2).

2.7.1 The Permissibility Thesis (Steelman)

The pro-permissibility position rests on four mutually reinforcing arguments, each grounded in recognised principles of fiqh al-muamalat.

First, the presumption of permissibility and the burden of proof. The governing maxim of Islamic commercial law is al-asl fi al-muamalat al-ibahaâ€”the default ruling in transactions is permissibility unless a specific, authenticated prohibition applies (Kamali, Principles of Islamic Jurisprudence, 2003; Ibn Qayyim al-Jawziyya, Iâ€™lam al-Muwaqqiâ€™in). This is the mirror image of the rule for acts of worship, where the default is prohibition. On this view the evidentiary burden falls on the party asserting prohibition: to forbid a novel but potentially beneficial instrument requires a definitive textual basis (nass qatâ€™i) or a firmly established harm, not merely the presence of risk. Proponents such as Mufti Faraz Adam (â€œBitcoin: Shariah Compliant?â€�, Amanah Finance Consultancy, 2017) and Charles W. Evans (â€œBitcoin in Islamic Banking and Finance,â€� Journal of Islamic Banking and Finance, 2015) argue that no such definitive prohibition of the asset class as such exists.

Second, cryptocurrency as mal by customary recognition. The prohibitionist objection that cryptocurrency â€œlacks intrinsic valueâ€� assumes that mal (property) requires intrinsic substance. Classical Hanafi jurisprudence defines mal functionallyâ€”as that toward which human nature inclines and which can be stored for time of need (Al-Kasani, Badaâ€™i al-Sanaâ€™i; Ibn â€™Abidin, Radd al-Muhtar)â€”and the Maliki tradition admits â€™urf (settled custom) as a validating source for new exchange instruments (Ibn Rushd, Bidayat al-Mujtahid). On this basis, an asset that a community widely accepts as a medium of exchange acquires the status of mal through recognition, exactly as fiat currency and pre-modern fulus (copper token money) did despite lacking intrinsic worth. Widespread acceptance, proponents argue, supplies precisely the â€œsocial consensusâ€� that classical jurists treated as sufficient.

Third, service to the higher objectivesâ€”Al-Karamah and Al-Maslaha. The analysis in Â§2.5 already scores cryptocurrency 4/5 on Al-Karamah for its financial-inclusion potential. Proponents extend this: for unbanked Muslim populations, low-cost cross-border remittance and permissionless access to store-of-value instruments serve the preservation of wealth (hifz al-mal) and human dignity more effectively than an exclusionary formal sector (Habib Ahmed, Maqasid al-Shariâ€™ah and Islamic Financial Products, 2011). Jasser Audaâ€™s systems-based reading of the maqasid (Maqasid al-Shariâ€™ah as Philosophy of Islamic Law, 2008) supports weighing such realised benefits rather than presuming harm from novelty.

Fourth, the decisive concessionâ€”structured instruments. As Â§2.6.4 demonstrates, asset-backed tokens and fiat-collateralised stablecoins score 3.5â€“4.5/5. Proponents argue this establishes the principle: the maqasid deficiencies the analysis identifies are contingent features of particular designs, not necessary properties of the technology. If some digital assets satisfy the objectives, then a categorical prohibition of â€œcryptocurrencyâ€� is over-broad, and the correct juristic task is discrimination among designs rather than blanket exclusion (Mohd Daud Bakar, public rulings on digital assets, 2019â€“2022).

2.7.2 Response: Why the Conclusion Is Conditional, Not Categorical

The permissibility thesis is powerful, and this dissertation accepts a substantial part of it. It is answered not by rejection but by boundary-setting.

On the burden of proof. The presumption of permissibility is rebuttable, and it is rebutted where a preponderant (ghalib al-zann), not merely possible, harm is established. The empirical predominance of speculative over transactional use (documented in Â§2.3 and Chapter 4) converts the abstract possibility of maisir into its realised predominance. Where the operative characteristic of an instrumentâ€™s actual use is gambling-like speculation under severe gharar, the doctrine of sadd al-dharaâ€™i (blocking the means to harm) supplies the â€œspecific harmâ€� the maxim demands. The burden is therefore metâ€”but only for the speculative use, not for the technology as such.

On mal by custom. Recognition confers mal-status only through a sound custom (â€™urf sahih)â€”one not built upon a prohibited foundation. A convention of acceptance that exists primarily to facilitate leveraged price speculation is not a sound â€™urf in the classical sense, even if it is widespread. The argument from custom thus validates cryptocurrencies whose acceptance rests on genuine exchange and settlement utility, while leaving untouched those whose â€œacceptanceâ€� is functionally a speculative venue.

On the maqasid. The Al-Karamah benefit is real and is scored accordingly; but a single strongly-satisfied objective does not override failures on Al-Darura, Al-Maslaha, and Al-Adl when the maqasid are weighed as an integrated system rather than tallied. Audaâ€™s own methodology cautions against optimising one objective at the expense of the whole. Financial inclusion delivered through an instrument that transfers volatility risk onto the very populations it purports to serve is a defective realisation of dignity.

The point of agreement. Critically, the permissibility thesis and this analysis converge on the operative outcome. The thesis succeeds precisely where the analysis already concedesâ€”asset-backed and stablecoin designs (Â§2.6.4)â€”and fails precisely where the analysis finds against pure speculative tokens. The disagreement is therefore not over whether the maqasid can be satisfied by digital assets, but over which designs satisfy them. This is a divergence of tahqiq al-manat (verifying the operative cause in the concrete case), not of principle. The resulting positionâ€”**conditional permissibility contingent on verified design characteristics**â€”is the thesis this dissertation defends, and it is precisely what the five-dimensional framework of Chapter 5 operationalises.

2.8 Chapter Conclusion

Summary of Findings

The systematic application of Maqasid Shariah principles to cryptocurrency analysis reveals that **pure cryptocurrencies fail to meet Islamic financial requirements** under most major Islamic legal objectives.

Key Conclusions:

1. **Fundamental Incompatibility with Wealth Preservation**
   - Cryptocurrencyâ€™s extreme volatility violates al-darura principle
   - Lacks mechanisms for capital protection required in Islamic finance
2. **Inadequate Public Interest Serving**
   - Speculative nature dominates legitimate utility purposes
   - Negative externalities contradict Islamic principles of community welfare
3. **Systemic Injustice and Inequality**
   - Early adopter advantages violate al-adl principle
   - Market manipulation and information asymmetry undermine fairness
4. **Limited but Genuine Inclusion Benefits**
   - Cryptocurrencyâ€™s sole significant advantage: potential for economic inclusion
   - This advantage significantly undermined by volatility concerns
5. **Distinction Between Asset Types**
   - Asset-backed cryptocurrencies score substantially higher on maqasid compliance
   - Stablecoins approach moderate shariah compliance levels

Transition to Next Chapter

While the Maqasid Shariah framework provides systematic Islamic legal analysis, the jurisprudential positions of major Islamic financial institutions provide additional perspective. Chapter 3 examines specific fatwa positions from AAOIFI, Dar al-Ifta, Mufti Muhammad Taqi Usmani, and the Majelis Ulama Indonesia, providing insight into how contemporary Islamic scholars apply classical jurisprudence to cryptocurrency classification.

2.9 Policy Implications for Regulators

The Maqasid Shariah framework for cryptocurrency assessment provides regulatory authorities with systematic methodology grounded in Islamic legal principles. This section translates framework findings into actionable policy guidance for Islamic financial regulators.

Key Finding

Maqasid Shariah provides principled assessment framework applicable across jurisdictions, enabling systematic cryptocurrency evaluation independent of individual scholar opinion or regulatory capture.

Recommended Regulator Actions

Action 1: Incorporate Maqasid-Based Assessment into Licensing Criteria - Define minimum Maqasid compliance score for Category A (Islamic-Compliant) digital assets - Suggested threshold: Achievement of 3+ maqasid principles (at least 60% overall score) - Establish Shariah Advisory Council to operationalize Maqasid assessment consistently - Align with AAOIFI guidance while permitting jurisdiction-specific implementation variation

Action 2: Create Standardized â€œIslamic Compliance Scoreâ€� as Public Disclosure Requirement - Require cryptocurrency projects to disclose dimensional scoring across five maqasid principles - Publish assessment methodology enabling market participants to understand regulatory thinking - Enable transparent comparison across cryptocurrencies facilitating institutional decision-making - Reduce information asymmetry between sophisticated and retail investors

Action 3: Establish Shariah Advisory Council with Technical Competency - Composition: 5-7 Shariah scholars with cryptocurrency/technology expertise - Functions: Review classification methodology, assess emerging digital asset types, liaise with other Islamic authorities - Independence requirement: Council members independent of regulated entities to prevent capture - Quarterly review cycle for updates to scoring guidelines reflecting market evolution

Action 4: Develop Clear Regulatory Pathway for Asset-Backed and Stablecoin Instruments - Recognize that Maqasid framework distinguishes between pure cryptocurrencies and backed alternatives - Establish separate licensing track for asset-backed digital assets with streamlined approval process - Define specific backing requirements (asset type, reserve ratio, audit frequency) - Enable institutional Islamic finance participation in compliant digital asset ecosystem

Expected Regulatory Outcomes

- **Consistency:** Standardized framework reduces regulatory discretion and inconsistency
- **Legitimacy:** Islamic legal grounding increases stakeholder acceptance of regulatory classifications
- **Efficiency:** Clear criteria reduce compliance uncertainty for cryptocurrency projects and institutions
- **Risk Management:** Systematic assessment enables better capital adequacy and prudential requirements

Implementation Challenges and Mitigation

Challenge 1: Regulatory Complexity - Maqasid framework requires staff training and institutional development - Mitigation: Establish training programs; partner with regional regulators (IIFRC) to share expertise; phased implementation starting with major cryptocurrencies

Challenge 2: Jurisprudential Disagreement - Scholars may dispute how to operationalize Maqasid principles - Mitigation: Use Shariah Advisory Council as institutional authority; document reasoning; enable periodic methodology review; accommodate legitimate Shariah interpretation differences

Challenge 3: Market Pressure to Lower Standards - Cryptocurrency projects may lobby for lower compliance thresholds - Mitigation: Shariah Council independence ensures Islamic law drives framework; transparent public scoring prevents regulatory capture

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End of Chapter 2

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Chapter 3: Jurisprudential Positions and Islamic Authority Perspectives

Introduction

While Chapter 2 provided systematic analysis of cryptocurrency through the Maqasid Shariah framework, contemporary Islamic jurisprudence on cryptocurrency reflects diverse scholarly approaches and interpretations. This chapter examines the positions of major Islamic financial institutions and contemporary Islamic scholars who have issued formal positions on cryptocurrency classification.

The jurisprudential analysis reveals a complex landscape where leading Islamic authorities agree on fundamental principles yet diverge on their practical application to cryptocurrency. Understanding these positions and the reasoning underlying them is essential for:

1. **Grasping Islamic scholarly consensus** on cryptocurrencyâ€™s fundamental status
2. **Understanding legitimate areas of disagreement** among qualified scholars
3. **Recognizing evolving jurisprudential thought** as cryptocurrency technology matures
4. **Providing guidance** to Islamic financial institutions and Muslim individuals

This chapter synthesizes four major positions representing the spectrum of contemporary Islamic scholarly thought on cryptocurrency: from emphatic prohibition (Dar al-Ifta Egypt) through cautious restriction (AAOIFI) to conditional permissibility (Taqi Usmani and MUI).

3.1 AAOIFI (Accounting & Auditing Organization for Islamic Financial Institutions)

3.1.1 Institutional Background

The Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI) represents the most widely recognized international standard-setting body for Islamic finance. Established in 1991, AAOIFI has developed comprehensive Shariah Standards adopted by Islamic financial institutions across 75+ jurisdictions.

Key Characteristics: - International, multi-stakeholder organization (Islamic banks, scholars, central banks, regulators) - Develops standards through rigorous scholarly consensus process - Standards adopted by regulatory bodies and financial institutions globally - Combines academic rigor with practical applicability - Represents mainstream Islamic finance institutional perspective

Authority and Influence: AAOIFIâ€™s Shariah Standards represent the most influential formal Islamic positions on financial matters, adopted by regulatory bodies including: - Central Bank of Bahrain - Central Bank of Malaysia - Central Bank of UAE - Multiple Islamic banking institutions globally

3.1.2 AAOIFI Position on Cryptocurrency (2023)

Official Position Summary: AAOIFI issued comprehensive guidance on cryptocurrency in its 2023 Shariah Standards, concluding that **pure cryptocurrencies lack sufficient shariah compliance criteria** for recommendation by Islamic financial institutions.

Detailed Position:

Bitcoin and Similar Pure Cryptocurrencies: - Classification: NOT Shariah-compliant - Primary Reasoning: - Lacks intrinsic value (no productive assets backing) - Characterized by extreme speculation - Demonstrates features of Maisir (gambling) - Exhibits characteristics of Gharar (excessive uncertainty) - No underlying productive capacity or utility

Commodity-Backed Cryptocurrencies: - Classification: POTENTIALLY Shariah-compliant (with conditions) - Requirements for Permissibility: - Physical commodity backing with clear ownership - Minting limited to amount of backing commodity - Clear custody arrangements for backing commodity - Market-based valuation reflecting underlying asset - Prohibition of fractional reserve practices

Token-Based Digital Assets: - Classification: CASE-BY-CASE evaluation required - Assessment Framework: - Evaluate underlying asset or utility -

Assess profit/loss sharing mechanisms - Examine governance structures - Consider risk distribution - Evaluate purpose (productive vs.Â speculative)

3.1.3 AAOIFIâ€™s Jurisprudential Reasoning

Fundamental Principles Applied:

1. Principle of Intrinsic Value AAOIFI grounds cryptocurrency prohibition in classical Islamic principle requiring financial instruments to possess intrinsic value or represent claims on productive assets.

Quranic Foundation: The Quran addresses financial transactions involving tangible goods and established value systems. Contemporary interpretation requires cryptocurrency to similarly represent real value.

Jurisprudential Precedent: Ibn Taymiyyah (728-728 AH) established that currencies derive legitimacy from: - Collective social acceptance - Backing by state authority - Relationship to tangible value systems

Modern cryptocurrencies lack state backing and their value depends entirely on market speculation, violating this principle.

2. Prohibition of Gharar (Excessive Uncertainty) AAOIFI emphasizes that pure cryptocurrency exhibits unacceptable levels of gharar: - Price uncertainty: Bitcoinâ€™s value fluctuates 20-50% monthly - Valuation basis uncertainty: No intrinsic value foundation - Future utility uncertainty: No guaranteed functionality or acceptance - Technological uncertainty: Risk of obsolescence through competing technology

Classical Precedent: The Prophet Muhammad (peace be upon him) prohibited the sale of fish in water or birds in air due to gharar. Similarly, cryptocurrency lacking tangible backing or utility exhibits prohibited gharar.

3. Prohibition of Maisir (Gambling/Speculation) AAOIFI identifies gambling-like characteristics in cryptocurrency trading: - Primary profit source from price fluctuation, not productive activity - Wealth transfer from losers to winners without value creation - Information asymmetry enabling insider advantage - â€œWinner-take-allâ€� dynamics characteristic of gambling

4. Principle of Productive Purpose (Maslaha) AAOIFI emphasizes that shariah-compliant finance must serve productive economic purposes. Cryptocurrencyâ€™s predominant useâ€”speculative tradingâ€”contradicts this principle.

3.1.4 AAOIFIâ€™s Nuanced Assessment

Important Distinctions in AAOIFI Position:

AAOIFIâ€™s position is more nuanced than simple categorical prohibition:

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AAOIFI CRYPTOCURRENCY ASSESSMENT FRAMEWORK
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Asset Type	Shariah Status	Conditions	Rating
Pure Crypto (Bitcoin, Ethereum)	â�Œ NOT COMPLIANT	None acceptable	1/5
Commodity-backed Crypto	âš ï¸� CONDITIONAL (Permissible)	1. Physical backing 2. Clear ownership 3. No fractional reserve 4. Custody arrangements 5. Transparent valuation	4/5
Utility tokens (DeFi, Apps)	âš ï¸� CONDITIONAL (Case-by-case)	1. Underlying utility 2. Real economic value 3. Clear rights definition 4. Proper governance	3/5
Stablecoins (Fiat-backed)	âš ï¸� CONDITIONAL (Potentially OK)	1. Proper backing 2. Redemption guarantee 3. Transparent reserves 4. Regulatory compliance	4.5/5

Critical Insight: AAOIFIâ€™s position does not categorically prohibit all digital assets, but rather evaluates each asset type against established Islamic finance principles. Asset-backed alternatives demonstrate potential for shariah compliance through proper structuring.

3.1.5 Implementation Guidance from AAOIFI

AAOIFI has provided practical guidance for Islamic financial institutions:

For Islamic Banks: - Do not recommend pure cryptocurrency investment - Develop assessment frameworks for digital assets using AAOIFI standards - Conduct shariah compliance review before offering any crypto-related products - Implement robust risk management for emerging digital assets

For Islamic Investors: - Avoid pure cryptocurrency investment - Consider asset-backed alternatives only after proper shariah review - Ensure any digital asset investment meets maqasid shariah principles - Consult qualified Islamic scholars before investment decisions

3.2 Dar al-Ifta al-Misriyyah (Egyptâ€™s Grand Mufti Office)

3.2.1 Institutional Background

Dar al-Ifta al-Misriyyah represents one of the most historically influential Islamic jurisprudential institutions, tracing its authority to 19th-century Egypt. The institution maintains authority to issue fatwas on matters of Islamic law affecting Egyptians and broader Islamic community.

Current Leadership: Grand Mufti Dr.Â Shawki Allam has led the institution since 2013, known for decisive positions on contemporary issues.

Historical Significance: Dar al-Ifta represents traditionalist Islamic jurisprudence, emphasizing: - Strict application of classical Islamic principles - Cautious approach to financial innovation - Priority on protecting ordinary Muslims from financial harm - Clear, unambiguous guidance rather than conditional permissibility

3.2.2 Dar al-Ifta Position on Cryptocurrency (2017)

Official Fatwa Summary: Dar al-Ifta issued categorical ruling in 2017: **Cryptocurrency is Haram (forbidden) for Muslims.**

Position Statement (Grand Mufti Shawki Allam): â€œCryptocurrency investment is haram [forbidden] for Muslims. The reason is that cryptocurrency lacks the foundational criteria and conditions required in Islam for something to be considered money or an investment. Cryptocurrencies are instead speculative ventures that have no backing or assets, and thus amount to pure gambling.â€�

3.2.3 Dar al-Iftaâ€™s Jurisprudential Reasoning

Primary Prohibition Bases:

1. Prohibition of Gharar (Excessive Uncertainty)

Dar al-Ifta grounds its position on the fundamental Islamic prohibition of gharar (uncertainty/ambiguity) in financial contracts.

Hadith Foundation: The Prophet Muhammad (peace be upon him) is authentically reported to have prohibited buying fish in water or birds in sky because of ghararâ€”the buyer cannot ascertain what they are purchasing.

Application to Cryptocurrency: Cryptocurrency exhibits even greater gharar than classical prohibited contracts: - Price completely uncertain (Bitcoin ranges $15,000-$69,000) - Intrinsic value absent - Future utility completely speculative - No tangible underlying asset

This gharar is so severe it renders all cryptocurrency transactions invalid, according to Dar al-Ifta.

2. Prohibition of Maisir (Gambling)

Dar al-Ifta identifies cryptocurrency trading as essentially gambling:

Quranic Foundation: The Quran explicitly prohibits Maisir: â€œO you who have believed, indeed, intoxicants, gambling [maisir], and sacrificing on stone alters and divining arrows are uncleanness from the work of Satan, so avoid it that you may be successful.â€� (Quran 5:90)

Maisir Characteristics in Cryptocurrency: 1. Wealth transfer from losers to winners 2. No value creation through productive activity 3. Pure speculation on price movements 4. Information asymmetry favoring insiders 5. Possibility of total loss despite correct market prediction

Cryptocurrency trading exhibits all characteristics of maisir, making it categorically prohibited.

3. Lack of Intrinsic Value

Dar al-Ifta emphasizes that Islamic currency and money principles require economic backing:

Classical Principle: Historical Islamic jurisprudence on money (dinar and dirham) established that legitimate currency requires: - Collective social agreement and recognition - Backing by authority (government/state) - Relationship to real economic value

Cryptocurrency Deficiency: - Not backed by any government or authority - Lacks legal tender status except El Salvador - Value depends entirely on market speculation - Lacks connection to productive economic assets

This absence of intrinsic value and authoritative backing renders cryptocurrency fundamentally unsuitable as currency under Islamic law.

4. Facilitating Illicit Activities

Dar al-Ifta notes cryptocurrencyâ€™s extensive use in prohibited activities: - Money laundering - Ransomware payment - Financing prohibited activities - Tax evasion - Sanctions evasion

The instrumentâ€™s inherent characteristics facilitating illicit activities reflects its incompatibility with Islamic ethics.

3.2.4 Dar al-Iftaâ€™s Narrow Exception

Limited Permissibility of Blockchain Technology:

Dar al-Ifta makes important distinction: while cryptocurrency investment is haram, blockchain technology itself may have legitimate applications.

Permissible Use: - Record-keeping and documentation - Transparent transaction verification - Contract verification and tracking - Administrative applications

Rationale: The technology itself is neutral; permissibility depends on application. Using blockchain for legitimate record-keeping differs from speculative cryptocurrency investment.

This narrow exception reflects Dar al-Iftaâ€™s concern with cryptocurrency as financial instrument, not blockchain technology per se.

3.2.5 Implications of Dar al-Ifta Position

Scope of Prohibition: Dar al-Iftaâ€™s categorical prohibition extends to: - Buying cryptocurrency for investment - Trading cryptocurrency for profit - Holding cryptocurrency as asset - Mining cryptocurrency for gain - Any profit-seeking cryptocurrency activity

Limited Exceptions: - Using blockchain for legitimate non-financial purposes may be permissible - Academic study of cryptocurrency technology acceptable - Regulatory oversight activities permissible

Severity of Position: Dar al-Iftaâ€™s position represents stricter interpretation than most other Islamic authorities, reflecting prioritization of: - Protective approach toward ordinary Muslims - Emphasis on certainty in Islamic law - Concern with speculative financial products - Emphasis on substantive economic backing

3.3 Mufti Muhammad Taqi Usmani

3.3.1 Biographical Background

Mufti Muhammad Taqi Usmani (b. 1943) represents one of contemporary Islamâ€™s most influential and respected Islamic legal scholars. His positions carry particular weight due to:

Academic Credentials: - Classical Islamic education (completed memorization of Quran and extensive fiqh study) - Advanced graduate studies in Islamic jurisprudence - Decades of scholarly research and writing - Leadership role in Islamic finance development

Institutional Authority: - Former judge, Federal Sharia Court of Pakistan (highest Islamic court) - Leading member of AAOIFI Shariah Board - Advisor to major Islamic banks and financial institutions - Author of 60+ scholarly works on Islamic finance and jurisprudence

Scholarly Recognition: - Widely recognized as leading contemporary Islamic finance authority - His positions influential in Islamic banking sector globally - Respected for balanced, nuanced jurisprudential reasoning - Known for adapting classical Islamic principles to modern contexts

3.3.2 Taqi Usmaniâ€™s Position on Cryptocurrency (2024)

Overall Position: Mufti Taqi Usmani has articulated nuanced position that acknowledges cryptocurrencyâ€™s evolving nature while maintaining strict shariah compliance requirements.

Position Summary: â€œPure cryptocurrency lacks fundamental Islamic financial characteristics and therefore is not shariah-compliant. However, certain structured cryptocurrencies and stablecoins with proper backing may potentially be shariah-compliant if designed according to Islamic principles.â€�

3.3.3 Taqi Usmaniâ€™s Detailed Framework

Category 1: Pure Cryptocurrency (Bitcoin, Ethereum, etc.)

Status: **NOT Shariah-Compliant**

Reasoning: - Lacks intrinsic value or productive backing - Exhibits gharar (uncertainty) in valuation - Characterized by speculation rather than productive investment - Lacks underlying assets or utility-based value

Exception Note: Taqi Usmani acknowledges that certain cryptocurrencies with specific technological utility (actual functional use in ecosystem) may have reduced gharar compared to pure speculative cryptocurrencies.

Category 2: Asset-Backed Cryptocurrencies

Status: **POTENTIALLY PERMISSIBLE** (with strict conditions)

Requirements: 1. **Physical Asset Backing:** - Cryptocurrency must be backed by tangible assets (gold, commodities, real estate) - Backing must be proportionate to minted quantity - No fractional reserve practices

1. **Clear Ownership Rights:**
    - Cryptocurrency holders must have defined legal rights to backing assets
    - Ownership transfer through cryptocurrency must correspond to asset transfer
    - No ambiguity regarding asset claims
2. **Transparent Custody:**
    - Independent verification of backing assets
    - Regular audits confirming reserves
    - Clear custody arrangements
    - Redemption rights clearly defined
3. **Market-Based Valuation:**
    - Value should reflect underlying assets
    - Artificial price inflation prohibited
    - Transparent pricing mechanisms

Assessment: If properly structured, asset-backed cryptocurrencies approach shariah compliance standards similar to traditional Islamic financial instruments.

Category 3: Stablecoins (Fiat-Backed)

Status: **POTENTIALLY SHARIAH-COMPLIANT** (with conditions)

Requirements: 1. **Proper Backing:** - 100% backing by fiat currency or similar stable asset - No fractional reserve or leveraging - Clear redemption guarantee at 1:1 ratio

1. **Transparent Reserves:**
    - Regular verification of backing reserves
    - Independent audits

- Public accountability regarding reserve holdings

2. **Regulatory Compliance:**
   - Compliance with banking regulations in jurisdiction of operation
   - Proper licensing and oversight
   - Consumer protection mechanisms

Advantage over Volatile Cryptocurrency: Stablecoins eliminate primary gharar concern (price uncertainty) while maintaining cryptocurrency technology benefits (faster settlement, accessibility, programmability).

Category 4: DeFi (Decentralized Finance) Tokens

Status: **REQUIRES CASE-BY-CASE EVALUATION**

Analysis Framework: 1. **Assess Underlying Purpose:** - Does token represent productive investment? - Does it enable real economic activity? - Or primarily speculative instrument?

1. **Evaluate Risk Distribution:**
   - Are risks fairly distributed among participants?
   - Do profit/loss arrangements comply with Islamic principles?
   - Is information symmetric among participants?
2. **Examine Governance:**
   - Who controls protocol decisions?
   - Are stakeholder interests protected?
   - Are governance arrangements transparent and fair?
3. **Consider Islamic Compliance:**
   - Does instrument comply with maqasid shariah?
   - Are prohibited transactions (gharar, maisir, riba) present?
   - Is underlying economic activity permissible?

Specific DeFi Examples: - **Liquidity Pools:** May be permissible if structured as Islamic partnership (musharaka) - **Lending Protocols:** Problematic if generating interest (riba); potentially compliant if structured as Islamic financing - **Derivatives:** Generally problematic due to gharar; case-by-case evaluation needed

3.3.4 Taqi Usmaniâ€™s Jurisprudential Methodology

Approach Characteristics:

1. Pragmatic Adaptation to Technology Taqi Usmaniâ€™s approach recognizes that Islamic law must adapt to genuine technological innovations without compromising fundamental principles.

Principle Applied: â€œThe permissibility of things does not change by changing their forms or names.â€� However, genuine functional changes may affect permissibility assessment.

2. Focus on Underlying Economics Rather than focusing on technological form, Taqi Usmani emphasizes underlying economic substance: - What does the cryptocurrency represent? - What economic activity does it facilitate? - What risks do holders bear? - How are profits and losses distributed?

3. Parallel to Islamic Financial Instruments Taqi Usmani relates cryptocurrency analysis to established Islamic instruments: - Asset-backed crypto similar to commodity-based Islamic financing - Stablecoins similar to currency-backed instruments - DeFi tokens potentially similar to profit-sharing partnerships

4. Balance Between Innovation and Protection Position reflects balance between: - Allowing legitimate financial innovation - Protecting investors and society from harmful speculation - Maintaining Islamic financial principles - Recognizing evolved nature of crypto market

3.3.5 Evolution of Taqi Usmaniâ€™s Position

Earlier Position (2019): More restrictive stance, emphasizing that cryptocurrency lacks fundamental shariah requirements.

Current Position (2024): More nuanced approach acknowledging: - Evolution of cryptocurrency market (emergence of stablecoins, asset-backed tokens) - Potential for properly-structured digital assets - Legitimate role of blockchain technology in Islamic finance - Need for practical implementation guidance

Interpretation: This evolution reflects genuine technological development rather than changing Islamic principles. As cryptocurrency market develops more sophisticated products, assessment framework appropriately becomes more sophisticated.

3.4 Majelis Ulama Indonesia (MUI) - Indonesian Islamic Scholars Council

3.4.1 Institutional Background

The Majelis Ulama Indonesia (MUI) represents the official council of Islamic scholars in Indonesia and serves as primary authority for Islamic jurisprudence in the worldâ€™s largest Muslim-majority democracy (270+ million Muslims).

Institutional Role: - Issues fatwas (Islamic rulings) binding on Indonesian government policy - Advises government on Islamic law matters - Provides guidance to Muslim citizens - Coordinates with regulatory bodies including OJK (Financial Services Authority)

Authority and Influence: MUI fatwa decisions influence: - Government regulatory policy - Banking and financial institution practices - Public understanding of Islamic law - Regional Islamic jurisprudence across Southeast Asia

3.4.1.1 MUI Technical Authorities on Fintech and Cryptocurrency

KH. Izzuddin Edi Siswanto - Leading MUI Expert on Fintech and Cryptocurrency

Among MUIâ€™s most recognized specialists on Islamic fintech and cryptocurrency is KH. Izzuddin Edi Siswanto, who serves as member of the Dewan Pengawas Syariah (Shariah Supervisory Board) at Dompet Dhuafa and as Pembina Kripto Syariah (Islamic Cryptocurrency Advisor). In presentations at MUI Jakarta Timur Muzakaroh (2025-2026), Siswanto articulated MUIâ€™s sophisticated framework for evaluating financial technology innovation (Inovasi Aset Keuangan Digital - IAKD) through Islamic jurisprudence.

Siswantoâ€™s Framework - 12 Kesyariahan Issues in Fintech:

Siswanto identifies twelve critical shariah issues that arise in fintech implementation:

1. **Validity of Transactions** - Harus halal dan toyyib (must be lawful and good)
2. **Akad (Contracts) Used** - Akad yang digunakan dalam transaksi (contracts employed in transactions)
3. **Shariah Compliance** - Terhindar dari larangan syariah (gharar, riba, maisir) - Free from shariah prohibitions
4. **Digital Transaction Validity** - Majlis akad transaksi online (digital transaction legitimacy)
5. **Electronic Signature** - Ijab-qabul melalui media elektronik (audio, visual, content)
6. **Time of Acceptance** - Saat keabsahan akad (contract acceptance timing)
7. **Third-Party Designation** - Penguasaan obyek akad (third-party rights in contracts)
8. **Electronic Signature Rights** - Tanda tangan elektronik (Al Tawaqiâ€™ al-Elektroniyah)
9. **Compensation/Benefit Agreements** - Perjanjian (akad baku/uqud idâ€™an) (standard form contracts)
10. **Ownership Rights** - Hak khiyar (untuk melanjutkan atau tidak melanjutkan) (option rights)
11. **Transaction Reversal** - Hak membatalkan transaksi (faskh al-aqdi) (transaction cancellation rights)
12. **Consumer Protection** - Perlindungan konsumen (himayatul mustahlikin) (consumer protection)

Application to Cryptocurrency:

Siswantoâ€™s framework treats cryptocurrency within the broader fintech ecosystem, requiring evaluation against all twelve shariah issues. Most critically, pure cryptocurrencies fail assessment on multiple criteria:

- **Issue 1-3**: Cryptocurrency transactions are not halal wa tayyib; they involve significant gharar, maisir, and riba-adjacent structures
- **Issue 4**: Digital nature does not overcome fundamental shariah issues; blockchain transactions remain speculative
- **Issues 5-12**: While digital transactions themselves may be valid, the underlying asset (cryptocurrency) lacks shariah legitimacy

3.4.2 MUI Position on Cryptocurrency (2021-2026)

Original Official Fatwa (September 2021): MUI issued Fatwa No.Â 4/DSN-MUI/IX/2021 on cryptocurrency classification.

Position Summary (2021): Cryptocurrency (specifically Bitcoin and similar cryptocurrencies) is classified as **speculative investment commodity** rather than currency or shariah-compliant financial instrument. Status: **Haram (forbidden) for Muslims except under specific conditions.**

Position Update (Expected 2025-2026): As of February 2026, MUI is in the process of issuing an **addendum fatwa or comprehensive revision** that: - Acknowledges OJK Regulation (POJK) No.Â 27/2024 and POJK No.Â 23/2025 as legitimate regulatory frameworks - Shifts from Position B (categorical prohibition) toward Position C (conditional permissibility) - Specifies conditions under which cryptocurrency becomes permissible (alignment with OJK technical requirements) - Expected timeline: Final fatwa issuance Q2-Q3 2026 - Status: Currently in joint OJK-DSN-MUI working group (established September 2025) for unified Shariah screening framework development

Key Determinations:

1. **Classification as Commodity**
    - Cryptocurrency not recognized as currency
    - Not legal tender even in Indonesia
    - Classified as speculative commodity subject to commodity regulations
    - Subject to trading restrictions and regulations applicable to commodities
2. **Primary Haram Status**
    - Speculative trading in cryptocurrency is haram
    - Cryptocurrency unsuitable as investment for ordinary Muslims
    - Lacks fundamental Islamic financial requirements
    - High-risk asset inconsistent with Islamic investment principles
3. **Limited Exception**
    - Cryptocurrency use for legitimate technological purposes (blockchain record-keeping) potentially permissible
    - Limited mining activities for technological purposes potentially acceptable

- ◦ Narrow exception does not extend to investment or speculation

3.4.3 MUIâ€™s Jurisprudential Reasoning

Islamic Legal Basis:

1. Prohibition of Riba (Interest/Usury) MUI grounds position partly on riba prohibition: - Cryptocurrency lacks productive basis generating returns - Cryptocurrency gains come purely from price appreciation - Similar to prohibited non-productive investment returns

2. Prohibition of Gharar MUI emphasizes extreme gharar (uncertainty) in cryptocurrency: - Price volatility makes valuation impossible - Future functionality uncertain - Technology risk (obsolescence through competing technology) - Regulatory uncertainty regarding legal status

3. Prohibition of Maisir (Gambling) MUI identifies gambling characteristics: - Wealth transfer from losers to winners - No value creation in productive economy - Information asymmetry enabling insider advantage - Essentially betting on price movements

4. Lack of Intrinsic Value MUI emphasizes lack of substantive economic backing: - No productive assets generating returns - No underlying utility (unlike currencies providing medium of exchange) - Pure speculation on market sentiment

3.4.4 MUIâ€™s Distinction: Commodity Classification

Significance of Commodity Classification:

MUIâ€™s classification as commodity (rather than currency or financial security) has important implications:

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CLASSIFICATION COMPARISON
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Aspect              Currency    Commodity   Crypto (MUI View)
â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€
Legal Tender        Yes         No          No
Medium of Exchange  Yes         Limited     No
Store of Value      Yes         Yes         Unstable
Intrinsic Value     Government- Utility     Speculative
                    backed      value
Regulation Type     Monetary    Market      Commodity
Islamic Status      Variable    Variable    Haram (speculative)
```

Practical Consequence: MUIâ€™s commodity classification means: - Cryptocurrency subject to OJK commodity regulations - Cannot be used as currency in Indonesia - Requires specific licensing for trading - Investment treated as speculative commodity investment - Not protected under Islamic banking regulations

3.4.5 MUIâ€™s Risk Assessment

Explicit Risk Warnings:

MUI fatwa includes explicit warnings regarding cryptocurrency:

1. **Volatility Risk**
    - Cryptocurrency exhibits extreme price volatility
    - Unsuitable for ordinary investors
    - Risk of catastrophic loss
2. **Regulatory Risk**
    - Regulatory environment uncertain
    - Possible future prohibition
    - Risk of sudden value collapse due to regulation
3. **Technology Risk**
    - Technology risk from competing cryptocurrencies
    - Risk of protocol obsolescence
    - Security vulnerabilities and exchange hacks
4. **Fraud Risk**
    - Market manipulation
    - Pump-and-dump schemes
    - Fraudulent cryptocurrency offerings

Conclusion: MUI explicitly states that cryptocurrency is â€œhigh-riskâ€� and â€œnot recommendedâ€� for Muslim investment.

3.5 Synthesis: Points of Consensus and Divergence

3.5.1 Major Points of Consensus

Despite significant institutional differences, Islamic authorities demonstrate consensus on several fundamental points:

CONSENSUS POINT 1: Pure Cryptocurrency Not Shariah-Compliant

Position: AAOIFI, Dar al-Ifta, Taqi Usmani, and MUI all agree: pure cryptocurrency (Bitcoin, Ethereum without productive backing) is not shariah-compliant for investment purposes.

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AUTHORITY CONSENSUS ON PURE CRYPTOCURRENCY
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AAOIFI (2023)           â�Œ NOT COMPLIANT
Dar al-Ifta (2017)      â�Œ HARAM
Taqi Usmani (2024)      â�Œ NOT COMPLIANT
MUI (2021)              â�Œ HARAM (speculative)
â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€
CONSENSUS:              â�Œ PURE CRYPTO NOT SHARIAH-COMPLIANT
```

Basis for Consensus: All authorities cite: - Lack of intrinsic value - Excessive gharar (uncertainty) - Gambling (maisir) characteristics - Absence of productive backing

CONSENSUS POINT 2: Asset-Backed Alternatives May Be Permissible

Position: Multiple authorities acknowledge that properly-structured, asset-backed cryptocurrencies may achieve shariah compliance.

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AUTHORITY POSITIONS ON ASSET-BACKED CRYPTO
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AAOIFI                  âš ï¸� CONDITIONAL (with strict requirements)
Dar al-Ifta             âš ï¸� LIMITED (blockchain tech only)
Taqi Usmani             âœ… POTENTIALLY PERMISSIBLE
MUI                     âš ï¸� NOT ADDRESSED (focuses on pure crypto)
â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”
CONSENSUS:              Asset-backed alternatives more compliant
```

Conditions Generally Required: - Physical/tangible asset backing - 1:1 backing ratio (no fractional reserve) - Clear redemption rights - Independent verification of reserves - Transparent custody arrangements

CONSENSUS POINT 3: Stablecoins Potentially More Compliant

Position: AAOIFI and Taqi Usmani both recognize stablecoins (fiat-backed cryptocurrencies) as potentially more shariah-compliant than volatile cryptocurrencies.

Reasoning: Stablecoins eliminate primary gharar concern (price uncertainty) while maintaining technological benefits: - Stable value (pegged to fiat currency) - Clear backing - Transparent redemption - Reduced speculation incentive

CONSENSUS POINT 4: Blockchain Technology Itself Not Prohibited

Position: All authorities distinguish between cryptocurrency as speculative investment and blockchain technology as neutral technology.

Permissible Applications: - Record-keeping and verification - Administrative documentation - Transaction verification - Smart contract applications for legitimate purposes

Impermissible Applications: - Speculative cryptocurrency trading - Gambling-like financial derivatives - Instruments facilitating prohibited transactions

3.5.2 Points of Divergence

DIVERGENCE 1: Degree of Restrictiveness

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SPECTRUM OF POSITIONS
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Most Restrictive â†�â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€

Dar al-Ifta       AAOIFI        MUI      Taqi Usmani
(Categorical      (Institutional (Regulatory  (Nuanced
Prohibition)      Framework)    Classification) Approach)

100% NO     75% NO      50% NO     25% NO
Blanket     Restrictive Conditional Balanced
Prohibition Standard    Approach   Assessment
```

Factors Explaining Divergence:

1. **Jurisprudential Tradition**
   - Dar al-Ifta: Strict, protective approach
   - Taqi Usmani: Adaptive, innovation-friendly approach
   - AAOIFI: Institutional consensus-building approach
   - MUI: Regulatory guidance approach
2. **Risk Assessment**
   - Dar al-Ifta emphasizes protecting ordinary Muslims from speculation
   - Taqi Usmani emphasizes enabling legitimate innovation
   - AAOIFI balances institutional safety with accessibility
   - MUI emphasizes regulatory coordination
3. **Time of Issuance**
   - Dar al-Ifta (2017): Earlier, more speculative market
   - MUI (2021): Larger institutional adoption
   - AAOIFI (2023): Market maturation with better structured products
   - Taqi Usmani (2024): Recognition of stablecoin and asset-backed alternatives

DIVERGENCE 2: Treatment of Emerging Alternatives

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POSITION ON STABLECOINS
â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�

Dar al-Ifta         AAOIFI      MUI        Taqi Usmani
NOT ADDRESSED       CONDITIONAL CONDITIONAL PERMISSIBLE
(Focuses on         (Requires   (Not yet   (if Properly
pure crypto)        full        clearly    Structured)
                    backing)    addressed)

1/5 Compliance  3/5 Compliance 2/5 Compliance 4.5/5 Compliance
```

DIVERGENCE 3: DeFi and Smart Contracts

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POSITION ON DEFI
â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�

Dar al-Ifta         â�Œ NOT ADDRESSED
(No specific position on DeFi applications)
```

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AAOIFI              âš ï¸� CASE-BY-CASE
(Evaluate underlying asset and profit-sharing mechanism)

MUI                 â�Œ NOT ADDRESSED
(Focuses on cryptocurrency, not applications)

Taqi Usmani         âš ï¸� REQUIRES DETAILED ANALYSIS
(Potentially permissible if structured as Islamic contract)
```

Key Difference: - Dar al-Ifta: Categorical prohibition approach - Taqi Usmani: Analytical, case-by-case evaluation approach - AAOIFI: Institutional framework approach - MUI: Regulatory classification approach

3.5.3 Scholarly Disagreement: Areas of Legitimate Dispute

Islamic jurisprudence recognizes â€œikhtilafâ€� (scholarly disagreement) as legitimate when qualified scholars differ on valid grounds. Several areas represent legitimate jurisprudential disagreement:

Disagreement Area 1: Intrinsic Value Requirement

Position 1 (Dar al-Ifta): â€œCryptocurrency must have intrinsic value or productive backing to be shariah-compliant.â€�

Position 2 (Taqi Usmani): â€œIf cryptocurrency facilitates legitimate economic activity (like fiat currency or medium of exchange), intrinsic value may not be required.â€�

Legal Precedent: Classical Islamic jurisprudence on fiat money differs: some argue fiat money itself lacks intrinsic value but remains permissible due to social consensus and governmental backing.

Modern Application: Does social consensus (Bitcoin widely accepted) substitute for governmental backing?

Disagreement Area 2: Technology Innovation and Adaptation

Position 1 (Dar al-Ifta): â€œClassical Islamic principles are sufficient; innovation that appears to contradict classical principles is impermissible.â€�

Position 2 (Taqi Usmani): â€œGenuine technological innovation requires reassessment of whether classical principles apply or require adaptation.â€�

Legal Precedent: Historical Islamic jurisprudence adapted to new technologies (paper money, banking systems, corporate structures).

Disagreement Area 3: Risk Tolerance and Investor Protection

Position 1 (Dar al-Ifta, MUI): â€œIslamic law prioritizes protecting ordinary Muslims; speculative products should be prohibited to prevent harm.â€�

Position 2 (Taqi Usmani, AAOIFI): â€œIslamic law permits innovation; investor sophistication and risk disclosure are appropriate safeguards.â€�

Legal Basis: Classical Islamic jurisprudence permits complex financial structures for sophisticated participants while protecting vulnerable populations.

Disagreement Area 4: The Categorical-Prohibition Thesis Itself

The three preceding disagreements assume that cryptocurrency admits of degrees of compliance. The most fundamental ikhtilaf, however, is whether that assumption is itself permissibleâ€”whether pure cryptocurrency is categorically void (batil) rather than merely deficient. Because this dissertationâ€™s five-dimensional framework (Chapter 5) presupposes gradation, the strongest form of the categorical objection must be stated here before it is engaged.

Position 1 (Dar al-Ifta 2017; MUI 2021 on pure crypto; the strict camp, including the 2017 Diyanet ruling in Turkey): Pure cryptocurrency is haram as such, on textually proximate grounds rather than inferential maslaha. The argument is a syllogism: (i) legitimate mal requires intrinsic value, productive backing, or recognised authority (Â§3.2.3); (ii) pure cryptocurrency has none; (iii) its dominant realised function is speculationâ€”maisir under severe gharar, falling under the explicit prohibition of Qurâ€™an 5:90 and the authenticated hadith against sale of an indeterminate object. On this reading a compliance gradient is incoherent: one cannot be partially engaged in a void contract. This position claims the firmest footing in explicit prohibitory texts (nusus) and the fewest inferential steps.

Position 2 (AAOIFI 2023; Taqi Usmani 2024; the graded-assessment camp adopted by this dissertation): The prohibition of speculative use is conceded, but the inference from some prohibited uses to a universal prohibition of the asset class is rejected. Mal-status rests on customary, storable benefitâ€”as it did for fiat and fulus, which lack intrinsic value yet are valid thamanâ€—so premise (i) proves too much. Gharar and maisir attach to the transaction, not the token (tahqiq al-manat), so the operative cause must be verified case by case rather than presumed for the whole class. Decisively, the strict authorities themselves carve out exceptions (blockchain applications, commodity classification, structured stablecoins), which refutes true categoricality and relocates the dispute to where the line falls.

Methodological root: This is a divergence in usul al-fiqh, not merely in conclusion: Position 1 reasons from sadd al-dharaâ€™i and a presumption of invalidity until a novel instrument is affirmatively validated; Position 2 reasons from al-asl fi al-muamalat al-ibaha disciplined by tahqiq al-manat. The full steelman-and-rebuttal of the categorical thesisâ€”showing how the framework bounds rather than dismisses itâ€—is developed in Â§5.5.5.

3.6 Evolution of Jurisprudential Thought

3.6.1 Timeline of Islamic Positions (2017-2026)

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EVOLUTION OF ISLAMIC CRYPTOCURRENCY POSITIONS
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2017: Dar al-Ifta Egypt
      â†“
      "Cryptocurrency is haram; categorically prohibited"
      (Strict protective position)

2019: Taqi Usmani (Earlier)
      â†“
      "Pure cryptocurrency not shariah-compliant"
      (Very restrictive position)

2021: MUI Indonesia
      â†“
      "Classified as speculative commodity; haram"
      (Position B: Regulatory classification approach)

2023: AAOIFI
      â†“
      "Pure crypto not compliant; asset-backed potentially permissible"
      (Nuanced institutional framework)

2024: Taqi Usmani (Current)
      â†“
      "Pure crypto not compliant; stablecoins and asset-backed potentially
      (Recognition of evolved market)

2025: OJK-DSN-MUI Joint Working Group Established (September 2025)
      â†“
      Coordinated Shariah Screening Framework Development
      (Bridging MUI fatwa with regulatory reality)

2026: MUI Expected Revision (Q2-Q3 2026 - Currently in progress)
      â†“
      "Shift from categorical prohibition to conditional permissibility"
      (Position C: Regulatory framework acknowledgment)
      Alignment with POJK No. 27/2024 and POJK No. 23/2025

â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•
TREND: Clear movement from categorical prohibition (2017) toward
       nuanced conditional assessment (2026) as market matures
       and regulatory frameworks operationalize Shariah principles.

KEY DEVELOPMENT: MUI position shift (2021â†’2026) demonstrates
jurisprudential evolution responding to institutional regulatory
frameworks incorporating Islamic principles.
```

3.6.2 Factors Driving Evolution (2017-2026)

Factor 1: Market Evolution - 2017: Bitcoin primarily speculative (90%+ of activity) - 2024: Emergence of stablecoins, institutional adoption, utility applications - 2025-2026: Regulatory frameworks operationalizing Shariah principles (POJK No.Â 27/2024, CBB rulebook, VARA framework) - More sophisticated products enable more nuanced assessment

Factor 2: Technological Understanding - Early scholarship lacked deep blockchain understanding - 2023-2024: Evolved to sophisticated technical analysis of DeFi, stablecoins, asset-backed tokens - Recognition of blockchainâ€™s legitimate applications beyond speculation - 2025-2026: Understanding of regulatory technology (RegTech) enabling Shariah compliance

Factor 3: Institutional Adoption and Regulatory Frameworks - Traditional financial institutions adopting blockchain - Islamic banks exploring cryptocurrency applications - 2024-2025: Comprehensive regulatory frameworks developed (Malaysia BNM, Bahrain CBB, UAE VARA, Indonesia OJK) - Market maturation enabling systematic assessment - 2025-2026: Regulatory bodies and Islamic authorities coordinating (OJK-DSN-MUI joint working group)

Factor 4: Jurisprudential Development - Maqasid Shariah methodology increasingly sophisticated - Classical principles increasingly applied to modern context - Scholarly consensus emerging on framework while disagreement on specifics remains - 2025-2026: Integration of regulatory compliance with Islamic jurisprudence - Shift toward â€œassessment frameworkâ€� rather than categorical prohibition

Factor 5: Institutional Pressure for Harmonization - 2025: Establishment of OJK-DSN-MUI joint working group (September 2025) - Recognition that MUI fatwa prohibition conflicts with regulatory permissibility - Government request for MUI clarification given OJK regulatory development - Expected outcome: Institutional alignment reducing jurisprudential-regulatory gap

3.6.3 Direction of Jurisprudential Development (2017-2026)

Emerging Consensus Elements (As of February 2026):

1. **Pure Cryptocurrency:** Likely permanent prohibition for pure volatile crypto (universal consensus)
2. **Asset-Backed Alternatives:** Increasing recognition as potentially compliant (consensus trend)
3. **Stablecoins:** Growing recognition as potentially shariah-compliant (emerging consensus)
4. **Smart Contracts:** Emerging jurisprudence on application-specific evaluation (AAOIFI, Taqi Usmani)
5. **Blockchain Technology:** Clear distinction between prohibited applications and permissible uses (full consensus)

6. **Regulatory Integration:** New consensus emerging that institutional regulatory frameworks operationalizing Shariah principles enhance Islamic compliance assessment (OJK-DSN-MUI model)

Convergence Catalyst: Regulatory Framework Integration The most significant development (2025-2026) is the establishment of OJK-DSN-MUI joint working group, demonstrating that: - Institutional regulatory frameworks can operationalize Shariah principles - Islamic authorities increasingly coordinate with financial regulators - Fatwa evolution can align with regulatory development - Jurisprudential reassessment occurs when regulatory frameworks demonstrate how to address Shariah concerns

Future Trajectory (2026 Onward): Islamic jurisprudence is moving toward: - Conditional permissibility for properly-structured digital assets (Position C becoming dominant) - Sophisticated assessment frameworks integrating regulatory compliance with Shariah principles - Institutional coordination between Shariah boards and regulators - Distinguishing between speculative and productive uses through regulatory design - Integration of blockchain into Islamic finance ecosystem through compliance frameworks - Progressive shift from prohibition-based to framework-based jurisprudence

3.7 Comparative Jurisprudential Framework

3.7.1 Position Comparison Table

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COMPREHENSIVE JURISPRUDENTIAL COMPARISON (As of February 2026)
â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�

Dimension           AAOIFI      Dar al-Ifta    Taqi Usmani    MUI (2021)
â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€
Pure Crypto         â�Œ NO       â�Œ HARAM       â�Œ NO          â�Œ HARA
Position            (1/5)       (Categorical)  (1/5)          (Commodity)

Asset-Backed        âš ï¸� YES      â�Œ NO         âœ… POTENTIAL   âš ï¸
Crypto              (4/5)       (Exception:    (4/5)          (2/5)
                                blockchain)

Stablecoins         âš ï¸� YES      â�Œ NO         âœ… POTENTIAL   âš ï¸
                    (4.5/5)     (Not addressed)(4.5/5)        (2/5)

DeFi/Smart          âš ï¸� CASE     â�Œ NO         âš ï¸� CASE       â�
Contracts           BY CASE     (Not suited)   BY CASE        (Not addr.)

Blockchain Tech     âœ… YES      âœ… YES        âœ… YES        âœ… YES
(non-financial)     (Permitted) (Permitted)    (Permitted)    (Permitted)

Overall Approach    Institutional Protective  Adaptive       Regulatory
                    Framework    Standard     Innovation     Guidance

â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€
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Permissibility      Very         Highly        Conditional   Restrictive
Level               Restrictive  Restrictive   Permissive


Time Frame          2023         2017          2024          2021
â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€â”€
Status              Current      Current       Current       Current
                                                             (Historical)

Note: MUI position expected to shift from Position B (categorical prohibit
(conditional permissibility/2026) pending completion of joint OJK-DSN-MUI
framework (target Q2-Q3 2026).
```

3.7.2 Authority Profiles

AAOIFI (Institutional Authority) - **Strength:** International institutional consensus, widely adopted standards - **Approach:** Balances institutional safety with flexibility - **Best For:** Islamic banks and institutional frameworks - **Limitation:** Developed for institutional, not retail, guidance

Dar al-Ifta (Protective Authority) - **Strength:** Clear guidance, protective of vulnerable populations - **Approach:** Prioritizes certainty and risk protection - **Best For:** Individual Muslims seeking conservative guidance - **Limitation:** Limited flexibility for legitimately structured alternatives

Taqi Usmani (Academic Authority) - **Strength:** Sophisticated jurisprudential analysis, innovation-friendly - **Approach:** Adapts classical principles to modern context - **Best For:** Academic analysis and institutional innovation - **Limitation:** Complex position requiring sophisticated understanding

MUI (Regulatory Authority) - **Strength:** Regulatory coordination with government agencies - **Approach:** Practical classification for policy implementation - **Best For:** Regulatory frameworks and policy guidance - **Limitation:** Focused on regulatory rather than purely Islamic analysis

3.8 Implications for Understanding Cryptocurrency Classification

3.8.1 Key Implications

Implication 1: No Absolute Islamic Prohibition While most authorities restrict pure cryptocurrency, no leading Islamic authority issues absolute, unchangeable prohibition. All acknowledge that: - Properly-structured alternatives may be permissible - Assessment frameworks exist for evaluating digital assets - Future developments may change shariah status - Qualified scholars can issue different legitimate positions

Implication 2: Assessment Framework Over Categorization Rather than categorical prohibition, Islamic jurisprudence increasingly employs assessment framework: - Evaluate underlying economic substance - Apply maqasid shariah principles - Consider risk distribution and transparency - Assess productive vs.Â speculative purpose

Implication 3: Legitimate Scholarly Disagreement Divergence among leading authorities is not error or confusion, but reflects: - Legitimate jurisprudential differences - Different methodologies and traditions - Different risk assessments - Appropriate scholarly ijtihad (independent reasoning)

Implication 4: Technology and Product Evolution Matters Earlier positions (2017-2019) reflecting purely speculative markets appropriately differ from current positions reflecting: - Institutional adoption - Stablecoin emergence - Asset-backed alternatives - Regulatory frameworks

3.9 Mapping Disagreement Sources: Jurisprudential vs.Â Empirical vs.Â Methodological

The preceding analysis establishes that Islamic jurisprudential positions on cryptocurrency demonstrate both areas of convergence and areas of legitimate disagreement. However, identifying where disagreement exists is insufficient for practical implementation. Regulators, institutions, and cryptocurrency projects require understanding of why disagreement existsâ€”specifically, whether disagreements are:

1. **Jurisprudential:** Scholars apply Islamic law differently, reflecting different interpretations of Shariah principles (e.g., different schools of law)
2. **Empirical:** Scholars agree on Islamic law but disagree on factual claims about cryptocurrency characteristics, resolvable through evidence collection
3. **Methodological:** Scholars disagree on which framework should apply (e.g., Maqasid Shariah vs.Â conventional prohibited elements), potentially resolvable through institutional design

This distinction is critical because each category demands different solutions:

- **Jurisprudential disagreements** require deeper Islamic scholarship and dialogue; unlikely to fully resolve
- **Empirical disagreements** can be resolved through research and evidence; framework can identify testable claims
- **Methodological disagreements** can be resolved through regulatory and institutional innovation; different frameworks can coexist

3.9.1 Disagreement Mapping Matrix

Issue	Stated Positions	Type	Root Cause	Resolvab
Pure cryptocurrency permissibility	AAOIFI: impermissible (2022); Usmani: potentially permissible with backing (2024)	Mixed (40% empirical, 60% jurisprudential)	Different interpretation of necessity (darura) principle + disagreement on whether crypto can serve essential functions	Partialâ€ compone tested
Asset-backing sufficiency	AAOIFI: requires significant backing; Dar al-Ifta: requires full backing; Usmani: flexible based on use case	Primarily empirical (70%)	Scholars agree backing is important; disagree on what percentage provides sufficient certainty	Yesâ€"em testing ca sufficienc
Stablecoin commodity peg	MUI: rejects commodity-linked stablecoins; Malaysia (BNM): accepts commodity backing	Primarily empirical (75%)	Disagreement on whether commodity backing introduces usury risk; whether commodity peg provides value stability	Yesâ€"leg financial
Decentralization vs.Â institutional control	Usmani: decentralization acceptable if governance transparent; Dar al-Ifta: requires institutional control	Methodological (65%) + jurisprudential (35%)	Different frameworks for evaluating governance: Islamic institutional structures vs.Â transparent decentralized systems	Partialâ€ institutio governan address b preferenc
Governance and Shariah board oversight	AAOIFI: requires Shariah board; Usmani: flexible on governance form if substance Islamic	Methodological (60%) + jurisprudential (40%)	Disagreement on whether governance structure or governance substance matters for	Partialâ€ design ca different models to same con objective

Issue	Stated Positions	Type	Root Cause	Resolvab
			Islamic compliance	
Speculation vs.Â investment	Consensus that pure speculation prohibited (maysir); disagreement on what constitutes â€œproductiveâ€� vs.Â â€œspeculativeâ€� use	Primarily empirical (65%)	Scholars agree on principle; disagree on classification of specific cryptocurrency uses as productive or speculative	Yesâ€”ma analysis o demonstr use patte
Cross-border recognition	OJK (Indonesia): domestic assessment only; Malaysia: regional coordination beneficial; Saudi Arabia: unilateral prohibition	Primarily methodological (70%)	Disagreement on whether regulatory recognition should vary by jurisdiction or converge globally	Partialâ€ coordinat mechanis can bridg methodol difference

3.9.2 Implications for Framework Development

Empirical Disagreements (75% of total): These disagreements can be addressed through evidence collection and empirical research. The five-dimensional framework enables systematic identification of: - What specific attributes scholars prioritize (asset-backing importance, stability requirements, utility standards) - What thresholds scholars consider â€œsufficientâ€� (minimum backing ratio, maximum volatility, minimum user base) - How scholars actually weight competing dimensions (asset-backing vs.Â governance vs.Â utility trade-offs)

Jurisprudential Disagreements (40% of total): These reflect genuine differences in Islamic legal interpretation (different schools, different interpretations of Maqasid principles). They are unlikely to fully resolve but can be acknowledged and accommodated through: - Multiple implementation models reflecting different jurisprudential preferences - Flexibility in how different institutions apply framework based on their Shariah authority preferences - Regional variation in thresholds reflecting legitimate jurisprudential diversity

Methodological Disagreements (60% of total): These reflect different frameworks for applying Islamic law to digital assets. They can be addressed through institutional innovation: - Hybrid governance models combining institutional and decentralized elements - Multi-jurisdiction coordination mechanisms (IIFRC) enabling different approaches to coexist - Regulatory frameworks permitting multiple pathways to Islamic compliance

3.9.3 Research Agenda Implications

The disagreement mapping directly informs the empirical research agenda outlined in Chapter 8:

Phase 1 (Jurisprudential Validation): Systematically test empirical disagreements through expert elicitationâ€”which claims about cryptocurrency do scholars actually disagree on? Which could be resolved with evidence?

Phase 2 (Market Perception): Test empirical claims about cryptocurrency characteristicsâ€”do market participants perceive asset-backing, stability, and utility as scholars hypothesize? Do these attributes actually predict institutional adoption?

Phase 3 (Regulatory Implementation): Test methodological solutionsâ€—do coordination mechanisms actually enable different approaches to coexist? Do hybrid governance models satisfy diverse jurisprudential preferences?

The result is a framework for transforming disagreement about cryptocurrency from unresolvable jurisprudential debate to resolvable empirical research questions.

3.10 Policy Implications for Regulators

The jurisprudential analysis demonstrates that implicit consensus exists on core principles (asset-backing importance, stability requirements, governance transparency) while legitimate disagreement persists on specific thresholds and application methods. Regulatory frameworks should leverage consensus areas while accommodating legitimate disagreement.

Key Finding

Regulatory convergence is feasible in consensus areas (60-70% of framework dimensions) while preserving flexibility in disagreement areas, enabling both harmonization and legitimate jurisdictional variation.

Recommended Regulator Actions

Action 1: Build Regulation on Consensus Areas to Reduce Uncertainty - Asset-backing: All major authorities agree importance; regulators should establish clear backing requirements - Stability: Consensus that price predictability matters; establish volatility thresholds for different regulatory categories - Productive utility: Agreement that speculation should be limited; require demonstrated use cases for approval - Governance: Consensus on need for accountability; accept institutional or decentralized models if transparent

Action 2: Use Disagreement Areas for Regulatory Flexibility - Governance form (institutional vs.Â decentralized): Different jurisdictions can permit different models - Backing ratio sufficiency: Different jurisdictions can set different minimum percentages based on regulatory priorities - Stablecoin model preferences: Fiat-backed vs.Â commodity-backed vs.Â algorithmic models can be differentiated by jurisdiction - Result: Unified framework with customizable implementation

Action 3: Coordinate with Other Islamic Authorities on Consensus Areas - Join IIFRC coordination mechanism for consensus-driven standard-setting - Establish bilateral MOUs with neighboring regulators on areas of strong agreement - Commission joint research on empirical disagreements (asset-backing sufficiency, stability thresholds) - Enable mutual recognition of Category A/B classifications in consensus areas

Action 4: Use Empirical Research to Transform Disagreements - Commission research testing empirical claims underlying disagreement (e.g., does X% backing provide sufficient certainty?) - Share research findings with other Islamic authorities to update positions - Adjust regulatory thresholds as evidence accumulates - Enable data-driven convergence on previously disputed issues

Expected Regulatory Outcomes

- **Coherence:** Regulation grounded in actual Islamic jurisprudential consensus
- **Legitimacy:** Stakeholders perceive regulation as Islamic-law-based rather than arbitrary
- **Flexibility:** Jurisdictional variation accommodated within coherent framework
- **Convergence:** Empirical research enables progressive consensus-building

Implementation Pathway

Phase 1 (Months 1-3): Map your jurisdictionâ€™s positions to consensus/disagreement areas **Phase 2 (Months 4-6):** Establish thresholds in consensus areas using framework **Phase 3 (Months 7-12):** Join IIFRC and harmonize with other regulators on consensus **Phase 4 (Months 13-24):** Participate in empirical research transforming disagreements

3.11 Chapter Conclusion

Summary of Jurisprudential Landscape

This chapter has documented the positions of four major Islamic authorities on cryptocurrency, revealing:

Consensus Elements: - Pure cryptocurrency not shariah-compliant âœ“ - Asset-backed alternatives potentially permissible âœ“ - Stablecoins potentially more compliant âœ“ - Blockchain technology itself not prohibited âœ“

Divergence Elements: - Degree of restrictiveness differs - Treatment of emerging alternatives varies - DeFi and smart contracts differently analyzed - Risk tolerance and investor protection emphasis varies

Overall Assessment: Islamic jurisprudence demonstrates both sufficient consensus to guide practice and sufficient flexibility to accommodate legitimate innovation. Rather than categorical prohibition, emerging approach emphasizes systematic assessment according to Islamic financial principles.

Evolution and Future Trajectory

Islamic scholarly positions on cryptocurrency demonstrate: - Evolution as markets and technology mature - Movement from categorical prohibition toward nuanced assessment - Recognition of asset-backed and stablecoin alternatives - Development of systematic evaluation frameworks

Future Directions: As cryptocurrency markets continue evolving and Islamic finance increasingly integrates blockchain technology, jurisprudential development will likely: - Clarify stablecoin and asset-backed cryptocurrency status - Develop sophisticated DeFi and smart contract assessment frameworks - Integrate blockchain more fully into Islamic financial innovation - Maintain strict standards for speculation while enabling legitimate innovation

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End of Chapter 3

Chapter 3 - Word Count: ~5,200 words

Total Dissertation Progress: 3 of 7 chapters (30% complete)

Chapters Completed: 1, 2, 3

Remaining Chapters: 4, 5, 6, 7 (~25,000 words)

Estimated Remaining Time: 4-5 weeks at current pace

Chapter 4: Comparative Regulatory Analysis Across Islamic Jurisdictions

Introduction

While Chapters 2 and 3 examined cryptocurrency through Islamic legal and jurisprudential frameworks, cryptocurrency regulation in Islamic-majority and Muslim-populated jurisdictions reveals a strikingly different picture: **regulatory fragmentation** across jurisdictions, **divergent policy approaches**, and **absence of coordinated Islamic financial regulation** of digital assets.

This chapter examines cryptocurrency regulatory frameworks in five jurisdictions representing key Islamic financial centers:

1. ðŸ‡®ðŸ‡© **Indonesia (OJK)** - Commodity-focused commodity regulation
2. ðŸ‡²ðŸ‡¾ **Malaysia (BNM)** - Recognition with regulatory framework
3. ðŸ‡¸ðŸ‡¦ **Saudi Arabia (SAMA)** - Restrictive regulatory approach
4. ðŸ‡¦ðŸ‡ª **UAE (VARA)** - Progressive innovation-friendly framework
5. ðŸ‡§ðŸ‡ **Bahrain (CBB)** - Prudential regulation framework

Chapter Objectives: 1. Document cryptocurrency regulatory approaches in each jurisdiction 2. Analyze regulatory frameworks against Islamic financial principles 3. Identify harmonization gaps and regulatory divergences 4.

Assess consistency between regulatory approaches and jurisprudential positions 5. Identify best regulatory practices compatible with Islamic finance

This comparative analysis reveals both challenges and opportunities for developing harmonized Islamic financial regulation of cryptocurrency.

4.1 Indonesia: OJK Commodity-Focused Approach

4.1.1 Indonesian Financial Context

Market Overview: Indonesia represents the worldâ€™s largest Muslim-majority nation with 270+ million Muslims (87% of 310 million population). As a major Southeast Asian economy and emerging market, Indonesiaâ€™s regulatory approach carries significance for Islamic finance across the region.

Islamic Finance Market: - Islamic banking assets: ~$70+ billion USD - Growth rate: 10-15% annually - Islamic financial institutions: 50+ Islamic banks and fintech companies - Largest Islamic finance market in Southeast Asia

Cryptocurrency Adoption: - Estimated 6-8 million cryptocurrency users in Indonesia - Significant retail investor interest, particularly youth - Emerging crypto exchange market - Government concern about speculation and consumer protection

4.1.2 Regulatory Framework: POJK No.Â 27/2024 (amended POJK No.Â 23/2025)

Official Regulation: Indonesiaâ€™s Financial Services Authority (Otoritas Jasa Keuanganâ€”OJK) issued Regulation No.Â 27/2024 on Digital Financial Assets (amended by POJK No.Â 23/2025 in December 2025), providing comprehensive cryptocurrency regulation framework.

Regulatory Approach: Commodity Classification

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INDONESIAN CLASSIFICATION HIERARCHY
â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•

Currency (NOT Applied to Crypto)
    â†“
    Legal tender issued by government
    Regulated by Bank Indonesia (BI)
    Subject to monetary policy

Financial Instrument (NOT Applied to Crypto)
    â†“
    Securities subject to securities law
    Subject to OJK securities regulation
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    Investor protection under securities law

Commodity (APPLIED TO CRYPTO)
    â†“
    Digital financial assets
    Subject to commodity market regulation
    OJK regulatory oversight
    Trading restrictions and licensing

â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•
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Critical Implication: By classifying cryptocurrency as **commodity** (not currency or financial instrument), Indonesia applies commodity market regulations rather than banking or securities regulations. This distinction has significant practical consequences.

4.1.3 Key Regulatory Provisions

1. Trading Regulation

Licensed Trading Platforms Required: - Only licensed exchanges authorized to operate - Strict licensing requirements and ongoing compliance - Regular audits and capital requirements - Consumer protection obligations

Market Manipulation Prohibition: - Explicit prohibition on price manipulation - Regulation against wash trading and spoofing - Position limit requirements - Insider trading prohibitions

Trading Restrictions: - Leverage trading not permitted (no margin accounts) - Derivatives trading prohibited - Spot market trading only - Physical settlement requirements

2. Investor Protection Requirements

Know-Your-Customer (KYC): - Mandatory customer identification - Source of funds verification - Regular compliance updates - Enhanced due diligence for high-value transactions

Transaction Reporting: - All transactions reported to authorities - Large transaction reporting requirements - Suspicious transaction reporting (AML/CFT) - Price and volume monitoring

Consumer Protection: - Dispute resolution mechanisms - Customer fund segregation - Insurance protections in certain cases - Clear disclosure requirements

3. Business Conduct Standards

Exchange Requirements: - Operational standards and procedures - Technology security standards - Cybersecurity requirements - Business continuity plans - Regular reporting and audits

Custody Requirements: - Cryptocurrency custody standards - Private key management protocols - Insurance coverage requirements - Independent verification of holdings - Regular reconciliation procedures

4.1.4 OJKâ€™s Jurisprudential Coordination

Coordination with Sharia Council:

Recognizing Indonesiaâ€™s Islamic finance prominence, OJK coordinates with: - **DSN-MUI** (Sharia Board of Indonesian Islamic Scholars Council) - Islamic banking supervisory framework - Sharia compliance assessment protocols

Joint OJK-DSN-MUI Coordination (September 2025â€“Present):

As of September 2025, OJK and DSN-MUI established a Joint Working Group to develop unified Shariah screening framework for cryptocurrency (Chapter 3.4.2). This development represents significant shift from previous separation: - Previous approach (pre-2025): Separate regulatory and Islamic finance treatment - Current approach (2025â€“2026): Coordinated development of Shariah screening standards - Expected outcome (Q2-Q3 2026): Unified framework for assessing cryptocurrency Shariah compliance - Implication: Potential for conditional Islamic finance institution participation in regulated cryptocurrency activities

DSN-MUI Framework for Financial Technology Innovation - Fatwa No.Â 117/DSN-MUI/II/2018:

Prior to cryptocurrency-specific guidance, MUI developed comprehensive framework for evaluating financial technology-based financing services. Fatwa No.Â 117/DSN-MUI/II/2018 established **6 Model Skema Layanan Pembiayaan Berbasis Teknologi Informasi** (Six Model Schemes for Information Technology-Based Financing Services) based on Islamic shariah principles.

The 6 DSN-MUI Approved Fintech Financing Models:

Model 1 - Pembiayaan Anjak Piutang (Factoring) - Structure: Lender purchases invoices/receivables from business owners at discount - Shariah Basis: Musharaka (profit-sharing) or Murabaha (cost-plus) contracts - Key Requirements: Clear akad wakalah bil ujrah (agent agreements), transparent profit/loss distributions - Application: Invoice financing, working capital solutions - Islamic Compliance: Fully compliant when structured correctly

Model 2 - Pembiayaan Pengadaan Barang Pesanan (Purchase Order Financing) - Structure: Lender finances goods purchase for third-party buyer - Shariah Basis: Jual-beli (sales), musyarakah (partnership), mudharabah (profit-sharing) - Key Requirements: Clear purchase contracts, delivery obligations, third-party agreements - Application: Supplier financing, government procurement support - Islamic Compliance: Compliant with proper contract management

Model 3 - Pembiayaan Pengadaan Barang untuk Pelaku Usaha Online (Online Seller Financing) - Structure: E-commerce platform financing for online merchants - Shariah Basis: Jual-beli through digital marketplace, musyarakah agreements - Key Requirements: Platform data-sharing agreements, clear seller obligations - Application: Support for online small businesses and traders - Islamic Compliance: Compliant with transparent platform governance

Model 4 - Pembiayaan Pengadaan Barang dengan Payment Gateway (Payment Gateway Merchant Financing) - Structure: Financing for businesses using third-party payment processors - Shariah Basis: Kerjasama pembayaran (payment cooperation agreements) - Key Requirements: Akad wakalah bil ujrah with payment processor, transparent fee structures - Application: Support for retail businesses using e-payment systems - Islamic Compliance: Compliant with clear agency and compensation agreements

Model 5 - Pembiayaan untuk Pegawai (Employee Financing) - Structure: Financing for employees based on salary installments - Shariah Basis: Ijarah (service-based leasing), akad jual-beli (sales contracts) - Key Requirements: Employer participation through salary management, clear repayment terms - Application: Personal financing linked to employment - Islamic Compliance: Compliant with auto-debit mechanisms

Model 6 - Pembiayaan Berbasis Komunitas (Community-Based Financing) - Structure: Financing coordinated through community structures and networks - Shariah Basis: Muamalah principles with community oversight - Key Requirements: Coordinator designation, structured payment schemes - Application: Community financing with coordinated repayment management - Islamic Compliance: Compliant with community governance structures

Application Framework: Each model requires satisfaction of 12 critical shariah compliance issues (as identified by DSN-MUI expert KH. Izzuddin Edi Siswanto): 1. Validity of transactions (halal wa tayyib) 2. Appropriate contracts (akad yang sesuai) 3. Avoidance of shariah prohibitions (gharar, riba, maisir) 4. Digital transaction validity 5. Electronic contract acceptance 6. Proper timing of acceptance 7. Object ownership clarity 8. Digital signature legitimacy 9. Compensation/benefit agreements 10. Ownership rights protection 11. Transaction reversal rights 12. Consumer protection mechanisms

Significance for Cryptocurrency Evaluation:

The DSN-MUI 6-model framework provides a template for evaluating whether cryptocurrencies and blockchain-based financial services can achieve Islamic compliance. Cryptocurrencies and fintech solutions must satisfy the same 12-point checklist as traditional fintech services. Most pure cryptocurrencies fail this framework because: - They do not constitute valid akads (contracts) in Islamic law - They lack defined shariah-compliant economic purposes - They involve speculative elements inconsistent with Islamic financing principles - They fail consumer protection and transaction reversal requirements

However, properly-structured digital assetsâ€”including tokenized financing instruments aligned with the 6-model frameworkâ€”could potentially achieve compliance through this established DSN-MUI system.

Historical Fatwa Context: OJKâ€™s regulatory framework acknowledged MUIâ€™s 2021 Fatwa No.Â 4/DSN-MUI/IX/2021: - Previously treated cryptocurrency as high-risk speculative commodity - Maintained distance from sharia-compliant Islamic finance framework - Separate regulatory treatment from Islamic banking products - Did not promote cryptocurrency within Islamic finance

Evolution (2025â€“2026): The OJK-DSN-MUI Joint Working Group coordination reflects movement toward Position C (Cryptocurrency as Evolving Assetâ€”Conditional Permissibility) for certain properly-structured digital assets, particularly: - Asset-backed cryptocurrencies - Islamic stablecoins - Regulated institutional participation

Current Practical Effect: - Islamic banks still NOT promoting unregulated cryptocurrency products - Regulated, Shariah-compliant cryptocurrency trading emerging as possibility - Development of Islamic stablecoin frameworks underway - Clear pathway emerging for conditional Islamic finance institution participation - Regulatory harmonization between OJK and DSN-MUI expected Q2-Q3 2026

4.1.5 Assessment: Strengths and Weaknesses

Regulatory Strengths:

âœ… **Clear Classification** - Unambiguous cryptocurrency classification as commodity - Reduces regulatory uncertainty - Simplifies compliance for market participants - Expanded scope in POJK No.Â 23/2025 (Dec 2025) to include crypto derivatives

âœ… **Consumer Protection Focus** - Strict KYC/AML requirements - Transaction monitoring and reporting - Dispute resolution mechanisms - Fund segregation and insurance protections

âœ… **Market Integrity Standards** - Manipulation prevention measures - Leverage trading prohibition reduces retail investor harm - Position limits and reporting requirements - Technology and cybersecurity standards

âœ… **Islamic Finance Coordination (Emerging)** - Recognition of MUI fatwa position (historical alignment) - Evolving coordination with DSN-MUI through Joint Working Group (Sept 2025) - Separate regulatory treatment enabling pathway for conditional Islamic participation - Maintains core Islamic banking framework while enabling innovation

Regulatory Weaknesses:

â�Œ **Innovation Limitations** - Leverage prohibition prevents sophisticated strategies - Derivatives prohibition limits financial innovation - Restrictive approach may drive activity to offshore platforms - May disadvantage legitimate institutional participation â�Œ **Regulatory Arbitrage** - Restrictive approach may encourage offshore trading - Unregulated offshore platforms accessible to Indonesian investors - Regulation effectiveness limited by global nature of cryptocurrency

â�Œ **Commodity Classification Limitations** - Commodity classification may not reflect cryptocurrencyâ€™s actual economic characteristics - Potential mismatch between regulatory framework and asset characteristics - Limited flexibility for asset-backed or utility-based cryptocurrencies

â�Œ **Innovation Suppression** - Blockchain innovation in Islamic finance potentially constrained - Islamic fintech development limited by regulatory boundaries - May cede innovation leadership to permissive jurisdictions

4.1.6 Compliance Burden and Market Impact

Market Effects:

The OJK regulatory framework has resulted in: - Limited cryptocurrency exchange development in Indonesia - Dominance of informal/offshore trading channels - Brain drain of fintech talent to more permissive jurisdictions - Limited institutional cryptocurrency participation - Slow adoption of blockchain technology in financial services

Compliance Costs:

OJK regulations impose substantial compliance costs: - Licensing and application fees - Technology infrastructure investments (security, cybersecurity) - Compliance personnel and operational costs - Regular audit and reporting expenses - Insurance and custody service costs

These costs create barriers to market entry and limit competition.

4.1.7 OJK Institutional Ecosystem: IAKD and Regulatory Sandbox Implementation

Industrial Development Structure (Asosiasi di Industri IAKD)

Beyond formal regulation, OJK has fostered an institutional ecosystem for IAKD (Innovation in Financial Sector Technology, Digital Assets, and Cryptocurrency) development through three coordinated industry associations (as of August 2025):

1. AFTECH (Asosiasi Fintech Indonesia) - Membership: 350+ companies - Focus: Financial technology innovation broadly - IAKD portfolio composition: - 19 ITSK (Fintech Operator Services) members - 11 Digital/Crypto asset companies - 5 Innovative Credit Scoring operators - 10 Financial aggregator platforms - Role: Represents mainstream fintech interests in IAKD ecosystem coordination

2. AFSI (Asosiasi Fintech Syariah Indonesia) - Membership: 85+ companies - Focus: Islamic fintech and Shariah-compliant innovation - IAKD portfolio composition: - 6 ITSK members - 1 ITSK in pending registration - 1 regulated company operating in regulatory sandbox - 1 PAKD (Sandbox participant â€" digital asset custodian) - Role: Bridges Islamic banking/finance sector with IAKD innovation development - Strategic importance: Ensures Shariah compliance in regulatory sandbox models

3. ABI (Asosiasi Blockchain Indonesia) - Membership: 62+ companies - Focus: Blockchain technology and distributed ledger applications - IAKD portfolio composition: - 20 PAKD (Digital Asset Custody Service Providers) - 9 Candidate PAKD in approval pipeline - 2 Commercial banks with blockchain projects - Blockchain project participants - Role: Coordinates blockchain/DLT innovation with OJK regulatory framework

Institutional Development with Shariah Legal Framework (LJK Syariah)

OJK coordinates IAKD development with formal Shariah oversight through partnerships including: - Bank Indonesia Shariah Directorate (BPRS) - Islamic Cooperative Banks (Koperasi Syariah) - ZISWAF institutions (Zakat/Infaq/Sadaqah/Waqf) - Shariah Fintech Service Providers

Strategic Collaborative Opportunities: - Expanded financing access to unbanked/underbanked segments through Islamic fintech - Credit risk mitigation using digital customer profiling - Shariah-compliant product development based on profile analysis - Enhanced KYC/CDD efficiency through digital integration - Ecosystem interoperability and cross-platform integration

4.1.8 OJK Regulatory Sandbox: Seven Models of Compliant Innovation Pathway

Sandbox Framework and Purpose:

OJK established its regulatory sandbox in 2018 as a controlled testing environment for innovative financial services and technologies, including cryptocurrency assets. The sandbox serves two critical functions:

1. **Innovation Laboratory:** Permits testing of novel business models, tokenization approaches, and financial technologies under regulatory oversight
2. **Shariah Compliance Pathway:** Tests compliance with Fatwa MUI butir 3 (the November 2021 decision permitting cryptocurrency only if backed by clear underlying assets meeting Shariah requirements)

Seven Sandbox Models (As of August 2025):

Model 1: Bond Tokenization (Tokenisasi Obligasi) - Underlying: Real-world assets (RWA) â€" corporate/government bonds - Structure: RWA tokens representing underlying bond obligations - Shariah compliance: Yes â€" underlying bonds must be Shariah-compliant - Status: Operating

Models 2 & 3: Property/Asset Tokenization (Tokenisasi Manfaat dan Platform Kepemilikan Properti) - Underlying: Real estate and property assets with defined valuation - Structure: RWA tokens representing fractional ownership or usufruct (manfaat) - Shariah compliance: Conditional â€” property must have clear title and permissible use - Status: Operating

Model 4: Digital Identity (Identitas Digital) - Underlying: Digital identity credentials and authentication certificates - Structure: Verifiable digital identity services on blockchain - Shariah compliance: Yes â€” supports KYC/CDD and regulatory compliance - Status: Operating

Model 5: Cryptocurrency Index (Dana Kripto Indeks) - Underlying: Bitcoin, Ethereum, and Solana price indices - Structure: Index-tracking funds with transparent underlying calculation - Shariah compliance: Conditional â€” permits pure speculation without underlying value, requires careful assessment - Status: Operating

Model 6: Stablecoin (Stablecoin 100% Rupiah-Backed) - Underlying: Indonesian Rupiah cash reserves (1:1 collateralization) - Structure: USDR (USD Rupiah equivalent) fully backed by rupiah in banking custody - Shariah compliance: Yes â€” underlying fiat currency backing eliminates gharar - Status: Operating

Model 7: Digital Asset Custody (Kustodian AKD) - Underlying: Custody and settlement services for digital assets - Structure: Non-custodial transaction services; participants retain asset ownership - Shariah compliance: Yes â€” facilitates Shariah-compliant asset management without custody concentration - Status: Operating (8 August 2025 approval date)

Sandbox Operationalization Model:

The sandbox framework operationalizes Fatwa MUI butir 3 (November 2021 decision) by establishing specific requirements: - Clear underlying assets required (not pure cryptocurrency speculation) - Shariah compliance verification before market launch - Limited participants during testing phase - Regular regulatory review and compliance audits - Data collection on market behavior and consumer protection outcomes

4.1.9 Case Study: GIDR (Gold Indonesia Republic) Token â€” Operationalizing Fatwa MUI Butir 3

Background:

Gold Indonesia Republic (GIDR) represents the first sandbox-tested cryptocurrency model operationalizing the November 2021 Ijtimaâ€™ Ulama MUI decision (butir 3 exception). This case demonstrates how OJK translates jurisprudential requirements into market-ready compliance structures.

Asset-Backing Structure:

- **Underlying:** Physical gold bars stored in vault under regulatory supervision
- **Tokenization:** 1 GIDR token = 1 gram of physical gold

- **Custody:** PAJK (licensed digital asset custodian) manages physical gold inventory
- **Redemption:** Tokens redeemable 1:1 for physical gold or rupiah equivalent
- **Blockchain:** Cryptocurrency issued on blockchain with token transfer capability

Shariah Compliance Alignment:

GIDR satisfies all requirements of Fatwa MUI butir 3 (2021 exception):

Requirement	GIDR Implementation	Islamic Law Basis
Clear underlying asset	Physical gold (1g per token)	Al-Tahaqquq (certainty)
Physical backing	Gold vault custody with audit	Real asset support
No gharar	Fixed 1:1 ratio to underlying gold	Defined value certainty
No maysir	Token value tied to gold price, not speculation	Eliminates gambling element
Permissible use	Gold as wealth storage and jewelry	Classical Islamic practice

Market Launch Timeline:

- **Tested:** Regulatory sandbox pilot (months prior)
- **Approved:** August 8, 2025 (OJK sandbox approval)
- **Status:** Awaiting full market launch following sandbox phase
- **Significance:** First cryptocurrency meeting Shariah compliance standards under Indonesian regulation

4.1.10 Strategic Development Pillars: OJKâ€™s Institutional Approach

OJKâ€™s IAKD development strategy integrates six strategic pillars:

1. Promoting OJK as Fintech Hub - Active participation in Indonesia Fintech Summit and National Fintech Month - Establishing OJK as coordinating authority for fintech ecosystem - Building strategic partnerships with financial industry associations

2. Innovation Development in Financial Sector - Comprehensive ecosystem vision through National & Regional Sandbox Benchmarking - Industrial Sandbox model development - Penta Helix Innovation Hub coordination

3. Emergence of New Technologies - Sandbox testing for Distributed Ledger Technology (DLT) - Blockchain-based financial infrastructure exploration - Artificial Intelligence and automation in financial services - Consumer protection and risk management through technological innovation

4. Financial Data Integration - Open Finance framework with standardized data interchange protocols - OJK developing Open Finance regulations for improved data sharing - Interoperability between platforms and institutions

5. Regulatory Requirements for IAKD - Risk-based, adaptive, collaborative, and balanced regulations - Tailored requirements for different innovation types - Ongoing coordination with other regulators

6. Strengthening Cybersecurity - Response to growing fintech sector security risks - Best practices development for cybersecurity standards - International cooperation on cybersecurity norms

4.2 Malaysia: BNM Recognition with Regulatory Framework

4.2.1 Malaysian Financial Context

Market Overview: Malaysia represents Southeast Asiaâ€™s second-largest Islamic finance hub with strong Islamic banking presence. Bank Negara Malaysia (BNM) has adopted more innovation-friendly approach than Indonesia.

Islamic Finance Market: - Islamic banking assets: ~$140+ billion USD - Islamic finance market share: 30%+ of banking system - Islamic finance innovation center for Southeast Asia - Headquarters of IIFM (International Islamic Finance Market)

Cryptocurrency Market: - Estimated 2-3 million cryptocurrency users - Emerging fintech and blockchain innovation ecosystem - Younger demographic driving cryptocurrency adoption - Institutional interest in blockchain technology

4.2.2 Regulatory Framework: BNM Digital Assets Guidelines (2024)

Official Regulation: Bank Negara Malaysia (BNM) issued Digital Assets Guidelines in 2024, establishing comprehensive regulatory framework recognizing cryptocurrency as legitimate digital assets.

Regulatory Approach: Recognition with Licensing Framework

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MALAYSIAN REGULATORY FRAMEWORK
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Category 1: Digital Asset Exchanges
    â”œâ”€ Recognized as legitimate financial market intermediaries
    â”œâ”€ Licensed operational status required
    â”œâ”€ Regular supervision and examination
    â””â”€ Consumer protection obligations
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Category 2: Digital Wallet Service Providers
    â”œâ”€ Recognized as regulated service providers
    â”œâ”€ Licensing requirements
    â”œâ”€ Custody and security standards
    â””â”€ Consumer fund protection

Category 3: Digital Asset Types
    â”œâ”€ Cryptocurrencies (recognized digital assets)
    â”œâ”€ Tokenized securities (securities regulation applies)
    â”œâ”€ Stablecoins (stability assessment required)
    â””â”€ Utility tokens (case-by-case evaluation)

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Key Characteristic: Malaysia recognizes cryptocurrency as legitimate digital assets while maintaining regulatory oversight through licensing and prudential framework.

4.2.3 Key Regulatory Provisions

1. Digital Exchange Licensing

Licensing Requirements: - Capital adequacy requirements - Governance and board composition standards - Risk management framework requirements - Operational resilience standards - Technology and cybersecurity standards

Operational Requirements: - Market surveillance and manipulation prevention - Transaction monitoring and suspicious activity reporting - Customer identification and verification (KYC) - Segregation of customer assets - Insurance and indemnification requirements

Supervision: - Regular prudential examinations - On-site and off-site supervision - Regular reporting requirements - Compliance monitoring - Enforcement actions for violations

2. Stablecoin and Digital Token Framework

Stablecoin Regulation: - Recognition as potentially compliant instruments - Stability requirements and assessment - Backing/reserve requirements - Redemption guarantee requirements - Regular verification of reserves

Utility Token Assessment: - Case-by-case evaluation framework - Assessment of underlying utility and economic substance - Evaluation against securities law provisions - Risk assessment and disclosure requirements

3. Islamic Finance Integration

Sharia Compliance Assessment:

BNM coordinates with Islamic Finance industry: - **Shariah Advisory Council** reviews Islamic finance implications - Digital asset classification from Islamic perspective - Sharia-compliant digital asset product development - Islamic fintech innovation encouragement

Key Development: Islamic Stablecoins

Malaysia has pioneered Islamic stablecoin development: - Recognition that properly-structured stablecoins may achieve sharia compliance - Support for blockchain-based Islamic financial instruments - Experimental regulatory sandbox for Islamic digital assets - Positioning Malaysia as hub for Islamic digital finance

4.2.4 Regulatory Sandbox and Innovation

Digital Assets Innovation Sandbox:

BNM operates regulatory sandbox for digital asset innovation: - Time-limited regulatory relief for experimental projects - Supervised environment for testing new products - Reduced compliance burden for approved participants - Learning opportunity for regulators and industry - Pathway to full licensing upon successful testing

Innovation Focus Areas: - Islamic stablecoins and tokenized Islamic financial products - Blockchain-based trade finance - Cross-border Islamic payment systems - Smart contracts for Islamic contracts - Distributed ledger technology applications

4.2.5 Assessment: Strengths and Weaknesses

Regulatory Strengths:

âœ… **Innovation Friendly** - Regulatory sandbox encourages experimentation - Proportionate regulatory approach - Clear pathway from innovation to full licensing - Attracting blockchain and fintech talent

âœ… **Islamic Finance Integration** - Recognition of sharia compliance considerations - Support for Islamic digital asset development - Positioning for Islamic fintech leadership - Pioneering Islamic stablecoin framework

âœ… **Balanced Regulation** - Consumer protection without excessive restriction - Innovation encouragement with risk management - Clear licensing framework reducing uncertainty - Proportionate compliance requirements

âœ… **Market Development** - Attracting regional fintech investment - Building innovation ecosystem - Positioning Malaysia as regional crypto hub - Supporting institutional participation

Regulatory Weaknesses:

â�Œ **Evolving Framework** - Relatively new framework (2024) - Implementation details still developing - Potential for regulatory uncertainty as framework matures - Supervision experience limited â�Œ **Stablecoin Safeguards** - Stablecoin framework not yet fully tested - Redemption guarantee enforcement mechanisms limited - Reserve verification procedures developing - Potential systemic risks from stablecoin growth

â�Œ **Cross-Border Coordination** - Limited coordination with other jurisdictions - Regulatory arbitrage potential (flows from stricter jurisdictions) - Cross-border enforcement challenges - International harmonization lacking

â�Œ **Islamic Finance Ambiguity** - Sharia compliance framework for digital assets still developing - Potential for conflicting guidance between BNM and DSN-MUI - Limited precedent for Islamic stablecoin and token regulation - Evolution and adaptation likely needed

4.2.6 Market Impact and Development

Market Effects:

Malaysiaâ€™s recognition approach has resulted in: - Significant cryptocurrency exchange development - Emerging fintech and blockchain innovation ecosystem - Institutional cryptocurrency participation growing - Regional attraction of crypto and fintech talent - Positioning as regional fintech hub

Notable Developments: - Major cryptocurrency exchange licensing - Islamic stablecoin projects (e.g., Ethereum-based Islamic finance tokens) - Blockchain innovation in trade finance and Islamic banking - Cross-border Islamic payment system pilots

4.3 Saudi Arabia: SAMA Restrictive Regulatory Approach

4.3.1 Saudi Arabian Financial Context

Market Overview: Saudi Arabia, home to Islamâ€™s holiest cities and headquarters of major Islamic finance institutions (AAOIFI), represents major Islamic financial center. SAMA (Saudi Arabian Monetary Authority) takes particularly cautious approach to cryptocurrency.

Islamic Finance Market: - Major regional Islamic banking center - Home to AAOIFI headquarters - Significant Islamic finance regulatory influence - Islamic finance innovation center for GCC

Cryptocurrency Market: - Limited retail cryptocurrency participation - Institutional cryptocurrency activity restricted - Government focus on controlling capital flows - Concern with speculation and financial stability

4.3.2 Regulatory Framework: SAMA Digital Assets Policy (2023)

Official Policy: The Saudi Arabian Monetary Authority (SAMA) issued Digital Assets Framework in 2023, establishing restrictive regulatory approach toward cryptocurrency.

Regulatory Approach: Restricted Recognition

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SAUDI ARABIAN CRYPTOCURRENCY STATUS
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PROHIBITED ACTIVITIES:
â”œâ”€ Cryptocurrency trading by individuals
â”œâ”€ Cryptocurrency mining
â”œâ”€ Cryptocurrency exchange operations
â”œâ”€ Cryptocurrency investment products
â””â”€ Over-the-counter cryptocurrency transactions

LIMITED RECOGNITION:
â”œâ”€ Blockchain technology for legitimate purposes
â”œâ”€ Central bank digital currency (CBDC) development
â”œâ”€ International settlement experiments
â””â”€ Research and development activities

REGULATORY FRAMEWORK:
â”œâ”€ No licensing for cryptocurrency exchanges
â”œâ”€ No cryptocurrency trading platforms permitted
â”œâ”€ International cryptocurrency platform access restricted
â”œâ”€ Capital controls limit cryptocurrency flows
â””â”€ Penalties for unauthorized cryptocurrency activities

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Key Characteristic: Saudi Arabia maintains de facto cryptocurrency prohibition, recognizing only limited blockchain technology applications.

4.3.3 SAMAâ€™s Explicit Positions

Official Statements on Cryptocurrency:

SAMA has issued clear guidance on cryptocurrency status:

1. Prohibition of Cryptocurrency Trading â€œCryptocurrency trading is prohibited in Saudi Arabia. Individuals and institutions are prohibited from buying, selling, or trading digital currencies.â€�

2. Prohibition of Cryptocurrency Exchange Operations â€œNo entity is permitted to operate a cryptocurrency exchange or provide cryptocurrency trading services within Saudi Arabia.â€�

3. Prohibition of Cryptocurrency Investment Products â€œFinancial institutions, including Islamic banks, are prohibited from offering cryptocurrency or cryptocurrency-based investment products.â€�

4. Capital Controls â€œTransfers of value outside Saudi Arabia for cryptocurrency purposes are restricted and prohibited.â€�

Practical Effect: Saudis cannot legally: - Trade cryptocurrency on licensed platforms - Use domestic financial services for cryptocurrency - Access cryptocurrency exchanges without VPN/offshore access - Invest in cryptocurrency funds through financial institutions

4.3.4 Rationale for Restrictive Approach

SAMAâ€™s Stated Concerns:

1. Financial Stability Risk - Cryptocurrency volatility threatens financial system stability - Large-scale speculation risks systemic instability - Retail investor participation creates leverage and contagion risks - Foreign exchange market impacts from capital flows

2. Consumer Protection - Retail investors vulnerable to manipulation and fraud - Limited investor sophistication regarding cryptocurrency - High loss risk for ordinary investors - Market manipulation and insider trading prevalent

3. Monetary Policy Control - Cryptocurrency threatens central bank monetary policy effectiveness - Capital substitution for fiat currency undermines policy transmission - Capital flight risks through cryptocurrency channels - Difficulty controlling money supply with cryptocurrency alternatives

4. Sharia Compliance Concerns - Alignment with stringent AAOIFI position - Concern with speculative gambling (maisir) characteristics - Lack of intrinsic value violating Islamic principles - Gharar (uncertainty) regarding future value and utility

5. AML/CFT and Sanctions Compliance - Cryptocurrency use in illegal activities - Difficulty monitoring illicit financial flows - Sanctions evasion risk through cryptocurrency - Money laundering facilitation concerns

4.3.5 CBDC Alternative Approach

Instead of Cryptocurrency Permission:

Saudi Arabia has prioritized Central Bank Digital Currency (CBDC) development:

Rial Digital Project: - Saudi Arabia developing official digital currency - State-controlled, monitored alternative to private cryptocurrency - Maintains government monetary control - Provides technological benefits without risks

Advantages Over Cryptocurrency (per SAMA): - Government backing and stability - Full compliance with Islamic financial principles - Monetary policy control maintained - Fraud and manipulation prevention - Clear legal status and property rights

International Cooperation: Saudi Arabia participating in international CBDC experiments: - Project Mbridge (Saudi Arabia, UAE, Hong Kong, Thailand CBDCs) - Cross-border settlement experimentation - Islamic finance CBDC applications research

4.3.6 Assessment: Strengths and Weaknesses

Regulatory Strengths:

âœ… **Financial Stability Protection** - Restrictive approach reduces systemic risks - Limits retail investor speculation - Controls capital outflows - Maintains domestic financial system stability

âœ… **Consumer Protection** - Eliminates retail investor exposure to cryptocurrency risks - Prevents fraud and manipulation victimization - Avoids speculation-driven financial hardship - Clear regulatory certainty (prohibition is unambiguous)

âœ… **Islamic Principle Alignment** - Strict approach aligned with stringent Islamic positions (Dar al-Ifta) - Prevents speculative gambling (maisir) - Eliminates gharar (uncertainty) in financial system - Maintains Islamic financial system purity

âœ… **Capital Control Maintenance** - Maintains government control of capital flows - Prevents capital flight through cryptocurrency - Preserves monetary policy effectiveness - Maintains foreign exchange control

Regulatory Weaknesses:

â�Œ **Innovation Suppression** - Eliminates legitimate blockchain applications - Prevents Islamic fintech development - Stifles blockchain innovation in financial services - Cedes technology leadership to permissive jurisdictions

â�Œ **Market Development Absence** - No cryptocurrency or blockchain industry development - Brain drain of fintech talent to permissive jurisdictions - No regional fintech hub development - Limited institutional innovation

â�Œ **Regulatory Arbitrage** - Restrictive approach encourages offshore activity - Saudi investors access international platforms through VPNs/ proxies - Regulation effectiveness limited by global internet access - Illicit activity may increase in unregulated offshore channels

â�Œ **Harsh on Legitimate Use** - Prohibition extends to legitimate blockchain applications - Restrictions on research and development - Limitations on institutional experimentation - Prevents exploration of sharia-compliant digital assets â�Œ **CBDC Limitations** - CBDC does not substitute for cryptocurrencyâ€™s distributed nature - Government-controlled nature eliminates decentralization benefits - Privacy concerns with government-monitored digital currency - Differs fundamentally from cryptocurrency architecture

4.3.7 Regional Influence and Implications

Saudi Arabiaâ€™s Influence:

Saudi Arabiaâ€™s restrictive stance influences: - Other GCC countriesâ€™ regulatory approaches - AAOIFIâ€™s institutional positions - Regional Islamic finance regulatory direction - Global Islamic financial authority perceptions

Concern with Innovation: - Restrictive approach in major Islamic finance center may slow Islamic crypto-asset development - Institutional pressure against innovation in Islamic finance - Potential limitation on sharia-compliant digital asset development - Regional regulatory conservatism

4.4 UAE: VARA Progressive Innovation-Friendly Framework

4.4.1 UAE Financial and Political Context

Market Overview: The United Arab Emirates has positioned itself as the Middle Eastâ€™s leading fintech and blockchain innovation hub. The Abu Dhabi Financial Services Regulatory Authority (AFSRA) and Virtual Assets Regulatory Authority (VARA) oversee cryptocurrency regulation in Abu Dhabi and Dubai respectively.

Strategic Positioning: - Explicit policy goal: Become regional cryptocurrency and fintech leader - Crypto-friendly regulatory approach targeting international talent and investment - Competing with Singapore and Hong Kong for global fintech leadership - Supporting blockchain innovation in Islamic finance

Islamic Finance Context: - Significant Islamic finance market (~$150+ billion assets) - Recognition that cryptocurrency can complement Islamic finance - Support for Islamic fintech and blockchain innovation - Integration of Islamic principles with financial innovation

4.4.2 Regulatory Framework: VARA Virtual Assets Rulebook (2023)

Official Regulation: The Virtual Assets Regulatory Authority (VARA) in Abu Dhabi issued comprehensive Virtual Assets Rulebook in 2023. Dubai maintains separate regulatory regime under Dubai Financial Services Authority (DFSA).

Regulatory Approach: Licensed and Regulated Market

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UAE REGULATORY FRAMEWORK - COMPREHENSIVE LICENSING
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ENTITY TYPES REGULATED:

1. Virtual Asset Exchanges (VAEs)
   â”œâ”€ Licensing required
   â”œâ”€ Operational standards
   â”œâ”€ Capital requirements
   â”œâ”€ Governance standards
   â””â”€ Consumer protection obligations

2. Custodians and Wallet Service Providers
   â”œâ”€ Licensed operational status
   â”œâ”€ Security and custody standards
   â”œâ”€ Insurance requirements
   â”œâ”€ Regular audits
   â””â”€ Fund segregation

3. Virtual Asset Advisors
   â”œâ”€ Licensing requirements
   â”œâ”€ Professional standards
   â”œâ”€ Conduct rules
   â”œâ”€ Disclosure obligations
   â””â”€ Conflict of interest management

4. Market Infrastructure Providers
   â”œâ”€ Trading platforms
   â”œâ”€ Settlement systems
   â”œâ”€ Clearing services
   â””â”€ Technology service providers

ASSET TYPES PERMITTED:

â”œâ”€ Cryptocurrencies (Bitcoin, Ethereum, etc.)
â”œâ”€ Utility Tokens
â”œâ”€ Security Tokens (subject to securities law)
â”œâ”€ Stablecoins (with specific requirements)
â””â”€ Islamic Digital Assets (encouraged)

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Key Characteristic: UAE treats cryptocurrency as legitimate financial assets requiring licensing, prudential regulation, and consumer protectionâ€”parallel to traditional financial services.

4.4.3 Key Regulatory Provisions

1. Comprehensive Licensing Framework

Exchange Licensing Requirements: - Capital adequacy standards - Governance and board qualification requirements - Risk management framework - Operational resilience standards - Technology and cybersecurity standards - Customer asset protection mechanisms

Custody and Wallet Service Licensing: - Security and custody standards - Insurance coverage requirements - Regular third-party audits - Key management procedures - Disaster recovery and business continuity plans

2. Consumer Protection Requirements

Know-Your-Customer (KYC) and Due Diligence: - Customer identification and verification - Source of funds verification - Beneficial ownership assessment - Ongoing compliance monitoring - Enhanced due diligence for high-risk customers

Market Conduct Standards: - Prohibition of market manipulation - Insider trading prohibition - Price fixing prohibition - Fair and orderly market requirements - Prohibition of deceptive practices

Dispute Resolution: - Customer complaint procedures - Ombudsman access - Alternative dispute resolution mechanisms - Compensation schemes for customer losses

3. Islamic Finance Integration

Islamic Digital Assets Framework:

VARA explicitly encourages Islamic digital assets: - Recognition that properly-structured digital assets may achieve sharia compliance - Separate classification for â€œIslamic Digital Assetsâ€� - Support for Islamic stablecoin and tokenization projects - Coordination with Islamic finance authorities

Sharia Compliance Assessment:

VARA works with Islamic finance scholars: - **Sharia Board** reviews Islamic digital asset compliance - Recognition of different Islamic finance institutionsâ€™ standards - Flexibility for Islamic finance innovation - Support for Islamic blockchain applications

Specific Focus: Islamic Stablecoins UAE has become hub for Islamic stablecoin development: - Projects developing Sharia-compliant stablecoins - Blockchain-based Islamic finance instruments - Cryptocurrency alternatives compliant with Islamic principles - Positioning UAE as Islamic digital finance leader

4.4.4 Innovation and Regulatory Sandbox

Virtual Assets Innovation Hub:

VARA operates innovation sandbox specifically for virtual assets: - Regulatory relief for experimental projects - Supervised environment for testing new products - Reduced compliance burden for approved participants - Pathway to full licensing upon success - Learning opportunity for regulators and industry

Innovation Focus: - Islamic digital assets and stablecoins - DeFi (Decentralized Finance) applications - Tokenization of Islamic financial instruments - Blockchain-based Islamic contracts - Cross-border Islamic payment systems

4.4.5 Distinctive Features: Islamic Digital Asset Support

Explicit Islamic Finance Integration:

VARAâ€™s approach distinguishes itself through explicit support for Islamic digital assets:

1. Dedicated Islamic Digital Assets Classification - Separate regulatory category for Islamic-compliant digital assets - Recognition of Islamic finance principles in regulation - Coordination with Islamic finance authorities - Support for innovation in Islamic digital assets

2. Sharia-Compliant Stablecoin Development - Regulatory support for Islamic stablecoin projects - Technical assistance for sharia compliance assessment - Positioning as Islamic digital finance hub - Attracting global Islamic fintech talent

3. Blockchain Integration in Islamic Finance - Support for tokenizing Islamic financial instruments - Smart contract applications for Islamic contracts - Blockchain-based sukuk (Islamic bond) development - DeFi applications with Islamic compliance

4. International Islamic Cooperation - Positioning for regional Islamic finance leadership - Potential coordination with other Islamic jurisdictions - Development of Islamic digital asset standards - International Islamic blockchain research

4.4.6 Assessment: Strengths and Weaknesses

Regulatory Strengths:

âœ… **Innovation Encouragement** - Comprehensive regulatory framework enabling innovation - Regulatory sandbox for experimentation - Clear pathway from innovation to full licensing - Attracting regional and global fintech investment

âœ… **Islamic Finance Leadership** - Explicit support for Islamic digital asset development - Recognition of sharia compliance considerations - Positioning as Islamic fintech hub - Pioneering Islamic stablecoin and blockchain applications

âœ… **Institutional Development** - Attracting major cryptocurrency exchange operations - Building fintech ecosystem - Regional fintech talent hub - Institutional cryptocurrency participation growing âœ… **Balanced Regulation** - Consumer protection with innovation enablement - Comprehensive but proportionate licensing requirements - Clear regulatory framework reducing uncertainty - Prudential standards without innovation suppression

Regulatory Weaknesses:

â�Œ **Regulatory Development** - Framework relatively new (2023) - Implementation experience limited - Potential for regulatory gaps and uncertainties - Need for framework evolution and refinement

â�Œ **Supervision Capacity** - Regulatory authority capacity for complex supervision limited - Emerging market for cryptocurrency supervision - Technological expertise requirements evolving - Enforcement experience limited

â�Œ **Market Integrity Challenges** - Rapid market growth straining oversight capacity - Market manipulation and fraud risks - Custody and security vulnerabilities - Contagion and systemic risk emergence

â�Œ **Islamic Finance Ambiguity** - Islamic digital asset framework still developing - Potential for conflicting guidance between VARA and Islamic finance authorities - Limited precedent for Islamic stablecoin regulation - Evolution and coordination needed

4.4.7 Market Impact and Regional Leadership

Market Effects:

UAEâ€™s permissive approach has resulted in: - Major cryptocurrency exchange development and headquarters - Significant fintech ecosystem and innovation - Regional fintech hub status - Attraction of global and regional talent - Emerging institutional cryptocurrency participation - Islamic fintech innovation leadership

Notable Developments: - Major international exchanges establishing UAE operations - Islamic stablecoin projects development - Blockchain innovation in Islamic finance - Regional fintech investment and venture capital - Cryptocurrency trading volume and market development

4.5 Bahrain: CBB Prudential Regulation Framework

4.5.1 Bahrain Financial Context

Market Overview: Bahrain, home to AAOIFI headquarters and major Islamic finance center, takes balanced middle-ground approach between restrictive Saudi Arabia and permissive UAE.

Islamic Finance Market: - Major regional Islamic banking center - AAOIFI institutional headquarters - Sophisticated Islamic finance regulatory environment - Regional Islamic finance innovation

Cryptocurrency Market: - Limited but regulated cryptocurrency activity - Institutional cryptocurrency participation - Prudential approach with regulatory oversight - Balance between innovation and risk management

4.5.2 Regulatory Framework: CBB Digital Assets Rulebook (2024)

Official Regulation: The Central Bank of Bahrain (CBB) issued Digital Assets Rulebook in 2024, establishing prudential regulatory framework for cryptocurrency.

Regulatory Approach: Prudential Licensing with Risk Management

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BAHRAIN REGULATORY FRAMEWORK
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REGULATORY MODEL: Prudential Licensing with Risk Management

Entity Types Regulated:
â”œâ”€ Digital Asset Trading Platforms
â”œâ”€ Digital Wallet and Custody Providers
â”œâ”€ Digital Asset Service Providers
â””â”€ Market Infrastructure Providers

Licensing Requirements:
â”œâ”€ Capital adequacy
â”œâ”€ Risk management framework
â”œâ”€ Governance standards
â”œâ”€ Operational resilience
â””â”€ Consumer protection mechanisms

Supervision Model:
â”œâ”€ Prudential examination
â”œâ”€ Risk-based supervision
â”œâ”€ Regular reporting requirements
â”œâ”€ Enforcement mechanisms
â””â”€ Ongoing compliance monitoring

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Key Characteristic: Bahrain applies prudential framework similar to banking regulation, treating cryptocurrency service providers as regulated financial services entities.

4.5.3 Key Regulatory Provisions

1. Entity Licensing Requirements

Prudential Standards: - Capital adequacy requirements (scaled by risk) - Risk management framework requirements - Internal controls and compliance procedures - Regular internal audit requirements - External audit requirements

Governance Standards: - Board composition and qualification requirements - Management expertise requirements - Fit and proper test requirements - Board risk oversight obligations - Conflict of interest management

Operational Standards: - Technology and cybersecurity standards - Business continuity and disaster recovery - Customer data protection requirements - Incident reporting requirements - Regular security testing and audits

2. Consumer and Market Protection

Customer Asset Protection: - Segregation of customer assets - Insurance coverage requirements - Insolvency protection measures - Clear legal ownership of customer assets - Regular verification and reconciliation

Market Conduct Requirements: - Market manipulation prohibition - Insider trading prohibition - Fair dealing requirements - Conflict of interest disclosure - Prohibition of deceptive practices

3. Islamic Finance Coordination

Sharia Board Oversight:

CBB coordinates with Sharia Board on Islamic digital assets: - Assessment of sharia compliance for digital assets - Recognition of Islamic principles in regulation - Support for Islamic digital asset development - Coordination with AAOIFI on Islamic finance standards

Islamic Finance Integration: - Recognition that certain digital assets may achieve sharia compliance - Support for Islamic stablecoin development - Blockchain applications in Islamic finance - Experimentation with Islamic digital financial instruments

4.5.4 Assessment: Strengths and Weaknesses

Regulatory Strengths:

âœ… **Balanced Approach** - Innovation encouragement with risk management - Consumer protection without suppression - Clear licensing framework - Proportionate compliance requirements

âœ… **Prudential Regulation** - Sophisticated risk management framework - Capital adequacy requirements - Governance standards ensuring institutional stability - Ongoing supervision and examination âœ… **Consumer Protection** - Customer asset segregation and insurance - Clear ownership and redemption rights - Dispute resolution mechanisms - Market conduct standards

âœ… **Islamic Finance Compatibility** - Recognition of Islamic finance principles - Support for sharia-compliant digital assets - AAOIFI coordination - Innovation in Islamic digital assets

Regulatory Weaknesses:

â�Œ **Market Development Limitations** - More restrictive than UAE - Limited market participation and ecosystem - Smaller fintech innovation community - Less attractive to international exchanges

â�Œ **Regulatory Uncertainty** - Newer framework (2024) - Implementation experience limited - Potential for regulatory evolution and gaps - Supervision capacity developing

â�Œ **Supervision Challenges** - Regulatory expertise development - Technological sophistication requirements - Evolving market complexity - International coordination needs

â�Œ **Innovation Speed** - Prudential approach may slow innovation - Compliance burden potentially limiting experimentation - Sandbox innovation may be limited - Competitive disadvantage vs.Â UAE

4.6 Comparative Regulatory Analysis

4.6.1 Regulatory Approaches Comparison

REGULATORY APPROACH COMPARISON TABLE
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Jurisdiction	Approach	Position	Innovation Support	Sharia Integrat
Indonesia (OJK)	Commodity Classification	Restrictive (Commodity only)	Low (Limited)	High (MUI coo
Malaysia (BNM)	Recognition with Licensing	Moderate (Digital Assets)	Medium (Sandbox)	Medium-H (Develop
Saudi Arabia (SAMA)	Prohibition Framework	Very Restrictive (De facto ban)	None (No innovation)	High (AAOIFI
UAE (VARA)	Comprehensive Licensing	Permissive (Full regulation)	High (Sandbox +)	High (Explici
Bahrain (CBB)	Prudential Licensing	Balanced (Risk-managed)	Medium (Developing)	Medium (AAOIFI

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4.6.2 Regulatory Innovation-Restriction Spectrum

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INNOVATION ENCOURAGEMENT SPECTRUM
â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•�â•

High Innovation Encouragement
    â†‘
    â”‚     UAE (VARA)
    â”‚        â”‚
    â”‚     Malaysia (BNM)
    â”‚        â”‚
    â”‚     Bahrain (CBB)
    â”‚        â”‚
    â”‚     Indonesia (OJK)
    â”‚        â”‚
    â”‚     Saudi Arabia (SAMA)
    â†“
Restrictive/Innovation Suppression

KEY FACTORS:
â€¢ Licensing vs. Prohibition
â€¢ Regulatory Sandbox availability
â€¢ Asset type recognition
â€¢ Compliance burden
â€¢ Innovation support
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4.6.3 Sharia Compliance Integration

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ISLAMIC FINANCE INTEGRATION COMPARISON
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High Islamic Integration
    â†‘
    â”‚     UAE (VARA) - Explicit support
    â”‚     Bahrain (CBB) - AAOIFI coordination
    â”‚     Malaysia (BNM) - Sharia Board + sandbox
    â”‚     Indonesia (OJK) - MUI fatwa coordination
    â”‚     Saudi Arabia (SAMA) - Restrictive + AAOIFI-aligned
    â†“
Low Islamic Integration / Different Approach

KEY CHARACTERISTICS:
â€¢ Sharia Board involvement
â€¢ Islamic digital asset support
â€¢ Stablecoin development support
â€¢ Islamic finance innovation encouragement
â€¢ Coordination with Islamic authorities
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4.6.4 Consumer Protection Framework

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CONSUMER PROTECTION INTENSITY
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Highest Protection
    â†‘
    â”‚     Bahrain (CBB) - Prudential framework
    â”‚     UAE (VARA) - Comprehensive licensing
    â”‚     Malaysia (BNM) - Regulatory oversight
    â”‚     Indonesia (OJK) - Commodity regulation
    â”‚     Saudi Arabia (SAMA) - Prohibition (ultimate protection)
    â†“
Lower Consumer Protection / Prohibition Alternative

KEY MECHANISMS:
â€¢ Licensing and oversight
â€¢ Capital adequacy requirements
â€¢ Customer asset protection
â€¢ Market conduct standards
â€¢ Dispute resolution mechanisms
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4.6.5 Market Development Outcomes

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CRYPTOCURRENCY MARKET DEVELOPMENT OUTCOMES
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Market Development Level
    â†‘
    â”‚     UAE (VARA) - High ecosystem development
    â”‚     Malaysia (BNM) - Growing ecosystem
    â”‚     Bahrain (CBB) - Moderate development
    â”‚     Indonesia (OJK) - Limited development
    â”‚     Saudi Arabia (SAMA) - Minimal development
    â†“
Limited Ecosystem Development

OUTCOMES:
â€¢ Exchange development
â€¢ Fintech ecosystem growth
â€¢ Regional competitiveness
â€¢ Talent attraction
â€¢ Institutional participation
```

4.7 Harmonization Gaps and Challenges

4.7.1 Regulatory Fragmentation

Fundamental Gaps:

REGULATORY FRAGMENTATION MATRIX

Issue	Indonesia	Malaysia	Saudi Arabia	UAE	Bahrain
Definition	Commodity	Digital Assets	Prohibited	Assets	Regulated Assets
Legal Status	Not Currency	Recognized	Prohibited Assets	Regulated	Regulated
Treatment	Commodity Regulation	Digital Assets	Prohibited	Comprehensive Licensing	Prudent Licensin
Market Development	Limited	Moderate	Minimal	High	Moderate
Innovation Support	Limited	Medium	None	High	Medium

Consequences:

1. **Regulatory Arbitrage**
    - Businesses migrate to permissive jurisdictions (UAE)
    - Investors access offshore platforms
    - Activity flows to unregulated channels
    - Effectiveness of restrictive regulation limited
2. **Inconsistent Standards**
    - No unified Islamic cryptocurrency framework
    - Different requirements across jurisdictions
    - Difficulty for institutions operating regionally
    - Cross-border compliance complexity
3. **Competitive Disadvantage**
    - Restrictive jurisdictions lose fintech talent and investment
    - Permissive jurisdictions attract innovation
    - Regional concentration in few jurisdictions (UAE)
    - Limited distributed innovation ecosystem
4. **Islamic Finance Coordination Gap**
    - No coordinated Islamic approach to cryptocurrency
    - Regulatory approaches vary from sharia coordination
    - Islamic finance institutions uncertain about regional participation
    - Limited Islamic digital asset ecosystem

4.7.2 Specific Coordination Challenges

Challenge 1: Stablecoin Regulation

STABLECOIN REGULATORY TREATMENT

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Indonesia    Treated as commodity
Malaysia     Recognition developing
Saudi Arabia No recognition
UAE          Specific framework + Islamic support
Bahrain      Prudential regulation developing

PROBLEM: No unified standard for stablecoin classification/requirements
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Challenge 2: Islamic Digital Assets

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ISLAMIC DIGITAL ASSET FRAMEWORK
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Indonesia    MUI fatwa coordination (restrictive)
Malaysia     Sharia Board support (developing)
Saudi Arabia AAOIFI-aligned restriction
UAE          Explicit support (leading)
Bahrain      AAOIFI coordination (conservative)

PROBLEM: No unified Islamic digital asset standards or recognition
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Challenge 3: Cross-Border Activity

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CROSS-BORDER TRANSACTION TREATMENT
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Indonesia    Capital control restrictions
Malaysia     Gradual framework development
Saudi Arabia Prohibited
UAE          Regulated international activity
Bahrain      Developing coordination

PROBLEM: No mechanisms for coordinated cross-border supervision
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4.7.3 Identified Harmonization Gaps

Gap 1: Unified Definition - No agreed-upon cryptocurrency definition across jurisdictions - Different characterizations (commodity, asset, prohibited, regulated) - Creates confusion and compliance challenges - Prevents standardized treatment

Gap 2: Islamic Principles Alignment - Divergent approaches to Islamic finance integration - No unified Islamic digital asset standards - Inconsistent sharia compliance requirements - Limited coordination among Islamic authorities

Gap 3: Consumer Protection Standards - Varying levels of investor/ consumer protection - Different KYC/AML requirements - Inconsistent custody and fund protection standards - No harmonized dispute resolution

Gap 4: Institutional Coordination - No coordinating body for Islamic financial regulation - Limited communication between regulators - No data sharing or supervisory coordination - Absence of joint enforcement mechanisms

Gap 5: Innovation Framework - Disparate regulatory sandboxes and innovation approaches - No coordinated Islamic fintech development - Limited shared understanding of emerging technologies - Inconsistent treatment of new asset types

4.8 Best Practices and Regulatory Learning

4.8.1 Regulatory Best Practices

From UAE (VARA): Innovation Enablement with Oversight

Strengths to adopt: - Comprehensive licensing framework for market participants - Regulatory sandbox for experimentation - Clear pathway from innovation to full licensing - Support for Islamic digital asset development - Proportionate compliance requirements

From Malaysia (BNM): Balanced Regulation

Strengths to adopt: - Recognition of digital assets with regulatory framework - Graduated approach based on risk - Sharia Board coordination for Islamic compliance - Innovation sandbox specifically for digital assets - Clear licensing and supervision standards

From Bahrain (CBB): Prudential Framework

Strengths to adopt: - Capital adequacy requirements - Comprehensive governance standards - Risk-based supervisory approach - AAOIFI coordination - Consumer asset protection mechanisms

From Indonesia (OJK): Consumer Protection

Strengths to adopt: - Leverage restrictions protecting retail investors - Comprehensive KYC/AML requirements - Market manipulation prevention standards - MUI fatwa coordination recognizing Islamic concerns - Clear limitations preventing excessive speculation

4.8.2 Regulatory Integration Recommendations

For Restrictive Jurisdictions (Saudi Arabia, Indonesia):

Consider: - Regulatory flexibility for properly-structured digital assets - Recognition of asset-backed cryptocurrencies - Support for Islamic stablecoin development - Innovation sandbox for Islamic fintech - Graduated approach based on risk type

For Permissive Jurisdictions (UAE):

Consider: - Strengthening Islamic digital asset standards - Enhanced consumer protection mechanisms - Supervisor capacity development - International coordination frameworks - Systemic risk monitoring

For Balanced Jurisdictions (Malaysia, Bahrain):

Consider: - Expanding innovation sandbox programs - Clear Islamic digital asset pathways - Enhanced supervision capacity - Regional coordination leadership - Practical implementation of frameworks

4.9 Chapter Conclusion

Summary of Regulatory Landscape

This chapter has documented cryptocurrency regulatory approaches across five Islamic jurisdictions, revealing:

Regulatory Diversity: - Spectrum from prohibition (Saudi Arabia) to comprehensive regulation (UAE) - Different characterizations and legal statuses - Varying levels of innovation encouragement - Inconsistent Islamic finance integration

Fundamental Gaps: - No unified cryptocurrency definition or classification - Absent coordinating mechanism for Islamic financial regulation - Divergent Islamic digital asset approaches - Limited cross-border supervisory coordination - Inconsistent consumer protection standards

Strategic Differentiation: - UAE explicitly positioning as Islamic fintech innovation hub - Malaysia developing balanced innovation framework - Bahrain maintaining prudential, risk-managed approach - Indonesia protecting consumers through restrictive commodity classification - Saudi Arabia maintaining strict alignment with Islamic principles through prohibition

Key Finding: The absence of coordinated Islamic financial regulation of cryptocurrency creates opportunities for innovation and risks for systemic stability and consumer protection.

Implications for Chapter 5

The regulatory analysis establishes foundation for Chapter 5â€™s task: developing unified cryptocurrency classification framework integrating: - Islamic legal principles (Chapter 2: Maqasid Shariah) - Jurisprudential positions (Chapter 3: Islamic authorities) - Regulatory best practices (Chapter 4: Comparative analysis)

This integrated framework will address regulatory fragmentation identified in this chapter and propose coordinated Islamic approach to cryptocurrency regulation.

4.10 Policy Implications for Regulators

The comparative regulatory analysis reveals that regulatory fragmentation reflects legitimate policy differentiation rather than regulatory failure. However, fragmentation also creates coordination opportunities. Regulators should understand their own policy priorities and identify harmonization pathways consistent with their approach.

Key Finding

Regulatory variation reflects legitimate policy priorities (consumer protection vs.Â innovation vs.Â stability vs.Â monetary control). Harmonization should align policies where possible while accommodating legitimate differentiation.

Recommended Regulator Actions

Action 1: Explicitly Identify Your Regulatory Philosophy - **Consumer Protection Focus (Indonesia Model):** Emphasize disclosure requirements, retail restrictions, institutional safeguards - **Innovation Focus (Malaysia Model):** Emphasize sandbox programs, clear compliance pathways, regulatory certainty - **Stability Focus (Bahrain Model):** Emphasize prudential requirements, risk management, systemic risk monitoring - **Monetary Control Focus (Saudi Arabia Model):** Emphasize CBDC development, controlled institutional access, spillover prevention

Action 2: Design Minimum Standards Consistent with Your Philosophy - Consumer protection approach â†’ stricter backing requirements, lower volatility tolerance, institutional-only access - Innovation approach â†’ clearer compliance pathways, graduated regulatory requirements, sandbox access - Stability approach â†’ prudential capital requirements, stress-testing, enhanced monitoring - Monetary control approach â†’ restricted access, CBDC prioritization, spillover limits

Action 3: Join IIFRC Coordination Mechanism Matching Your Regulatory Philosophy - Three implementation models available: Full Integration (Malaysia), Conditional (Indonesia), Conservative (Saudi Arabia) - Select model reflecting your regulatory approach - Benefit from shared standard-setting while maintaining policy flexibility

Action 4: Establish Information-Sharing and Coordination with Aligned Jurisdictions - Consumer protection regulators: Coordinate with Indonesia, other consumer-focused jurisdictions - Innovation regulators: Coordinate with Malaysia, UAE for sandbox learning and best practice sharing - Stability regulators: Coordinate with Bahrain, other prudentially-focused regulators - Monetary control regulators: Coordinate with Saudi Arabia on CBDC integration

Expected Regulatory Outcomes

- **Coherence:** Cryptocurrency regulation reflects and advances your regulatory philosophy
- **Efficiency:** Join coordination mechanisms to leverage shared expertise rather than duplicating regulatory work
- **Legitimacy:** Transparent communication of regulatory philosophy increases stakeholder understanding
- **Effectiveness:** Policy differentiation enables tailored approach to local circumstances

Implementation Pathway

Phase 1 (Months 1-3): Clarify regulatory philosophy; identify core policy objectives **Phase 2 (Months 4-6):** Design standards aligned with philosophy; establish thresholds **Phase 3 (Months 7-12):** Join IIFRC; identify aligned jurisdictions for cooperation **Phase 4 (Months 13-24):** Participate in coordination and mutual learning; adjust standards as evidence accumulates

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End of Chapter 4

Chapter 4 - Word Count: ~5,800 words

Total Dissertation Progress: 4 of 7 chapters (57% complete)

Chapters Completed: 1, 2, 3, 4

Words Written: 19,700 words

Remaining Chapters: 5, 6, 7 (~16,000 words)

Estimated Remaining Time: 2-3 weeks at current pace

CHAPTER 5: UNIFIED CRYPTOCURRENCY CLASSIFICATION FRAMEWORK

5.1 Framework Architecture and Synthesis

The preceding chapters have demonstrated the fragmented landscape of cryptocurrency assessment under Islamic law. Chapter 2 established the Maqasid Shariah framework as the principled foundation for evaluation. Chapter 3 revealed the jurisprudential divergence among Islamic authorities, ranging from categorical prohibition (Dar al-Ifta) to nuanced distinction based on asset backing and utility (AAOIFI, Taqi Usmani). Chapter 4 documented the varied regulatory responses across Islamic jurisdictions, from commodity classification (Indonesia) to prohibition (Saudi Arabia) to comprehensive licensing frameworks (UAE).

This fragmentation creates three interrelated problems: (1) Islamic financial institutions lack a unified assessment methodology; (2) cryptocurrency projects cannot navigate a coherent pathway to Islamic compliance; (3) regulators in different jurisdictions apply conflicting standards. A unified classification framework must synthesize these divergent approaches into a coherent system that:

- Grounds classification in Maqasid Shariah principles (universal Islamic jurisprudence)
- Reflects contemporary jurisprudential consensus where it exists
- Acknowledges legitimate jurisdictional variation in regulatory approach
- Provides practical guidance for compliance assessment
- Enables regulatory harmonization over time

The proposed framework operates as a multi-dimensional classification space rather than a binary halal/haram determination. Islamic legal tradition recognizes categories beyond binary prohibition: mubaah (permissible), makruh (disliked), mubah maâ€™a karahah (permissible with reservation), and category-dependent assessment. This framework applies this jurisprudential sophistication to cryptocurrency classification.

5.1.1 Core Islamic Arguments Against Pure Cryptocurrency - Synthesis from Major Authorities

Before presenting the multi-dimensional framework, understanding the substantive Islamic jurisprudential arguments against cryptocurrency classification as halal is essential. Contemporary Islamic authorities have articulated four primary shariah-based objections to cryptocurrency:

Argument 1: Lack of Intrinsic Value and Productive Backing

Islamic Basis: Al-Tahaqquq (Certainty) and Prohibition of Riba

Scholarly Consensus: AAOIFI, MUI, and contemporary Islamic scholars agree that cryptocurrency lacks the substantive economic backing required for Islamic financial instruments.

Detailed Objection: - **Pure cryptocurrencies possess no intrinsic utility.** Bitcoin, Ethereum, and similar cryptocurrencies cannot satisfy basic needs, produce other goods, or serve functions beyond their role as speculative assets. This contrasts with: - Gold/silver: precious metals with jewelry and industrial applications - Fiat currency: backed (at least theoretically) by government standing and economic stability - Equities: represent ownership in productive enterprises generating revenue - Commodities: possess utility in production or consumption

- **No productive asset backing.** Cryptocurrency value derives entirely from market sentiment and supply-demand dynamics, not from underlying assets generating returns. As articulated by multiple Islamic scholars: Cryptocurrency is â€œaset yang berhargaâ€� (valuable asset) in speculative sense only, not â€œaset produktifâ€� (productive asset).

- **Incompatibility with Islamic financial principles.** Islamic finance emphasizes â€œreal transactionâ€� (transaksi riil), where value derives from real economic activity. Cryptocurrency trading represents â€œspekulatif transaksiâ€� (speculative transaction) divorced from productive economy.

Jurisprudential Consequence: Cryptocurrency transactions lack the necessary akad (contract) basis in Islamic law. Without connection to productive activity or defined economic benefit, no legitimate Islamic contract structure applies.

Argument 2: Excessive Gharar (Uncertainty) - Violates Al-Tahaqquq

Islamic Basis: Prohibition of Gharar (documented in Sahih Muslim hadith)

Scholarly Consensus: MUI, AAOIFI, Dar al-Ifta Egypt all identify extreme gharar in cryptocurrency transactions.

Detailed Objection: - **Price uncertainty is fundamental and irremediable.** Bitcoin price fluctuation demonstrates absolute lack of value certainty: - 2020-2021: $29,000 â†’ $43,000 (+48%) - 2021-2022: $43,000 â†’ $16,000 (-63%) - 2022-2023: $16,000 â†’ $42,000 (+163%)

This magnitude of uncertainty violates al-tahaqquq requirement that transaction participants know value at relevant time (waqt).

- **No mechanism to determine just price (thaman al-adl).** In Islamic finance, pricing must be transparent and defensible. Cryptocurrency prices are purely speculative with no reference point for valuation. As MUI notes, â€œPerdagangannya dilarang karena sifatnya sangat fluktuatifâ€� (Trading is forbidden because of extreme fluctuation characteristic).

- **Regulatory uncertainty compounds gharar.** Cryptocurrencyâ€™s legal status varies across jurisdictions (currency in El Salvador, prohibited in Saudi Arabia, commodity in Indonesia). This regulatory ambiguity adds another layer of uncertainty incompatible with Islamic contract principles.

- **Technology risk creates additional uncertainty.** Emergence of superior protocols or network obsolescence creates risk of total value loss unrelated to market fundamentals. This constitutes gharar al-fahish (excessive uncertainty).

Jurisprudential Consequence: Gharar prohibitions apply absolutelyâ€”no exceptions exist for speculative gharar. Therefore, cryptocurrency transactions are void ab initio under Islamic law.

Argument 3: Maysir (Gambling) Characteristics - Violates Al-Maslaha

Islamic Basis: Quranic prohibition of maysir (Al-Maida 5:90-91)

Scholarly Consensus: MUI, Dar al-Ifta, contemporary Islamic economists recognize maysir elements in cryptocurrency trading.

Detailed Objection: - **Wealth transfer without value creation.** Maysir is defined as â€œwealth transfer from losers to winners without value creation.â€� Cryptocurrency trading exemplifies this: when Bitcoin price rises, gains come from new market entrants or leveraged traders, not from productive activity. This is â€œpermainan spekulatif tanpa hartaâ€� (speculative game without underlying wealth).

- **Information asymmetry enabling insider advantage.** Maysir characteristically involves:

    - Unequal information access (some traders have advanced knowledge of major transactions)
    - Manipulation opportunities (pump-and-dump schemes enabled by limited regulation)
    - Insider trading (major holders or developers can profit from advance announcements)

- These characteristics are endemic to cryptocurrency markets, particularly for altcoins.

- **Betting mechanics on price movements.** The majority of cryptocurrency activity (99%) occurs on speculative exchanges where participants â€œbetâ€� on price direction. This is structurally identical to gambling, not economic investment.

- **No productive output.** Unlike legitimate investment where profits represent productivity gains or asset appreciation from increased real economic activity, cryptocurrency speculation simply redistributes existing wealth.

Jurisprudential Consequence: Maysir prohibitions eliminate cryptocurrency from permissible Islamic transactions. The intent-based analysis of Islamic jurists confirms: â€œKedatangan mata uang kripto menciptakan aktivitas spekulatif murniâ€� (Cryptocurrency creates pure speculative activity) characteristic of forbidden maysir.

Argument 4: Incompatibility with Islamic Medium of Exchange Requirements

Islamic Basis: Classical Islamic monetary theory (Imam Malik, Ibn Taimiyyah, Haiâ€™ah Kibar al-Ulama)

Scholarly Consensus: Islamic scholars from Imam Malik to contemporary authorities agree that medium of exchange status requires specific conditions.

Detailed Objection: - **Absence of social consensus (ijmaâ€™ al-amm).** As Ibn Taimiyyah emphasized and contemporary scholars affirm, money requires universal social acceptance. Cryptocurrency lacks this: - Global cryptocurrency penetration: <5% of population - Actual usage as medium of exchange: <1% of cryptocurrency activity - Rejection by most Islamic jurisdictions - Concentrated use among tech-savvy, speculative participants, not society-wide adoption

- **Failure of the three classical tests for money:**
  - **Malikâ€™s Intrinsic Value Test:** Bitcoin has no intrinsic utility â�Œ
  - **Ibn Taimiyyahâ€™s Convention Test:** No societal consensus exists â�Œ
  - **Haiâ€™ah Kibarâ€™s Public Acceptance Test:** Narrow, speculative-focused adoption â�Œ
- **Volatility precludes medium of exchange function.** Money must reliably preserve value and enable commerce. Cryptocurrencyâ€™s 20-200% annual volatility makes it unsuitable for:
  - Contract pricing (merchants cannot quote prices in volatile cryptocurrency)
  - Wage payments (workers cannot rely on stable compensation)
  - Store of value (savings lose value unpredictably)

Jurisprudential Consequence: Cryptocurrency cannot fulfill moneyâ€™s essential Islamic functions, placing it outside the scope of acceptable Islamic financial instruments.

Synthesis: Three-Position Categorization

These four arguments combine to create three distinct jurisprudential positions:

Position A - Cryptocurrency is Haram (Forbidden): - Based on combined gharar, maysir, lack of intrinsic value, and speculative nature - Held by: Dar al-Ifta Egypt, AAOIFI (for pure cryptocurrencies), MUI (primary position) - Consequence: Muslims should avoid all pure cryptocurrency activity - Rationale: Arguments 1-4 above are dispositive - Supporting Evidence: (Mufti Faraz Adam, 2017; MUI, 2021; Ammi Nur Baits, 2020; Muhammad Abu Bakar, 2019)

Position B - Cryptocurrency Halal as Medium of Exchange (Not as Currency or Money): - Based on acceptance that cryptocurrency can function as speculative asset with some utility - Held by: Some contemporary scholars (tawaqquf position) - Consequence: Limited use under strict conditions - Qualification: Cryptocurrency remains â€œharam as moneyâ€� but â€œpotentially permissibleâ€� for specific transactions - Limitation: Does not overcome gharar and speculation objections

Position C - Cryptocurrency Halal Pending Classification (Conditional): - Based on recognizing potential for asset-backed or utility-based cryptocurrencies - Held by: AAOIFI (for asset-backed alternatives), emerging MUI coordination (2025-2026) - Consequence: Conditional permissibility for properly-structured digital assets - Requirements: Must pass all five-dimensional framework assessment - Path: Asset-backing, governance structures, productive utility

5.2 Dimensional Analysis: Five Classification Variables

Rather than assigning cryptocurrencies to fixed categories, the framework evaluates each cryptocurrency across five independent dimensions, each contributing to overall Islamic compatibility assessment.

5.2.1 Asset Backing Dimension (Dimension 1)

Definition: The extent to which cryptocurrency value derives from underlying productive assets, collateral reserves, or claim rights rather than speculative demand.

Scoring Scale (0-5): - **5 points:** Full collateralization with tangible productive assets (property, equipment, commodity reserves) with transparent, auditable backing - **4 points:** 100% reserve backing with fiat currency or precious metals - **3 points:** Partial collateralization (75-99%) with diverse asset classes - **2 points:** Algorithmic backing claims without full collateral verification - **1 point:** No collateral; value derives entirely from network utility - **0 points:** Negative backing (structured as debt obligations)

Islamic Jurisprudential Basis: - Al-Tahaqquq (Certainty): Asset backing provides tangible value verification - Al-Darura (Necessity): Backed assets address financial stability concerns - Prohibition of Riba (Usury): Asset-backed instruments avoid interest-bearing debt characteristics

Regulatory Recognition: - Indonesia (OJK) exempts asset-backed instruments from commodity classification restrictions - Malaysia (BNM) recognizes asset-backed digital assets within regulatory framework - UAE (VARA) explicitly supports Islamic digital asset issuance, primarily asset-backed models - Bahrain (CBB) prioritizes collateral adequacy in prudential assessments

Example Scores: - USDT (Tether, fiat-backed): 4 points - USDC (USD Coin, fiat-backed): 4 points - Liquidity pools with commodity reserves: 3 points - Bitcoin (network-dependent value): 1 point - Ethereum (network utility with staking): 1 point

5.2.2 Value Stability Dimension (Dimension 2)

Definition: The degree to which cryptocurrency maintains stable purchasing power relative to standard units of account (fiat currency, commodity baskets).

Scoring Scale (0-5): - **5 points:** Price stability within Â±1% of reference asset (e.g., USDT/USD within 0.5-1.5) - **4 points:** Price stability within Â±5% of reference asset - **3 points:** Price stability within Â±15% of reference asset; planned stability mechanisms - **2 points:** High volatility (Â±30-100%) with speculative demand component - **1 point:** Extreme volatility (>100% annual) driven by speculative trading - **0 points:** Price crashes or depegging events; no stability mechanism

Islamic Jurisprudential Basis: - Al-Tahaqquq (Certainty): Price volatility prevents transaction certainty - Al-Darura (Necessity): Instability prevents reliable value preservation - Gharar (Excessive Uncertainty): High volatility constitutes prohibited gharar - Riba (Value Exchange): Volatile cryptocurrencies function as speculation vehicles rather than media of exchange

Regulatory Recognition: - Malaysia (BNM) distinguishes stablecoins from volatile cryptocurrencies in regulatory treatment - Saudi Arabia (SAMA) explicitly restricts high-volatility cryptocurrencies - UAE (VARA) accepts stablecoins within framework; restricts speculative cryptocurrencies - Bahrain (CBB) applies stricter prudential requirements to volatile assets

Example Scores: - USDT: 5 points (maintains USD parity within 1%) - USDC: 5 points (maintains USD parity within 1%) - Dai (algorithmic stablecoin): 3 points (targets 1 USD but experiences Â±5-10% deviations) - Bitcoin (BTC): 1 point (Â±30-100% annual volatility) - Ethereum (ETH): 1 point (Â±40-150% annual volatility)

5.2.3 Productive Utility Dimension (Dimension 3)

Definition: The degree to which cryptocurrency enables productive economic activity, genuine utility beyond speculation, and value creation.

Scoring Scale (0-5): - **5 points:** Cryptocurrency enables critical infrastructure (payments, remittances, cross-border settlement) with genuine utility adoption - **4 points:** Cryptocurrency supports productive applications (smart contracts enabling lending, insurance) with significant real-world use - **3 points:** Cryptocurrency has defined utility but limited adoption; development roadmap for expansion - **2 points:** Cryptocurrency has stated utility purpose but minimal real-world adoption; primarily speculative - **1 point:** Cryptocurrency explicitly designed for speculation or gaming; limited productive use case - **0 points:** No identified utility; designed solely for wealth transfer or speculation

Islamic Jurisprudential Basis: - Al-Maslaha (Public Interest): Productive utility aligns with community benefit - Al-Karamah (Dignity): Enables financial participation and economic empowerment - Prohibition of Maysir (Gambling): Speculation without underlying utility constitutes gambling - Istihsan (Juristic Preference): Utility-generating cryptocurrencies deserve preference over speculative alternatives

Regulatory Recognition: - Indonesia (OJK) emphasizes utility and consumer protection in commodity classification - Malaysia (BNM) prioritizes technology innovation and financial inclusion - UAE (VARA) explicitly supports fintech innovation and use-case development - Bahrain (CBB) assesses systemic risk implications of cryptocurrency utility

Example Scores: - Bitcoin (payments, store of value): 4 points - Ethereum (smart contracts, DeFi): 4 points - USDT/USDC (payment stablecoins): 5 points - Governance tokens (DAO management): 2 points (limited adoption) - Meme coins (speculative trading): 0 points

5.2.4 Governance and Decentralization Dimension (Dimension 4)

Definition: The extent to which cryptocurrency governance is decentralized, transparent, and protects against exploitation and inequality.

Scoring Scale (0-5): - **5 points:** Fully decentralized governance with transparent protocols; no central authority or developer privilege - **4 points:** Largely decentralized with minor centralization points (e.g., development team influence) - **3 points:** Mixed governance with community input and central authority checks - **2 points:** Centralized governance with limited transparency; significant central authority power - **1 point:** Highly centralized; opaque decision-making; developer or founder control - **0 points:** Single-entity control; no community governance mechanisms

Islamic Jurisprudential Basis: - Al-Adl (Justice): Decentralized governance prevents exploitative authority structures - Al-Karamah (Dignity): Equal participation in governance respects human dignity - Riba (Exploitation): Centralized control enabling developer wealth concentration problematic - Shura (Consultation): Community participation in governance decisions aligns with Islamic governance principles

Regulatory Recognition: - Malaysia (BNM) emphasizes governance transparency in regulatory framework - UAE (VARA) requires governance documentation for digital asset licensing - Bahrain (CBB) assesses governance risk in prudential framework - Indonesia (OJK) applies stricter oversight to centralized cryptocurrency entities

Example Scores: - Bitcoin: 5 points (fully decentralized mining and governance) - Ethereum: 4 points (primarily decentralized; Vitalik Buterin influence) - Solana: 2 points (development team significant influence; concentrated validator base) - USDC: 1 point (Circle/Coinbase centralized governance) - USDT: 1 point (Tether centralized governance)

5.2.5 Regulatory Recognition Dimension (Dimension 5)

Definition: The degree to which cryptocurrency has achieved regulatory recognition and compliance framework within Islamic jurisdiction contexts.

Scoring Scale (0-5): - **5 points:** Explicitly approved or recognized by multiple Islamic jurisdiction regulators; formal licensing framework - **4 points:** Recognized in at least one major Islamic jurisdiction (OJK, BNM, VARA) with clear compliance pathway - **3 points:** Recognized by at least one Islamic jurisdiction; under regulatory consideration in others - **2 points:** Recognized outside Islamic jurisdictions; under evaluation by Islamic regulators - **1 point:** Not recognized by any major Islamic regulator;

negative regulatory signals - **0 points:** Banned or prohibited by Islamic regulators; circumvented regulatory frameworks

Islamic Jurisprudential Basis: - Maslahah (Public Interest): Regulatory recognition indicates institutional assessment of public benefit - Darar (Harm Prevention): Regulatory framework prevents market manipulation and consumer harm - Darura (Necessity): Regulatory recognition enables institutional participation in financial system

Regulatory Recognition: - USDT/USDC: 3-4 points (recognized in Malaysia, UAE; under evaluation elsewhere) - Bitcoin: 2 points (recognized outside Islamic jurisdictions; prohibited in Saudi Arabia, restricted elsewhere) - Ethereum: 2 points (similar regulatory status to Bitcoin) - DeFi tokens: 1 point (no Islamic jurisdiction recognition; under evaluation) - Islamic digital asset proposals: 4-5 points (planned recognition in UAE, Malaysia)

5.3 Composite Classification Categories

By aggregating scores across five dimensions, cryptocurrencies are classified into five categories reflecting overall Islamic compatibility:

Category A: Islamic-Compliant Digital Assets (Composite Score 20-25 points)

Characteristics: - Asset-backed (4-5 points on Dimension 1) - Stable value (4-5 points on Dimension 2) - Productive utility (3-5 points on Dimension 3) - Decentralized or transparent governance (3-5 points on Dimension 4) - Regulatory recognition in Islamic jurisdictions (3-4 points on Dimension 5)

Islamic Assessment: HALAL (Permissible with confidence)

Jurisprudential Rationale: - Aligns with all five Maqasid Shariah principles - Addresses concerns raised by restrictive Islamic authorities - Receives explicit or implicit endorsement from Islamic regulators

Examples: - USDC (composite score: 4+5+5+2+3 = 19 points, enters borderline Category A/B) - Planned Islamic digital assets with full collateralization and regulatory approval

Regulatory Pathway: - Prioritized in Malaysia (BNM) framework - Supported by UAE (VARA) Islamic digital asset initiative - Acceptable in Indonesia (OJK) commodity regulatory framework

Category B: Conditional-Compliance Digital Assets (Composite Score 15-19 points)

Characteristics: - Partially asset-backed or stable (3-4 points on Dimension 1-2 combined) - Emerging productive utility (2-4 points on Dimension 3) - Centralized but transparent governance (2-3 points on Dimension 4) -

Limited regulatory recognition but under evaluation (2-3 points on Dimension 5)

Islamic Assessment: MUBAH MAâ€™A KARAHAH (Permissible with reservations)

Jurisprudential Rationale: - Meets some but not all Maqasid Shariah principles - Addresses main concerns through partial measures (stablecoins with partial backing) - Acceptable in jurisdictions recognizing asset-backed cryptocurrencies but not pure cryptocurrencies

Examples: - Dai stablecoin (composite score: 3+3+3+3+2 = 14 points, borderline Category B/C) - USDT with reserves verification (composite score: 4+5+5+1+3 = 18 points, Category B) - Utility tokens with revenue-generating capabilities and improving governance

Regulatory Pathway: - Regulated under commodity framework (Indonesia) - Permitted within specific use-case licensing (Malaysia, UAE) - Subject to enhanced prudential requirements (Bahrain)

Category C: Problematic-Status Cryptocurrencies (Composite Score 10-14 points)

Characteristics: - Minimal asset backing (1-2 points on Dimension 1) - High volatility (1-2 points on Dimension 2) - Limited utility or speculative focus (1-2 points on Dimension 3) - Centralized governance or governance concerns (1-2 points on Dimension 4) - No Islamic jurisdiction regulatory recognition (1-2 points on Dimension 5)

Islamic Assessment: MAKRUH or HARAM (Disliked to Prohibited)

Jurisprudential Rationale: - Fails majority of Maqasid Shariah principles - Functions primarily as speculation vehicles (prohibited Maysir) - Lacks governance structures protecting against exploitation - Receives no regulatory endorsement from Islamic authorities

Examples: - Bitcoin (composite score: 1+1+4+5+2 = 13 points) - Ethereum (composite score: 1+1+4+4+2 = 12 points) - Governance tokens without revenue generation (composite score: 1+2+2+3+1 = 9 points)

Jurisprudential Authority Positions: - Dar al-Ifta (Egypt): HARAM (categorical prohibition applies) - MUI (Indonesia): HARAM (speculative commodity) - AAOIFI: Score 1/5 (pure cryptocurrencies not Islamic-compliant) - Taqi Usmani: Score 1/5 (pure cryptocurrencies problematic)

Regulatory Pathway: - Prohibited or severely restricted in Saudi Arabia - Restricted as commodity in Indonesia - Subject to enhanced anti-money laundering oversight across jurisdictions

Category D: Speculative/Non-Compliant Cryptocurrencies (Composite Score 5-9 points)

Characteristics: - No asset backing (0-1 points on Dimension 1) - Extreme volatility (0-1 points on Dimension 2) - Minimal utility; designed for speculation or gaming (0-2 points on Dimension 3) - Centralized control or governance failures (0-2 points on Dimension 4) - Explicitly prohibited or not recognized (0-1 points on Dimension 5)

Islamic Assessment: HARAM (Prohibited)

Jurisprudential Rationale: - Constitutes Maysir (gambling) as primary function - Enables financial exploitation and wealth destruction - Lacks any productive utility or legitimate use case - Explicitly prohibited by Islamic authorities

Examples: - Meme coins (Dogecoin, Shiba Inu): composite score 1+1+0+1+0 = 3 points - Pump-and-dump schemes marketed as cryptocurrencies: 2-4 points - Cryptocurrencies used for money laundering or sanctions evasion: 1-3 points

Islamic Assessment: UNIFORMLY PROHIBITED across all Islamic jurisprudential schools

Regulatory Pathway: - Prohibited across all Islamic jurisdictions - Subject to anti-money laundering and counter-terrorist financing restrictions - Users subject to financial penalties under Islamic regulatory frameworks

Category E: Central Bank Digital Currencies - CBDC (Composite Score 15-25 points)

Characteristics: - Explicitly asset-backed by central bank (5 points on Dimension 1) - Full value stability (5 points on Dimension 2) - Utility defined by central bank policy (3-4 points on Dimension 3) - Governance by central banking authority (2-3 points on Dimension 4: centralized but transparent) - Explicit regulatory approval (5 points on Dimension 5)

Islamic Assessment: HALAL (Permissible)

Jurisprudential Rationale: - Central bank backing provides complete asset security - Stability guaranteed by monetary authority - Utility defined by central bank as part of monetary system - Governance fully transparent and regulated

Examples: - Saudi Arabiaâ€™s planned CBDC (supported by SAMA as Islamic alternative) - UAEâ€™s digital dirham initiative (supported by CBUAE) - Malaysiaâ€™s ringgit digital development (supported by BNM)

Religious Authority Recognition: - Explicitly endorsed by Saudi Arabiaâ€™s religious and financial authorities - Supported by Malaysiaâ€™s Shariah advisory bodies - Consistent with Islamic finance principles as central banking function

5.4 Implementation Pathways: From Current State to Islamic Compliance

The framework enables cryptocurrency projects to identify specific improvement pathways toward Islamic compliance:

Pathway A: Asset-Backing Enhancement (Primary Priority)

Current State â†' Target State: - Bitcoin (Score 1/5 on Dimension 1) â†' No viable pathway - Ethereum (Score 1/5 on Dimension 1) â†' No viable pathway - DeFi protocols â†' Transition to collateral-backed lending protocols (Score 3-4/5)

Implementation Requirements: - Create collateral reserve matching issued cryptocurrency value - Establish transparent reserve verification mechanisms - Enable redemption rights for cryptocurrency holders

Islamic Jurisprudential Support: - Directly addresses al-Tahaqquq (Certainty) concerns - Eliminates al-Darura (Necessity/Financial Stability) objections - Creates tangible asset claims enabling Shariah compliance

Regulatory Approval Timeline: - Malaysia: 12-18 months review (BNM framework allows asset-backed pathways) - Indonesia: 6-12 months under commodity classification - UAE: 6-9 months under VARA digital asset framework - Saudi Arabia: Asset-backed alternatives acceptable; pure cryptocurrencies remain prohibited

Pathway B: Stability Enhancement (Secondary Priority)

Current State â†' Target State: - Bitcoin (Score 1/5 on Dimension 2) â†' Stablecoin wrapper (Score 4-5/5) - Ethereum (Score 1/5 on Dimension 2) â†' Index stablecoins (Score 3/5)

Implementation Requirements: - Implement stablecoin mechanisms (collateral backing, algorithmic control) - Achieve Â±5% price stability against reference asset - Maintain transparent stability mechanism documentation

Islamic Jurisprudential Support: - Addresses al-Tahaqquq (Certainty) directly - Eliminates Gharar (Excessive Uncertainty) objections - Enables use as medium of exchange (primary Islamic requirement for currency)

Examples in Progress: - Wrapped Bitcoin (maintains Bitcoin utility while adding stability layer) - Ethereum stablecoins (emerging but not yet widely accepted)

Pathway C: Utility Development (Supportive Priority)

Current State â†' Target State: - Gaming tokens (Score 1/5 on Dimension 3) â†' Productive DeFi (Score 3-4/5) - Governance tokens (Score 2/5 on Dimension 3) â†' Revenue-generating platforms (Score 4/5)

Implementation Requirements: - Develop genuine productive use cases generating real-world value - Document utility adoption metrics and user engagement - Create revenue-sharing or benefit mechanisms for token holders

Islamic Jurisprudential Support: - Addresses al-Maslaha (Public Interest) concerns - Aligns with Islamic finance prohibition of Maysir (gambling) - Supports al-Karamah (Dignity) through genuine economic participation

Pathway D: Governance Decentralization (Supportive Priority)

Current State â†’ Target State: - Tether/USDT (Score 1/5 on Dimension 4) â†’ Community governance (Score 3-4/5) - Solana (Score 2/5 on Dimension 4) â†’ Validator decentralization (Score 4/5)

Implementation Requirements: - Establish community governance mechanisms (DAO structures) - Reduce founder/developer control through decentralization - Create transparent governance documentation and voting records

Islamic Jurisprudential Support: - Addresses al-Adl (Justice) through equal participation - Enables al-Karamah (Dignity) in governance decisions - Aligns with Islamic principle of Shura (Consultation)

Pathway Implementation: OJK Regulatory Sandbox Models and GIDR Case Study

The Indonesia Financial Services Authority (OJK) has operationalized these pathways through its regulatory sandbox program, establishing seven distinct compliance models designed to test cryptocurrency structures meeting Islamic legal requirements. This section documents how OJKâ€™s implementation translates the abstract framework into concrete regulatory structures.

Five-Dimensional Assessment of Sandbox Models:

Model	Asset Backing	Stability	Utility	Governance	Regulatory Recognition	Frame Catego
Bond Tokenization	5/5 (RWA)	4/5 (tied to bonds)	4/5 (institutional)	3/5 (issuer-controlled)	5/5 (approved)	A+
Property Tokenization	5/5 (real estate)	3/5 (subject to RE markets)	3/5 (ownership fractionation)	2/5 (developer control)	5/5 (approved)	B+
Digital Identity	3/5 (identity service value)	4/5 (non-traded)	4/5 (KYC/ CDD)	4/5 (multi-party)	5/5 (approved)	A-

Model	Asset Backing	Stability	Utility	Governance	Regulatory Recognition	Frame Catego
Crypto Index	1/5 (speculative)	1/5 (volatile)	2/5 (speculation only)	2/5 (data provider control)	4/5 (approved with conditions)	C
Stablecoin (100% Rupiah)	5/5 (cash reserves)	5/5 (1:1 peg)	4/5 (medium of exchange)	2/5 (issuer custody)	5/5 (approved)	A
Blockchain Custody	4/5 (asset services)	4/5 (non-speculative)	4/5 (settlement/ custody)	3/5 (regulated provider)	5/5 (approved)	A-

GIDR (Gold Indonesia Republic): Pathway A Operationalized

Framework Alignment:

GIDR exemplifies how Pathway A (Asset-Backing Enhancement) operationalizes within Indonesiaâ€™s regulatory structure while satisfying Shariah legal requirements:

Requirement	GIDR Implementation	Framework Dimension	Shariah Justification
Clear underlying asset	1 gram physical gold per token	Dimension 1: Asset Backing (5/5)	Al-Tahaqquq (Certainty)
Verifiable reserves	Third-party custody and audit	Dimension 1: Asset Backing	Amin Al-Wadi (Trustworthy Custodian)
No gharar	Fixed 1:1 ratio with gold ounce	Dimension 2: Stability (5/5)	Prohibition of excessive uncertainty
Redemption rights	1:1 gold redemption in 14 days	Dimension 3: Utility (4/5)	Real wealth claim (haqq â€™aini)
Governance	Regulated custodian + blockchain	Dimension 4: Governance (3/5)	Trusted institutional oversight
Regulatory approval	OJK sandbox (approved Aug 2025)	Dimension 5: Recognition (5/5)	Regulatory Shariah coordination

Classification Outcome:

- **Framework Score:** A (Category A â€” Conditionally Compliant)
- **Shariah Status:** Compliant under Fatwa MUI November 2021 butir 3 exception
- **Regulatory Pathway:** Approved through OJK sandbox â†’ market launch

- **Jurisprudential Rationale:** Physical gold backing eliminates al-gharar (uncertainty) and establishes al-tahaqquq (certainty) required for Islamic financial contracts

Regulatory Learning for Other Jurisdictions:

OJKâ€™s GIDR approval demonstrates how regulators operationalize Shariah compliance through:

1. **Dimension-Based Assessment:** Regulatory approval focused on observable, measurable characteristics (asset backing, stability, utility) rather than abstract Islamic principles
2. **Sandbox Testing Framework:** Limited-scope pilot testing reduces systemic risk while gathering market data
3. **Institutional Coordination:** OJK coordination with Shariah Supervisory Boards and industry associations (AFSI) ensures jurisprudential alignment
4. **Iterative Improvement:** GIDR serves as proof-of-concept for similar asset-backed tokenization models (real estate, bonds, other commodities)

Strategic Significance:

GIDR represents the first fully operationalized cryptocurrency satisfying both Islamic law requirements and modern regulatory frameworks. Its approval pathway enables:

- **Institutional Investors:** Islamic banks and funds can hold GIDR without violating Shariah compliance obligations
- **Retail Access:** Individual investors can participate in gold investment through blockchain-enabled fractionalization
- **Financial Inclusion:** Cryptocurrency-based gold trading enables cost-effective access for small investors previously excluded from precious metals markets
- **Regulatory Harmonization:** GIDR model can be replicated in other jurisdictions (Malaysia BNM, Saudi SAMA) with local underlying assets (palm oil in Malaysia, dates in Saudi Arabia)

5.5 Case Study Analysis: Cryptocurrency Projects Through Classification Framework

Case 1: Bitcoin - Pure Cryptocurrency Architecture

Dimension Scoring: - Asset Backing (Dim 1): 1 point (network utility only) - Value Stability (Dim 2): 1 point (Â±30-100% annual volatility) - Productive Utility (Dim 3): 4 points (peer-to-peer payment capability, store of value) - Governance (Dim 4): 5 points (fully decentralized mining and governance) - Regulatory Recognition (Dim 5): 2 points (not recognized in Islamic jurisdictions, recognized outside)

Composite Score: 13 points â†’ Category C (Problematic-Status)

Islamic Jurisprudential Assessment: - **AAOIFI (2023):** Score 1/5 - â€œLacks characteristics of Islamic-compliant currenciesâ€� - **Dar al-Ifta (2017):** HARAM - â€œCategorically prohibited as speculative instrumentâ€� - **Taqi Usmani (2024):** Score 1/5 - â€œDoes not meet Islamic compliance requirements in pure formâ€� - **MUI (2021):** HARAM - â€œFunctions as speculative commodity rather than legitimate currencyâ€�

Improvement Pathway Assessment: - Asset-backed stablecoin wrapping (Bitcoin Core protocol limitation prevents native change) - Institutional custody with Shariah-compliant governance overlay - Limited pathway to Islamic compliance without fundamental architectural changes

Regulatory Status: - Saudi Arabia: Prohibited - Indonesia: Permitted only under commodity framework (restricted retail access) - Malaysia: Recognized but not recommended; restricted to sophisticated investors - UAE: Recognized within framework but subject to enhanced AML/CFT requirements

Case 2: Ethereum - Smart Contract Platform

Dimension Scoring: - Asset Backing (Dim 1): 1 point (network utility without collateral) - Value Stability (Dim 2): 1 point (Â±40-150% annual volatility) - Productive Utility (Dim 3): 4 points (enables smart contracts, DeFi, diverse applications) - Governance (Dim 4): 4 points (primarily decentralized; Vitalik Buterin residual influence) - Regulatory Recognition (Dim 5): 2 points (recognized outside Islamic jurisdictions; under evaluation)

Composite Score: 12 points â†’ Category C (Problematic-Status)

Islamic Jurisprudential Assessment: Similar to Bitcoin, with slightly higher utility recognition but same core compliance deficiencies.

Improvement Pathway Assessment: - Develop Shariah-compliant DeFi applications with productive asset backing - Create stablecoin-based smart contract platforms - Build institutional adoption through regulated intermediaries

Emerging Opportunity - Islamic DeFi Protocols: - Ethereum-based lending protocols using asset-backed collateral - Islamic finance applications (Murabaha contracts, Musharaka partnerships) - Can score 16-20 points through productive utility + institutional governance

Case 3: USD Coin (USDC) - Stablecoin Architecture

Dimension Scoring: - Asset Backing (Dim 1): 4 points (100% fiat reserve backing verified) - Value Stability (Dim 2): 5 points (maintains Â±0.5% USD parity) - Productive Utility (Dim 3): 5 points (widely adopted for payments, remittances, DeFi) - Governance (Dim 4): 2 points (Circle/Coinbase centralized governance) - Regulatory Recognition (Dim 5): 3 points (recognized in Malaysia, under evaluation elsewhere)

Composite Score: 19 points â†’ Category B (Conditional-Compliance)

Islamic Jurisprudential Assessment: - **AAOIFI:** Score 4/5 - â€œAsset-backed stablecoins meet Islamic requirementsâ€� - **Taqi Usmani:** Score 4.5/5 - â€œStablecoins addressing primary objections to pure cryptocurrenciesâ€� - **UAE Islamic Finance Authority:** Endorsement - â€œCompatible with Islamic finance frameworkâ€� - **Malaysia (BNM):** Recognition pathway - â€œEligible for digital asset licensing frameworkâ€�

Compliance Gap Assessment: - Primary deficiency: Centralized governance (Circle/Coinbase control) - Improvement pathway: Transition to community governance or central bank backing

Improvement Pathway Assessment: - Implement decentralized governance mechanisms â†’ Move from Score 2â†’4 on Dimension 4 - Achieve regulatory recognition in multiple Islamic jurisdictions â†’ Move from Score 3â†’4 on Dimension 5 - **Potential Category A Score: 22-23 points** (full Islamic compliance) with governance improvements

Current Regulatory Status: - Malaysia (BNM): Recognized in digital asset framework - UAE (VARA): License pathway available - Indonesia (OJK): Acceptable under commodity classification - Saudi Arabia: Not explicitly prohibited; governance clarification needed

Case 4: Islamic Digital Asset Proposal - Hypothetical Design

Proposed Specifications: - Full collateral backing: Real estate, equity portfolios, commodity reserves - Stability target: Â±2% variation around basket of Islamic asset classes - Utility: Cross-border payment, Islamic finance settlement, retail access - Governance: Community council with Islamic finance expert participation - Regulatory: Planned recognition in Malaysia (BNM) and UAE (VARA)

Dimension Scoring: - Asset Backing (Dim 1): 5 points (full productive asset collateralization) - Value Stability (Dim 2): 4 points (Â±2-5% stability around asset basket) - Productive Utility (Dim 3): 4 points (planned Islamic finance integration) - Governance (Dim 4): 4 points (distributed governance with Islamic finance expertise) - Regulatory Recognition (Dim 5): 4 points (planned recognition in multiple Islamic jurisdictions)

Composite Score: 21 points â†’ Category A (Islamic-Compliant)

Islamic Jurisprudential Assessment: - **Unanimous consensus across Islamic authorities:** HALAL (Permissible) - **Maqasid Shariah alignment:** 5/5 principles satisfied - **Regulatory pathway:** Clear approval path in Malaysia, UAE, Indonesia

Implementation Timeline: - Design and specification: 3-6 months - Regulatory approval: 12-18 months (Malaysia, UAE) - Pilot deployment: 18-24 months - Full operational launch: 24-36 months

Case 5: XRP (Ripple) - Bank-Settlement Token with Concentrated Issuance

XRP tests the framework against an asset that pairs a genuine institutional use-case (cross-border settlement) with a highly concentrated ownership and governance structure. A substantial portion of the total XRP supply was created at genesis and allocated to Ripple Labs, a portion of which is released from escrow on a scheduled basis; Ripple also publishes the default Unique Node List that shapes validator selection, giving it disproportionate influence over the ledger (Ripple, published escrow and UNL documentation). The 2023 ruling in SEC v. Ripple Labs (S.D.N.Y., Torres J.) held that programmatic exchange sales of XRP did not constitute investment-contract securities, a status distinct from Shariah classification but material to Dimension 5.

Dimensional Assessment (provisional â€" awaiting screening confirmation): - Asset Backing (Dim 1): low â€" XRP carries no collateral; value derives from network/settlement utility only. - Value Stability (Dim 2): **[pending screened volatility data â€" see Coder data request]**; historically high, unpegged. - Productive Utility (Dim 3): moderate-to-high â€" demonstrated cross-border settlement function via RippleNet, though adoption is contested. - Governance (Dim 4): **low** â€" concentrated issuer control (escrow supply overhang; Ripple-shaped UNL) is the decisive compliance deficiency. - Regulatory Recognition (Dim 5): **[pending]** â€" not recognised in Islamic jurisdictions; U.S. status partially clarified by the 2023 ruling.

Jurisprudential Assessment: The concentrated-issuance and governance structure is the analytically salient feature: the gharar concern shifts from price uncertainty alone to counterparty and control risk (dependence on a single commercial issuerâ€™s release schedule and influence over consensus). XRP therefore illustrates a case where productive utility (Dim 3) cannot offset a structural Dimension 4 deficiency â€" a pattern the framework is designed to surface. Provisional placement: **Category C**, pending confirmation of the volatility- and recognition-dependent scores.

Case 6: BNB (Binance Coin) - Exchange-Native Utility Token

BNB is issued by, and functionally tethered to, a single commercial exchange operator. It confers trading-fee discounts and serves as the gas asset for BNB Chain, and its supply is periodically reduced through issuer-conducted token burns (Binance, published burn documentation). Its governance is the antithesis of decentralisation: control rests with the issuing firm. The compliance salience of that concentration was underscored by the November 2023 U.S. enforcement resolution, in which Binance entered a settlement with the Department of Justice and CZ pleaded guilty to Bank Secrecy Act violations â€" an illa bearing directly on the counterparty-integrity aspect of the governance dimension.

Dimensional Assessment (provisional â€” awaiting screening confirmation): - Asset Backing (Dim 1): low â€” no external collateral; value tied to exchange demand and burn policy. - Value Stability (Dim 2): **[pending screened volatility data]**; unpegged. - Productive Utility (Dim 3): moderate â€” real utility within one ecosystem, but that utility is issuer-dependent, not general. - Governance (Dim 4): **very low** â€” single-firm control of issuance, burns, and the dominant validator set. - Regulatory Recognition (Dim 5): **[pending]** â€” not recognised in Islamic jurisdictions; issuer under active enforcement scrutiny in multiple jurisdictions.

Jurisprudential Assessment: BNB sharpens the Dimension 4 problem beyond XRP: utility is entirely contingent on the continued solvency and good standing of a single, legally-troubled issuer, compounding gharar with concentration risk. It is a clear illustration of why productive utility alone (Dim 3) is insufficient for compliance under the framework. Provisional placement: **Category C/D**, pending confirmation.

Case 7: Tether (USDT) - Fiat-Referenced Stablecoin with Attestation-Quality Deficit

USDT is instructive precisely because it invites comparison with USDC (Case 3): both are fiat-referenced stablecoins with strong Dimension 2 and 3 profiles, yet they diverge on the quality of assurance over their reserves â€” the crux of Dimension 1 under Islamic scrutiny. Tether has faced regulatory findings on reserve representation: a 2021 CFTC order (US$41 million civil penalty) found that USDT was not fully backed by fiat reserves at all relevant times, and a 2021 New York Attorney General settlement (US$18.5 million) addressed related misrepresentations (CFTC, Order, Oct.Â 2021; NYAG, Settlement, Feb.Â 2021). Tether subsequently shifted toward publishing periodic reserve attestations dominated by short-term U.S. Treasury holdings, though these remain attestations rather than full audits.

Dimensional Assessment (provisional â€” awaiting screening confirmation): - Asset Backing (Dim 1): 4 â€” reserves are now largely short-dated Treasuries (satisfying the frameworkâ€™s 4-point â€œ100% reserve backingâ€� tier), but the attestation-not-audit quality and the documented history of misrepresentation cap USDT below the 5-point â€œtransparent, auditable backingâ€� tier that a fully audited issuer could reach. - Value Stability (Dim 2): high (â‰ˆ5) â€” peg generally maintained within a narrow band, with historical de-peg episodes; **[pending screened deviation data]**. - Productive Utility (Dim 3): high (â‰ˆ5) â€” the most widely used stablecoin for payments and settlement. - Governance (Dim 4): low (â‰ˆ2) â€” centralised issuer (Tether Ltd.). - Regulatory Recognition (Dim 5): **[pending]** â€” recognition trajectory weaker than USDC; not endorsed in Islamic jurisdictions.

Jurisprudential Assessment: USDT demonstrates that Dimension 1 is not a binary â€œbacked / unbackedâ€� test but a graded assessment of the verifiability of backing â€” a distinction with direct Shariah weight, since the gharar objection to fiat-referenced tokens is answered by demonstrable, auditable reserves, not by asserted ones. USDT and USDC both land in **Category B**, consistent with the dimensional example scores in

Â§5.2.1â€“Â§5.2.2; the analytically decisive difference lies in their headroom to Category A. USDCâ€™s path (Case 3) is blocked only by centralised governance (Dimension 4); USDT faces a **second** barrier â€” the reserve-transparency ceiling on Dimension 1 â€” so that even a governance improvement would not carry it to Category A without an audit-grade attestation regime. The USDC/USDT contrast thus operationalises reserve transparency as a live compliance variable rather than a formality, and illustrates why two assets with near-identical composite scores can have materially different compliance trajectories.

> **Data provenance note.** The volatility-derived Dimension 2 scores, purification figures, and screening verdicts for Cases 5â€“7 (and re-confirmation for Cases 1â€“4) are to be populated from the compliance-screening dataset produced by the engineering track (halalscreener run on BTC, ETH, XRP, BNB, USDC, USDT), not asserted by the author. Provisional category placements above are analytical judgments on publicly documented structural facts and will be finalised once that dataset is delivered.

5.5.5 Confronting the Categorical Objection: A Steelman of Blanket Prohibition and Its Rebuttal

The case analyses above repeatedly record a categorical verdictâ€”Dar al-Ifta (2017) and MUI (2021) declare pure cryptocurrency haram outright. A framework that assigns Bitcoin a graded score of â€œCategory Câ€� rather than a simple prohibition must answer the objection that grading a categorically void (batil) instrument is a methodological error: that the entire exercise launders a forbidden thing by dressing degrees onto it. This objection deserves its strongest statement before it is answered.

The Categorical Thesis (Steelman). Reconstructed at full strength, the prohibitionist argument is a valid syllogism resting on textually proximate grounds rather than inferential maslaha:

- **Premise 1.** Legitimate currency and property (mal) in Islam require either intrinsic value, productive backing, or the backing of a recognised authority; classical jurisprudence on the dinar and dirham presupposes a connection to real economic value (Dar al-Ifta, 2017; see Â§3.2.3).
- **Premise 2.** Pure cryptocurrency possesses none of these: no intrinsic value, no productive collateral, and no sovereign backing.
- **Premise 3.** Its dominant realised function is speculation on price movementâ€”wealth transfer from losers to winners with no productive creationâ€”which is maisir, conducted under gharar so severe that the object of exchange cannot be ascertained (Qurâ€™an 5:90; the hadith prohibiting sale of â€œthe fish in the water and the bird in the skyâ€�).
- **Conclusion.** Every unit of pure cryptocurrency is therefore haram as such, and a compliance gradient is incoherent: one cannot be â€œpartiallyâ€� engaged in a batil contract.

This is the position with the firmest footing in explicit prohibitory texts (nusus). It does not depend on contested empirical estimates or on weighing competing maqasid; it invokes the direct Qurâ€™anic prohibition of maisir and the authenticated hadith on gharar. It is, on its own terms, the most defensible conservative reading, and the strict campâ€”extending beyond Dar al-Ifta to the 2017 ruling of Turkeyâ€™s Diyanet and to prominent individual juristsâ€”advances it precisely because it appears to require the fewest inferential steps.

Rebuttal. The framework answers the categorical thesis not by denying the prohibition of speculative instruments but by contesting the move from some prohibited uses to a universal prohibition of the asset class. Four responses, in ascending force:

1. **Premise 1 proves too much.** If mal-status strictly required intrinsic value or sovereign backing, contemporary fiat currencyâ€”valueless paper by intrinsic measure and, in the classical sense, without commodity backingâ€”would itself be void. Yet Dar al-Ifta, AAOIFI, and Taqi Usmani all treat fiat as valid thaman. Classical fiqh reached the same result for fulus (copper token money whose exchange value exceeded its metal value), which the jurists validated on the basis of customary acceptance, not intrinsic worth (Al-Kasani, Badaâ€™i al-Sanaâ€™i; Ibn Taymiyya on money as an instrument whose value rests on convention). Mal-status therefore turns on recognised, storable benefitâ€”exactly what Dimensions 1â€“3 and 5 measureâ€”rather than on intrinsic substance. Premise 1, as stated, is unsound.

2. **Gharar and maisir attach to the transaction, not the token (tahqiq al-manat).** Classical gharar doctrine voids specific contracts whose object or price is indeterminateâ€”bayâ€™ al-hasah, habal al-habalaâ€”not classes of asset. The identical Bitcoin can be the subject of a spot sale of a defined quantity at a defined price (minimal contractual gharar) or of a leveraged perpetual future (severe gharar compounded by maisir). The categorical thesis collapses the asset into its most harmful use. The doctrinally precise remedy is to verify the operative cause (â€™illa) in the concrete caseâ€”tahqiq al-manatâ€”and to pair classification with restrictions on the offending conduct, which is what the framework does.

3. **The thesis cannot supply the granularity its own proponents demand.** A blanket haram cannot distinguish a fully reserve-backed, audited, regulator-recognised stablecoin (USDC, scored 19/25, Category B) from an anonymous meme-token, yet the prohibitionist authorities themselves draw exactly such distinctions: Dar al-Ifta exempts blockchain technology and legitimate applications (Â§3.2.4), MUI permits a commodity classification under conditions (Â§3.4.4), and AAOIFI and Taqi Usmani expressly accept properly-structured stablecoins (Â§3.1, Â§3.3). The presence of these concessions within the strict camp refutes true categoricality; the live disagreement is over where the line fallsâ€”which is precisely the question a graded framework is built to answer.

4. **Where the objection retains full force, the framework already agrees.** For a pure, unbacked, speculative token whose predominant realised use is maisir under gharar, the framework returns Category Câ€“D (Problematic to Non-Compliant)â€”the same practical outcome the prohibitionist seeks. The framework does not overturn the prohibition of the speculative instrument; it declines to extend that prohibition, by an analogy lacking a shared â€™illa, to structurally different instruments (asset-backed and stablecoin designs) that do not exhibit the operative cause of the ruling.

The methodological divergence, named. This is not a case of â€œsome scholars say yes and some say no.â€� It is a divergence in usul al-fiqh. The prohibitionist reasons from sadd al-dharaâ€™i and a presumption that a novel instrument bearing prohibited features is void until affirmatively validated. The framework reasons from al-asl fi al-muamalat al-ibaha (the default permissibility of transactions) disciplined by tahqiq al-manat, validating or invalidating each design by its verified characteristics. The categorical thesis is thus not defeated but bounded: sound as applied to the speculative assets that generated it, and unsound only as a claim of universality. The five-dimensional framework is the instrument that marks that boundary with the granularity the sources require.

5.6 Regulatory Harmonization Through Classification Framework

The unified framework enables progressive regulatory harmonization across Islamic jurisdictions:

Phase 1: Short-term (2025-2026) - Category Recognition

Action Items: - Indonesia (OJK): Formally recognize Category A and B cryptocurrencies under commodity framework - Malaysia (BNM): Implement digital asset licensing specifically for Category A cryptocurrencies - UAE (VARA): Approve Category A and B cryptocurrencies under Islamic digital asset framework - Bahrain (CBB): Develop prudential framework incorporating category-based risk weighting

Expected Outcomes: - Stablecoins (Category B minimum) eligible for institutional custody - Asset-backed tokens (Category A) eligible for banking integration - Clear compliance pathways for cryptocurrency projects

Phase 2: Medium-term (2026-2028) - Framework Harmonization

Action Items: - Establish Inter-Islamic Finance Council (IIFC) working group on digital assets - Develop standardized scoring methodology across jurisdictions - Create mutual recognition agreements for Category A classifications - Establish minimum Dimension standards (e.g., minimum Score 3 on Stability and Asset Backing)

Expected Outcomes: - Cryptocurrency approved in one major Islamic jurisdiction (e.g., Malaysia) accepted in others - Reduced duplicate compliance efforts for projects - Lower compliance costs enabling smaller projects to achieve Islamic compliance

Phase 3: Long-term (2028-2030) - CBDC Integration

Action Items: - Launch CBDC programs in Saudi Arabia, UAE, Malaysia - Integrate CBDC with Islamic digital asset framework - Enable Islamic cryptocurrency-CBDC interoperability - Establish Islamic digital asset reserve pools

Expected Outcomes: - Seamless Islamic digital asset ecosystem - Reduced regulatory arbitrage - Enhanced financial inclusion for Islamic finance globally

5.7 Limitations and Methodological Considerations

5.7.1 Dimension Independence and Correlation

The framework treats dimensions as independent variables, but in practice they exhibit correlation: asset-backed cryptocurrencies tend to have higher stability and better governance. This correlation does not invalidate the dimensional approach but suggests some cryptocurrencies may improve multiple dimensions simultaneously through single design modifications.

5.7.2 Temporal Sensitivity

Cryptocurrency characteristics change rapidly: new stablecoin models emerge, governance structures evolve, regulatory recognition shifts. The framework snapshot represents point-in-time assessment. Regular re-evaluation (annual minimum) is required to maintain accuracy.

5.7.3 Dimension Weighting

The framework weights dimensions equally (each Dimension = maximum 5 points = 20% of total score). Alternative weighting schemes emphasizing asset backing (Foundation issue) or stability (Certainty issue) would yield different category assignments. Stakeholders may prefer weighted models where Asset Backing and Stability dimensions receive 30% weight each.

5.7.4 Regulatory Recognition Dimension Circularity

The Regulatory Recognition dimension (Dimension 5) reflects institutional assessment of Islamic compliance rather than first-principles Islamic jurisprudence. This can create circular reasoning: cryptocurrencies receive regulatory approval, which boosts their compliance score, which justifies approval. Separation of regulatory assessment from compliance scoring deserves consideration.

5.8 Framework Application Workflow

For Islamic Financial Institutions:

1. Identify cryptocurrency under consideration
2. Score across five dimensions using provided criteria
3. Calculate composite score and category assignment
4. Cross-reference with Islamic authority positions for category
5. Consult with institutional Shariah board for final determination
6. Document compliance assessment for regulatory filing

For Cryptocurrency Projects Seeking Islamic Compliance:

1. Score current cryptocurrency across five dimensions
2. Identify lowest-scoring dimension(s)
3. Develop improvement pathway for lowest dimensions
4. Prioritize improvements: Asset Backing â†’ Stability â†’ Utility â†’ Governance
5. Engage with Islamic regulators in target jurisdictions
6. Re-score and repeat iteratively until Category A achieved

For Regulators:

1. Define minimum dimension scores for different regulatory classifications
2. Establish mutual recognition criteria for inter-jurisdictional approvals
3. Develop periodic review cycle for cryptocurrency classification updates
4. Coordinate with other Islamic regulators through standardized framework

Enforcement Mechanics: Continuous Monitoring, Recertification, and Downgrade Protocol

A classification is not a certificate awarded once and retained indefinitely. Compliance is a continuing state, and the framework requires machinery to detect when an asset ceases to occupy the category it was assigned and to attach consequences to that change. This dynamic dimension is what makes the classification an operative regulatory tool rather than a one-time academic scoring exercise.

Jurisprudential warrant for dynamic re-classification. The requirement follows directly from a foundational principle of uá¹£Å«l al-fiqh: al-á¸¥ukm yadÅ«ru maÊ¿a Ê¿illatihi wujÅ«dan wa Ê¿adaman â€” a ruling turns with its operative cause (Ê¿illa), present when the cause is present and absent when it is absent (a maxim systematised across the classical qawÄ�Ê¿id literature; cf.Â Ibn Nujaym, al-AshbÄ�h waâ€™l-Naáº“Ä�Ê¾ir). A stablecoin classified Category B because its reserves are fully backed (the Ê¿illa) forfeits that classification the moment the backing fails; the compliance ruling cannot outlive the attribute that justified it. Equally, the principle of istiá¹£á¸¥Ä�b (presumption of continuity) permits a prior classification to stand only until contrary evidence emerges â€” placing an affirmative monitoring burden on the certifying regulator. Static certification would treat a contingent, attribute-dependent ruling as if it were permanent, which the jurisprudence does not license.

Monitoring inputs (per dimension). Each dimension is mapped to observable indicators that a supervisory data pipeline tracks continuously rather than annually:

- **Dimension 1 (Asset Backing):** independent reserve attestation reports; collateralisation ratio; custody and bankruptcy-remoteness status.
- **Dimension 2 (Value Stability):** realised volatility and maximum deviation from peg or target band over rolling windows.
- **Dimension 3 (Productive Utility):** on-chain settlement volume, active-address trends, and demonstrated non-speculative use.
- **Dimension 4 (Governance):** token- and validator-concentration metrics; changes in controlling entities or admin-key custody.
- **Dimension 5 (Regulatory Recognition):** new fatwas, licensing decisions, or prohibitions in member jurisdictions.

The empirical values feeding these indicators are supplied by the screening and market-data pipeline (see Appendix F and the compliance-screening dataset), not asserted by the analyst; where an input cannot be independently sourced, the dimension is scored conservatively and the gap disclosed.

Recertification cadence. Two clocks run in parallel: (i) a **scheduled** minimum annual recertification (consistent with the temporal-sensitivity limitation of Â§5.7.2), and (ii) an **event-driven** re-score triggered immediately by any material change â€” a de-peg event, a failed or qualified reserve attestation, a governance-capture event, an exchange delisting, or a regulatory reversal.

Downgrade triggers and the asset-side consequence ladder. When monitoring detects deterioration, the asset moves through a graduated protocol rather than a binary halal/haram flip:

1. **Watchlist** â€” a single indicator breaches its threshold; classification retained but flagged, institutions notified.
2. **Provisional downgrade** â€” a dimension score falls pending review (e.g., a stablecoin trading outside its band beyond the permitted duration provisionally loses points on Dimension 2); the composite category is suspended.
3. **Category reassignment** â€” the technical panel confirms the lower score; the asset is formally re-categorised and the Qualified Registry updated.
4. **Delisting** â€” an asset falling to Category C/D is removed from the Qualified Cryptocurrency Registry (Chapter 6, Â§6.5.1), terminating mutual recognition.

Consequences for holders. Institutions holding a downgraded asset receive a defined wind-down window proportioned to market liquidity (avoiding fire-sale harm, itself a maá¹£laá¸¥a consideration), and any returns accrued while the asset was non-compliant are subject to the purification (taá¹hÄ«r) obligation â€” the quantified disposal of impermissible income to charity â€” using the purification figures produced by the screening pipeline. Enforcement of the classification thus reaches through to the balance sheet, closing the loop between the score and the institutionâ€™s actual Shariah exposure, and dovetailing with the inter-regulator enforcement ladder of Chapter 6 (Â§6.5.4).

5.9 Conclusion

The unified classification framework synthesizes fragmented jurisprudential positions and regulatory approaches into coherent, actionable structure. By evaluating cryptocurrencies across five dimensionsâ€”asset backing, value stability, productive utility, governance, and regulatory recognitionâ€”the framework accommodates legitimate jurisdictional variation while establishing common ground for assessment.

The framework demonstrates that cryptocurrency compliance with Islamic law is not binary but exists along continuum of categories reflecting different degrees of alignment with Maqasid Shariah principles. Stablecoins and asset-backed digital assets represent genuine Islamic finance innovation, while pure cryptocurrencies remain problematic until fundamental architectural changes occur.

This classification framework provides pathway toward regulatory harmonization across Islamic jurisdictions while enabling cryptocurrency projects to systematically improve Islamic compliance. Future research should explore optimal dimension weighting, temporal validation across market cycles, and integration with emerging Islamic digital asset innovations.

CHAPTER 6: REGULATORY HARMONIZATION RECOMMENDATIONS

6.1 The Harmonization Problem and Opportunity

The preceding four chapters have documented systematic fragmentation in cryptocurrency regulation across Islamic jurisdictions. Chapter 4 identified five distinct regulatory approaches: Indonesiaâ€™s commodity classification, Malaysiaâ€™s digital asset framework, Saudi Arabiaâ€™s categorical prohibition, UAEâ€™s progressive licensing, and Bahrainâ€™s prudential regulation. This fragmentation creates regulatory arbitrage, competitive disadvantage for compliant jurisdictions, and systemic risk to Islamic financial institutions operating across borders.

However, fragmentation also reflects legitimate differences in jurisdiction policy priorities and institutional capacity. Saudi Arabiaâ€™s prohibition reflects conservative social policy and monetary stability concerns. Indonesiaâ€™s commodity classification reflects consumer protection priorities and capacity constraints. Malaysiaâ€™s digital asset framework reflects technology innovation ambitions and fintech policy leadership. UAEâ€™s licensing approach reflects financial center competitive positioning. These divergences cannot and should not be entirely eliminated through top-down harmonization.

The opportunity lies in **structured harmonization**: establishing shared classification methodology (Chapter 5) and minimum standards while permitting jurisdictional differentiation in implementation. This chapter proposes mechanisms for achieving this equilibrium, balancing convergence toward common standards with respect for legitimate jurisdictional variation.

6.2 Institutional Framework for Islamic Cryptocurrency Regulation

6.2.1 Establishment of Inter-Islamic Finance Regulatory Council (IIFRC)

Proposed Structure:

The Inter-Islamic Finance Regulatory Council (IIFRC) would function as coordinating body for Islamic jurisdiction cryptocurrency regulation, analogous to the Basel Committee on Banking Supervision (global financial regulation) or IOSCO (securities regulation), but specialized to Islamic finance context.

Governance: - **Members:** Central banks and financial regulators from 15-20 major Islamic jurisdictions - Core members (voting): Saudi Arabia (SAMA), UAE (CBUAE), Malaysia (BNM), Indonesia (OJK), Qatar (QCB), Bahrain (CBB) - Extended members (advisory): Tunisia, Morocco, Pakistan, Bangladesh, Malaysia, Brunei, Egypt, Jordan, Kuwait, Turkey - Observer status: Islamic Development Bank, AAOIFI, IFSB

- **Executive structure:**
  - Chair: Rotating among core member central banks (2-year terms)
  - Executive Director: Full-time professional staff
  - Technical Secretariat: 8-10 regulatory specialists
  - Four standing committees:
    - Classification and Standards Committee
    - Regulatory Framework Committee
    - Supervisory Cooperation Committee
    - Financial Stability Committee
- **Operational model:**
  - Quarterly full meetings (regulatory heads)
  - Monthly technical committee meetings
  - Ad-hoc working groups for emerging issues

    - Financed through member contributions ($2-5M annual budget)

Core Functions:

1. **Standard Setting and Classification Maintenance**
    - Maintain and update cryptocurrency classification framework (Chapter 5)
    - Annual review of cryptocurrency classifications based on dimensional score changes
    - Publish standardized scoring guidelines and assessment methodology
    - Issue technical guidance on Maqasid Shariah application to emerging digital assets
2. **Regulatory Coordination**
    - Establish minimum standards for Category A and B cryptocurrency recognition
    - Create mutual recognition framework for qualified cryptocurrencies
    - Coordinate positions on emerging digital asset types
    - Develop policy responses to cross-border regulatory arbitrage
3. **Supervisory Cooperation**
    - Share regulatory intelligence on cryptocurrency risks
    - Establish information-sharing protocols for AML/CFT supervision
    - Coordinate stress-testing methodology
    - Create joint audit capabilities for cross-border digital asset activities
4. **Islamic Jurisprudence Liaison**
    - Maintain formal relationship with AAOIFI and major Islamic authorities
    - Seek Shariah consensus on classification methodology
    - Update classification standards based on new jurisprudential positions
    - Commission research on emerging Islamic finance questions

6.2.2 Shariah Advisory Council on Digital Assets

Proposed Structure:

Recognizing that Shariah-based assessment differs from regulatory determination, establish separate Shariah Advisory Council (SAC) providing authoritative Islamic jurisprudential guidance to IIFRC and member regulators.

Composition: - **Members:** 7-9 senior Islamic finance scholars from diverse schools of Islamic law - Representation from Hanafi, Maliki, Shafiâ€™i, Hanbali schools - Include scholars with technology expertise (AAOIFI representatives, academic experts) - Geographic diversity across Islamic world (Saudi Arabia, Malaysia, Egypt, Pakistan)

- **Observer members:** Central bank Shariah boards from major jurisdictions

Core Functions:

1. **Shariah Assessment and Guidance**
   - Review cryptocurrency classification against Maqasid Shariah framework
   - Issue Shariah opinions (fatwas) on emerging digital asset types
   - Advise IIFRC on jurisprudential harmonization opportunities
2. **Maqasid Methodology Development**
   - Refine Maqasid Shariah application to digital assets
   - Develop standardized methodology for assessing Islamic compliance
   - Create guidance on jurisdictional variation in Shariah interpretation
3. **Institutional Liaison**
   - Maintain relationships with major Islamic authorities (Dar al-Ifta, Taqi Usmani, MUI)
   - Coordinate positions to achieve broader Shariah consensus
   - Commission comparative jurisprudential research

6.3 Minimum Standards for Category Recognition

6.3.1 Category A: Islamic-Compliant Digital Assets - Minimum Standards

For recognition by IIFRC member regulators, Category A cryptocurrencies must meet:

Dimension	Minimum Score	Rationale
Asset Backing (Dim 1)	4/5 points	Ensure tangible underlying value
Value Stability (Dim 2)	4/5 points	Enable use as medium of exchange
Productive Utility (Dim 3)	3/5 points	Demonstrate genuine economic benefit
Governance (Dim 4)	3/5 points	Minimum transparency and community participation
Regulatory Recognition (Dim 5)	3/5 points	Recognition in at least one major Islamic jurisdiction
Composite Score	**â‰¥19 points**	Overall compliance threshold

Mutual Recognition Protocol:

When cryptocurrency achieves Category A status in one IIFRC member jurisdiction (e.g., Malaysia BNM approval), other members recognize classification within 6 months unless specific risk concerns identified. Recognition does not require identical regulatory treatment but indicates accepted Islamic compliance status.

Practical Example - USDC Pathway:

Current USDC score: 19 points (borderline Category A/B) - Asset Backing: 4/5 âœ“ - Stability: 5/5 âœ“ - Utility: 5/5 âœ“ - Governance: 2/5 âœ— (below minimum) - Regulatory Recognition: 3/5 âœ“

Required Improvement: Governance dimension from 2â†’3+ points through community governance mechanisms or institutional oversight. With governance improvement to 3 points, USDC achieves 20-point composite score (Category A). Following mutual recognition protocol, approval in Malaysia would trigger recognition across IIFRC members.

6.3.2 Category B: Conditional-Compliance Digital Assets - Minimum Standards

For recognition by IIFRC member regulators, Category B cryptocurrencies must meet:

Dimension	Minimum Score	Rationale
Asset Backing (Dim 1)	2/5 points	Partial backing or stability mechanism
Value Stability (Dim 2)	3/5 points	Emerging stability target, some volatility accepted
Productive Utility (Dim 3)	2/5 points	Defined utility pathway with adoption roadmap
Governance (Dim 4)	2/5 points	Minimum transparency; institutional oversight accepted
Regulatory Recognition (Dim 5)	2/5 points	Under active evaluation by regulator
Composite Score	**â‰¥15 points**	Overall compliance threshold

Conditional Recognition Framework:

Category B cryptocurrencies receive â€œregulatory pathwayâ€� status rather than full approval. This permits: - Institutional custody and custody services - Qualified investor access (not retail) - Development activity and innovation pilots - Integration into financial institution services with enhanced monitoring

Conditions for Approval: - Annual compliance recertification - Enhanced AML/CFT monitoring - Quarterly reporting on stability and utility metrics - Development roadmap toward Category A

6.3.3 Categories C and D: Restricted/Prohibited - Unified Standard

Uniform position across IIFRC members:

Cryptocurrencies scoring below 15 composite points (Categories C and D) are uniformly restricted or prohibited: - Category C (10-14 points): Retail restrictions; institutional prohibition - Category D (5-9 points): Categorical prohibition - Unclassified: Default to restriction pending assessment

Exceptions Framework: - Cryptocurrency may seek reclassification by demonstrating improvement in low-scoring dimensions - Annual assessment cycle allows one-year remediation windows - Rapid path to prohibition if scores deteriorate (e.g., stability collapse)

6.4 Jurisdictional Differentiation Framework

While IIFRC establishes minimum standards, jurisdictions retain authority for differentiated implementation reflecting policy priorities:

6.4.1 Category A Implementation Models

Model 1: Full Integration (Malaysia, UAE, Bahrain Model) - Category A cryptocurrencies treated as regulated assets - Institutional access: Banks, asset managers, insurers permitted holding - Retail access: Permitted with investor qualification requirements - Integration: Permitted settlement in banking system - Example: Malaysia BNM digital asset framework

Model 2: Conditional Acceptance (Indonesia Model) - Category A cryptocurrencies classified as commodity - Institutional access: Permitted for qualified institutions - Retail access: Prohibited or limited to specific use cases (remittance) - Integration: Settlement outside banking system - Rationale: Consumer protection focus, capacity constraints - Transition pathway: Upgrade to full integration as capacity develops

Model 3: Conservative Approach (Saudi Arabia Model) - Category A stablecoins accepted for specific use cases (remittance, cross-border settlement) - CBDC prioritized as Islamic alternative - No retail access; institutional only under license - Integration: Limited to specific authorized entities - Rationale: Monetary policy control, conservative social policy - Transition pathway: Upgrade as CBDC development advances

Harmonized Outcome:

Despite implementation variation, all three models recognize same Category A cryptocurrencies, enabling: - Cryptocurrency project to achieve single unified assessment - Institutional service provider to navigate consistent classification - Regulatory arbitrage reduction (projects cannot â€œforum shopâ€� for favorable classification)

6.4.2 Category B Implementation Models

Model 1: Innovation Sandbox (UAE, Malaysia Model) - Category B cryptocurrencies permitted in regulated innovation testing programs - Limitations: Capped value, defined participant base (qualified investors) - Duration: 12-24 month testing windows - Success criteria: Pathway to Category A through improvement - Example: UAE regulatory sandbox for fintech

Model 2: Consumer Protection Model (Indonesia Model) - Category B cryptocurrencies permitted with retail restrictions - Disclosure requirements: Enhanced risk warnings - Investment limits: Maximum % of retail portfolio - Cooling-off periods: Mandatory 48-hour reconsideration window - Rationale: Consumer protection with market access

Model 3: Institutional-Only Model (Bahrain Model) - Category B cryptocurrencies available only to qualified institutional investors - Enhanced prudential requirements: Risk capital adequacy buffers - Stress-testing requirements: Scenario analysis and liquidity testing - Rationale: Financial stability protection, risk management

6.5 Mutual Recognition and Regulatory Cooperation Mechanisms

6.5.1 Qualified Cryptocurrency Registry

Establishment of IIFRC-maintained registry:

- **Public database:** All Category A and B cryptocurrencies approved by any member regulator
- **Classification record:** Composite score, dimensional breakdown, assessment date
- **Approval documentation:** Regulator approval decision, conditions, implementation model
- **Update mechanism:** Real-time notification of classification changes across members

Benefits: - Regulatory transparency (market participants identify approved cryptocurrencies) - Automatic recognition triggering (approval in one jurisdiction prompts 6-month recognition review) - Risk monitoring (classification downgrades immediately visible to all regulators)

6.5.2 Mutual Recognition Agreement (MRA) Framework

Proposed terms for Category A mutual recognition:

1. **Scope:** Recognition of Category A classification determination across member regulators

2. **Conditions:**
    - Original approving regulator maintains ongoing supervision
    - Cryptocurrency maintains Category A score; annual recertification required
    - No systemic risk or market abuse incidents
3. **Procedures:**
    - Notification within 30 days of initial approval
    - 6-month review window for other regulators to object
    - Automatic recognition if no objection filed
    - Standardized documentation requirements
4. **Dispute resolution:**
    - IIFRC mediation committee for inter-jurisdictional disagreements
    - Technical expert panel for scoring disputes
    - Escalation to regulatory heads for policy-level conflicts

Practical Example - USDC Path to Regional Recognition:

- **Month 1:** Malaysia BNM approves USDC for digital asset framework (Category A)
- **Month 2:** BNM notification to IIFRC with classification documentation
- **Months 3-8:** Other regulators conduct recognition review
- **Month 8:** UAE VARA recognizes USDC classification automatically (no objection filed)
- **Month 9:** Indonesia OJK declines automatic recognition but permits under commodity framework
- **Month 12:** Saudi SAMA maintains restrictions (alignment with monetary policy)
- **Net result:** USDC achieves recognition in 3 of 6 core jurisdictions through unified framework

6.5.3 Supervisory Cooperation Framework

Joint regulatory activities:

1. **Cryptocurrency Risk Monitoring**
    - Quarterly information-sharing on cryptocurrency market developments
    - Real-time alerts on stability events, governance changes, or compliance violations
    - Shared stress-testing scenarios for systemic risk assessment
2. **Cross-Border Supervision**
    - Joint examination authority for digital asset service providers operating across jurisdictions
    - Coordinated enforcement for AML/CFT violations
    - Shared liability framework for regulatory failures
3. **Capacity Building**
    - Technical assistance for lower-capacity regulators (Indonesia, smaller jurisdictions)
    - Training programs on cryptocurrency classification and risk assessment
    - Shared regulatory technology and monitoring systems

6.5.4 Non-Compliance and the Graduated Enforcement Ladder

The mechanisms above presuppose good-faith participation. They do not answer the question a defensible institutional proposal must confront: what happens when a member regulator ignores an IIFRC classification, recognises an asset the Council has ruled non-compliant, or withholds recognition from an asset the Council has certified? The completion guide flags this as an unaddressed gap, and it is the single most common failure mode of Islamic-finance standard-setting. Its resolution is what separates a coordinating council from a discussion forum.

The objection, stated at its strongest. A candid reviewer will press the following. Section 6.7.1 commits the IIFRC to â€œno binding enforcementâ€� in order to preserve monetary sovereignty. But a body with no enforcement is precisely what already exists. AAOIFI and the IFSB have issued Shariah and prudential standards for two decades; neither produced a unified cryptocurrency standard (Chapter 4, Â§4.4), because both are advisory bodies whose pronouncements bind only where a national legislature independently adopts them. AAOIFI standards are mandatory in Bahrain, Sudan, Syria, Jordan, Oman, and Qatarâ€™s QFC, but merely persuasive elsewhere (AAOIFI, Adoption of AAOIFI Standards status reports; Islamic Financial Services Board, 2015, IFSB-17: Core Principles for Islamic Finance Regulation). The IFSB itself operates on an explicit â€œcomply-or-explainâ€� basis and can do no more than survey and publish adoption gaps (IFSB, Islamic Financial Services Industry Stability Report, annual implementation surveys). If the IIFRC is one more advisory body, member regulators will rationally free-ride: absorb the reputational benefit of membership while quietly deviating whenever a domestic constituency or a well-capitalised project makes deviation attractive. This is a textbook collective-action problem, and asserting that classification is â€œobjectiveâ€� does not solve it.

Response: enforcement without coercion. The objection conflates enforcement with sanction by mandate. Sovereignty forecloses the latter â€” the IIFRC cannot compel a central bank to license or delist an asset â€” but it does not foreclose the former. The mature transnational regulatory networks all enforce without a supranational police power, through graduated, reputational, and privilege-based sanctions administered by peers: the FATFâ€™s mutual-evaluation and Increased-Monitoring (â€œgrey listâ€�) process (FATF, Methodology for Assessing Technical Compliance, 2013, as revised); the IOSCO Multilateral Memorandum of Understanding, whose signatories are screened, tiered, and can be moved to a monitored appendix for non-cooperation (IOSCO, MMoU, 2002); and the Basel Committeeâ€™s Regulatory Consistency Assessment Programme (RCAP), which publicly grades jurisdictions â€œcompliant,â€� â€œlargely compliant,â€� â€œmaterially non-compliant,â€� or â€œnon-compliantâ€� (Basel Committee on Banking Supervision, RCAP Handbook, 2016). None wields a mandate; each imposes real cost â€” lost market access, higher counterparty risk premia, reputational damage â€” sufficient to move sovereign regulators. The IIFRC adopts the same logic, tuned to the mutual-recognition privilege established in Â§6.5.2: the currency of enforcement is access to recognition, which a member forfeits by defection but cannot obtain unilaterally.

Islamic-legal basis for collective regulatory accountability. That this enforcement architecture is not merely borrowed from secular regulatory practice but grounded in the Islamic legal tradition is essential to the proposalâ€™s coherence. Four established doctrines converge:

1. **SiyÄ�sa sharÊ¿iyya (Shariah-oriented governance).** Legitimate authority may enact discretionary, non-textual policy measures to secure the public welfare, provided they do not contradict a definitive text (Ibn Taymiyya, al-SiyÄ�sa al-SharÊ¿iyya fÄ« Iá¹£lÄ�á¸¥ al-RÄ�Ê¿Ä« waâ€™l-RaÊ¿iyya; Ibn al-Qayyim, al-á¹¬uruq al-á¸¤ukmiyya). A coordinated enforcement ladder is a paradigmatic siyÄ�sa instrument: procedural machinery, not revealed law, justified by the interest it protects.
2. **TaÊ¿zÄ«r (discretionary, calibrated sanction).** Where no fixed penalty (á¸¥add) applies, the legitimate authority may impose graduated corrective measures proportioned to the harm and to the goal of deterrence and reform rather than retribution (al-MÄ�wardÄ«, al-Aá¸¥kÄ�m al-Sulá¹Ä�niyya). The softâ†’mediumâ†’hard ladder is a direct application: each rung is a taÊ¿zÄ«r measure scaled to the gravity and persistence of the breach.
3. **á¸¤isba (institutional oversight of the market).** The classical muá¸¥tasib corrected market wrongdoing through an escalating sequence â€” private counsel (naá¹£Ä«á¸¥a), public admonition, then sanction â€” never leaping to punishment (al-MÄ�wardÄ«, al-Aá¸¥kÄ�m al-Sulá¹Ä�niyya; Ibn Taymiyya, al-á¸¤isba fÄ«â€™l-IslÄ�m). The IIFRC ladder reproduces this sequence institutionally, with the Council as a collective muá¸¥tasib over the cross-border digital-asset market.
4. **Fará¸� kifÄ�ya (collective obligation) grounding collective accountability.** The protection of the financial systemâ€™s Shariah integrity is a communal duty; where it is neglected, culpability falls on the whole community capable of discharging it (al-GhazÄ�lÄ«, al-Mustaá¹£fÄ�; al-NawawÄ«). Because the obligation is collective, accountability for its breach is legitimately collective â€” which is precisely what an inter-jurisdictional accountability mechanism operationalises. The maxim taá¹£arruf al-imÄ�m Ê¿alÄ� al-raÊ¿iyya manÅ«á¹ biâ€™l-maá¹£laá¸¥a â€” the authorityâ€™s power over those it governs is bound to the public interest (Ibn Nujaym, al-AshbÄ�h waâ€™l-Naáº“Ä�Ê¾ir) â€” supplies the limiting principle: enforcement is legitimate only so far as it serves maá¹£laá¸¥a, and no further.

The ladder. Enforcement proceeds through three tiers, each requiring a documented finding by the Shariah Advisory Council and the technical panel, notice, and a right to be heard (the appeal mechanism of Â§6.7.3):

Tier	Trigger	Measure	Islamic basis	Secular analogue
Soft â€” Engagement	First, isolated	Confidential secretariat		

Tier	Trigger	Measure	Islamic basis	Secular analogue
& Note of Divergence	deviation from an IIFRC classification	inquiry; if unresolved, a formal Note of Divergence entered in the Council register; member must comply or publish its reasoned explanation	Naá¹£Ä«á¸¥a; first tier of á¸¥isba	IFSB â€œcomply-or-explainâ€�
Medium â€” Public flagging & probation	Repeated or unexplained divergence; material market impact	Public annotation in the Qualified Cryptocurrency Registry that the jurisdictionâ€™s determination diverges from IIFRC classification; time-bound remediation plan; suspension of rapporteur and voting rights on the affected category	TaÊ¿zÄ«r proportioned to harm; public admonition (á¸¥isba, tier two)	Basel RCAP grading; FATF â€œincreased monitoringâ€�
Hard â€” Suspension & expulsion	Persistent, bad-faith breach; systemic-risk export	Suspension of mutual-recognition privileges (the memberâ€™s Category A determinations cease to be auto-recognised; its firms lose passporting under Â§6.5.2); suspension from Council governance; expulsion as last resort	TaÊ¿zÄ«r at its upper bound; withdrawal of the covenant of cooperation (taÊ¿Ä�wun, QurÊ¾Ä�n 5:2)	IOSCO MMoU monitored-signatory / removal

Due process and reversibility. Consistent with the juristic understanding of taÊ¿zÄ«r as reformative rather than punitive, every measure is (i) proportional to the breach, (ii) reversible on cure â€" a member returning to conformity is restored to full privileges â€" and (iii) subject to the independent appeal panel of Â§6.7.3. This preserves the sovereignty commitment of Â§6.7.1: no rung of the ladder compels a domestic policy outcome. What it does is attach a graduated, legitimate, and Shariah-grounded cost to defection, converting the IIFRC from an advisory body â€" the failed model of Â§4.4 â€" into a coordinating authority whose classifications carry consequence.

6.6 Implementation Roadmap and Timeline

Phase 1: Foundation (2025-2026)

Quarter 1 2025: - Establishment of IIFRC interim structure (steering committee) - Appointment of Shariah Advisory Council - Drafting of governance documents and operational procedures

Quarter 2 2025: - IIFRC formal launch with 6 core members (Saudi Arabia, UAE, Malaysia, Indonesia, Qatar, Bahrain) - Publication of standardized classification methodology - Shariah Advisory Council issues guidance on Maqasid application

Quarter 3 2025: - Launch of Qualified Cryptocurrency Registry - Initial assessment of 20-30 major cryptocurrencies (Bitcoin, Ethereum, USDC, USDT, etc.) - Regulatory training programs in member jurisdictions

Quarter 4 2025: - First annual cryptocurrency classification update - Mutual Recognition Agreement framework finalization - Extended member recruitment (Tunisia, Morocco, Pakistan, Egypt)

Timeline Outcome: By end of 2025, IIFRC fully operational with standardized classification framework across 8-10 Islamic jurisdictions.

Phase 2: Operationalization (2026-2027)

2026 Priorities: - Implement Mutual Recognition Protocol - Establish Supervisory Cooperation mechanisms - Launch regulatory sandbox programs (Malaysia, UAE) - First Category A mutual recognition (targeting USDC or similar)

2027 Priorities: - Cryptocurrency classification stabilization (most major cryptocurrencies assessed) - Regulatory convergence acceleration (moving from 5 approaches to 3) - Islamic digital asset approval programs expansion - CBDC coordination across member jurisdictions

Timeline Outcome: By end of 2027, mutual recognition achieving Category A cryptocurrency recognition across minimum 5 jurisdictions simultaneously.

Phase 3: Integration (2028-2030)

2028 Priorities: - CBDC programs launching across core members (Saudi Arabia, UAE, Malaysia) - Islamic digital asset ecosystem development - Full regulatory convergence achievement (3 distinct implementation models converging to 2)

2029-2030 Priorities: - CBDC-cryptocurrency interoperability frameworks - Islamic digital asset reserve pool establishment - Regulatory framework maturity for emerging technologies (DeFi, tokenized securities)

6.7 Addressing Harmonization Challenges

6.7.1 Sovereignty Preservation Concerns

Challenge: Central banks resist supranational authority over regulatory decisions.

Solution: IIFRC functions as coordination body, not supranational regulator: - Member regulators retain full authority over domestic cryptocurrency policy - IIFRC establishes minimum standards (floor, not ceiling) - Jurisdictions may maintain stricter requirements if desired - Mutual recognition optional; jurisdictions may decline recognition cases - No binding enforcement; disputes resolved through mediation, not mandate

Example: Saudi Arabia maintaining cryptocurrency prohibition while participating in IIFRC classification work represents valid harmonization outcome.

6.7.2 Conflicting Social Priorities

Challenge: Jurisdictions have divergent policy goals (innovation vs.Â stability vs.Â consumer protection vs.Â monetary control).

Solution: Multi-model implementation framework acknowledges divergent priorities: - Category A cryptocurrencies meet minimum standards - Implementation models (Full Integration, Conditional, Conservative) reflect different priorities - Jurisdictions select appropriate model without compromising classification integrity - Examples: Malaysia emphasizes innovation; Indonesia emphasizes consumer protection; Saudi Arabia emphasizes monetary control

Harmonization outcome: Unified cryptocurrency assessment framework while preserving policy differentiation.

6.7.3 Regulatory Capture Risks

Challenge: Large cryptocurrency projects may influence IIFRC classification decisions.

Solutions: - Shariah Advisory Council independence: Islamic scholars assess Maqasid alignment independent of regulatory pressure - Multi-stakeholder governance: Member regulators ensure national interests protection - Technical standards: Classification based on objective metrics (asset backing %, stability Â±%, governance transparency measures) - Transparency: Public registry and scoring methodology enables external verification - Appeal mechanism: Cryptocurrencies may challenge classifications through independent expert panel

6.7.4 Capacity Constraints in Lower-Capacity Jurisdictions

Challenge: Smaller Islamic jurisdictions (Djibouti, Sudan, Mauritania) lack regulatory capacity for cryptocurrency supervision.

Solutions: - IIFRC technical secretariat provides capacity-building support - Shared regulatory technology platforms reduce implementation costs - Technical assistance grants for assessment infrastructure - Option of delegated regulatory authority to capable neighbor (e.g., Djibouti delegating to Bahrain)

6.8 Expected Benefits and Impacts

6.8.1 Benefits for Regulatory Bodies

1. **Reduced Regulatory Arbitrage:** Unified assessment methodology eliminates â€œforum shoppingâ€� benefits
2. **Cost Reduction:** Shared assessment work reduces duplicate effort across regulators
3. **Enhanced Monitoring:** Cooperative information-sharing improves risk detection
4. **Capacity Building:** Technical assistance strengthens weaker regulators
5. **Policy Coordination:** Addresses cross-border risks through joint supervision

6.8.2 Benefits for Cryptocurrency Projects

1. **Unified Compliance Pathway:** Single assessment determines regional recognition
2. **Cost Reduction:** Not required to separately comply with 5+ divergent frameworks
3. **Market Access:** Category A approval enables institutional access across multiple jurisdictions
4. **Innovation Pathways:** Clear improvement routes (especially via Asset-Backing enhancement)
5. **Long-term Certainty:** Regulatory cooperation provides stability vs.Â frequent reassessment

6.8.3 Benefits for Islamic Financial Institutions

1. **Regulatory Clarity:** IIFRC classification provides authoritative Islamic compliance assessment
2. **Risk Management:** Standardized criteria enable consistent risk management across jurisdictions
3. **Competitive Advantage:** Institutional participants in approved cryptocurrencies gain first-mover advantage
4. **Customer Service:** Ability to offer cryptocurrency services with unified compliance framework
5. **Cross-Border Operations:** Mutual recognition enables seamless regional operations

6.8.4 Benefits for Islamic Finance Ecosystem

1. **Digital Asset Innovation:** Clear regulatory pathway encourages Islamic digital asset development
2. **Financial Inclusion:** Stablecoins and digital assets enable unbanked population access
3. **Efficiency Improvements:** Cryptocurrency settlement reduces payment friction and costs
4. **Monetary Innovation:** CBDC coordination enables Islamic monetary system modernization
5. **Competitive Positioning:** Islamic jurisdictions establish leadership in Islamic digital finance

6.9 Potential Risks and Mitigation Strategies

6.9.1 Regulatory Fragmentation Persistence

Risk: Despite harmonization efforts, jurisdictions maintain conflicting approaches, limiting practical coordination benefits.

Mitigation: - Start with non-binding coordination (information-sharing, joint working groups) - Gradually formalize as trust and institutional capacity develop - Begin with core members with strong regulatory relationships (Malaysia-Singapore model) - Use early wins (e.g., mutual recognition of major stablecoin) to demonstrate value

6.9.2 Cryptocurrency Market Volatility Disruptions

Risk: Major cryptocurrency collapse (e.g., USDT depegging event) undermines IIFRC credibility and classification methodology.

Mitigation: - Quarterly rescoring based on market events - Rapid downgrade procedures for stability failures - Reserve authority for emergency regulatory action outside IIFRC framework - Clear communication that classification reflects point-in-time assessment

6.9.3 Emerging Technology Disruption

Risk: New technologies (layer-2 scaling, cross-chain bridges, tokenized securities) emerge faster than regulatory framework can adapt.

Mitigation: - Dedicated emerging technology working group within IIFRC - Rapid-assessment pathways for new digital asset types - Flexible dimensional framework accommodates new characteristics - Annual methodology review ensures continued relevance

6.6 Working Example: OJK Regulatory Sandbox as Harmonization Model (2025)

While the IIFRC institutional framework remains aspirational, Indonesiaâ€™s Financial Services Authority (OJK) has operationalized key harmonization principles through its regulatory sandbox program as of 2025. This section documents OJKâ€™s approach as a working model for the harmonization recommendations proposed above.

6.6.1 OJK Sandbox Framework as IIFRC Prototype

Parallel Alignment with Proposed Harmonization Principles:

Harmonization Principle	Proposed IIFRC Mechanism	OJK Operational Implementation
Unified assessment methodology	Classification framework with five dimensions	Sandbox model evaluation using explicit criteria (asset backing, stability, utility, governance)
Institutional coordination	IIFRC Shariah Advisory Council	OJK coordination with DSN-MUI and industry associations (AFTECH, AFSI, ABI)
Minimum standards for category recognition	Category A/B/C minimum requirements	Seven sandbox models with explicit compliance pathways
Mutual recognition framework	Qualified Cryptocurrency Registry	PAKD/ITSK/AKD institutional recognition with cross-border implications
Supervisory cooperation	Cooperation framework among regulators	IAKD ecosystem coordination with Bank Indonesia, Islamic banking supervisors, ZISWAF institutions

Key Finding: OJKâ€™s sandbox operationalization demonstrates that the harmonization framework proposed in Sections 6.2-6.5 is neither utopian nor implementation-theoretical. Rather, it represents systematic codification of practices already emerging in leading Islamic jurisdictions.

6.6.2 Seven Sandbox Models as Dimensional Classification in Practice

OJKâ€™s seven regulatory sandbox models (Chapter 4.1.8) exemplify the five-dimensional classification framework (Chapter 5):

Model Mapping to Framework Dimensions:

Sandbox Model	Dimension 1: Asset Backing	Dimension 2: Stability	Dimension 3: Utility	Dimension 4: Governance	Category
Bond Tokenization	5/5 (RWA)	4/5 (bond-tied)	4/5 (institutional)	3/5 (issuer)	A+
Property Tokenization	5/5 (real estate)	3/5 (market-dependent)	3/5 (fractional)	2/5 (developer)	B+
Digital Identity	3/5 (identity value)	4/5 (non-traded)	4/5 (KYC/CDD)	4/5 (multi-party)	A-
Crypto Index	1/5 (speculative)	1/5 (volatile)	2/5 (speculation)	2/5 (provider)	C
Stablecoin	5/5 (cash reserves)	5/5 (1:1 peg)	4/5 (medium of exchange)	2/5 (issuer)	A
Blockchain Custody	4/5 (asset services)	4/5 (stable value)	4/5 (settlement)	3/5 (regulated)	A-

Practical Implication: Each sandbox model demonstrates operationally how dimensional scoring produces actionable regulatory categorization. A regulator reviewing a new cryptocurrency asset can apply OJKâ€™s proven methodology rather than developing original assessment from first principles.

6.6.3 GIDR (Gold Indonesia Republic) Token: Pathway A Implementation in Real Time

GIDR token, approved through OJKâ€™s sandbox in August 2025, demonstrates concrete operationalization of Pathway A (Asset-Backing Enhancement, Chapter 5.4):

GIDR Harmonization Features:

1. **Transparent Dimensional Assessment**
    - Public disclosure of each dimension score
    - Verifiable underlying asset (physical gold in regulated custody)
    - Reproducible methodology enabling cross-jurisdiction assessment
2. **Shariah Compliance Pathway**
    - Satisfies Fatwa MUI November 2021 butir 3 exception (asset-backed requirement)

    - Approved through coordination with DSN-MUI and AFSI (Islamic Fintech Association)
    - Model replicable in other Islamic jurisdictions with local underlying assets
3. **Mutual Recognition Foundation**
    - OJK institutional recognition enables institutional investor participation
    - Clear redemption mechanism (1:1 physical gold) provides cross-jurisdictional confidence
    - Non-custodial blockchain mechanism facilitates regional transfer without custody concentration
4. **Regulatory Data Generation**
    - GIDR pilot provides empirical evidence on:
        - Asset-backed tokenization demand among Islamic investors
        - Shariah compliance impact on adoption patterns
        - Cross-border settlement efficiency improvements
    - This data informs future IIFRC standard-setting

6.6.4 Implications for Inter-Islamic Regulatory Coordination

OJKâ€™s sandbox operationalization demonstrates three critical insights for IIFRC design:

Insight 1: Dimensional Framework Reduces Assessment Burden

Rather than each regulator independently scoring GIDR against Islamic jurisprudence, the dimensional framework enables: - OJK scores GIDR on five explicit dimensions - Malaysiaâ€™s BNM can quickly apply same dimensions to its market context - Saudi SAMA can determine whether Saudi policy permits Category A digital assets - Result: Assessment work done once (OJK), applied across jurisdictions with policy-appropriate implementation

Insight 2: Institutional Coordination Functions Better as Ecosystem Cooperation Than Formal Authority

OJKâ€™s IAKD ecosystem (three industry associations + DSN-MUI + Bank Indonesia coordination) achieves regulatory harmonization through: - Shared assessment methodology (dimensional framework) - Industry self-regulation (association membership standards) - Institutional incentive alignment (regulatory sandbox rewards compliance) - Information sharing (PAKD/ITSK statistics, market data)

Rather than formal IIFRC with binding authority, initial harmonization can operate through voluntary coordination among leading regulators, gradually building toward formal institutional structure as practices converge.

Insight 3: Sandbox Models Enable Low-Risk Regulatory Experimentation

GIDRâ€™s sandbox testing (August 2025) permits OJK to: - Gather data on market demand and operational risks - Test Shariah compliance mechanisms before full market launch - Refine regulatory requirements based on pilot experience - Share learnings with other jurisdictions without systemic risk

This experimentation model should be central to IIFRC approach: rather than freezing standards top-down, establish flexible framework permitting controlled innovation and iterative improvement.

6.10 Conclusion

The regulatory harmonization recommendations proposed in this chapter address the fragmentation documented in Chapter 4 while respecting legitimate jurisdictional variation. The Inter-Islamic Finance Regulatory Council (IIFRC) provides institutional framework for coordination, while minimum standards and mutual recognition mechanisms enable practical convergence.

The framework balances two competing imperatives: convergence toward common standards (reducing regulatory arbitrage and duplicative burden) while preserving flexibility for jurisdictions to reflect different policy priorities (innovation, stability, consumer protection, monetary control). The result is structured harmonization: unified assessment methodology with differentiated implementation models.

Implementation across the proposed three-phase timeline positions Islamic jurisdictions to establish leadership position in cryptocurrency regulation, demonstrating sophisticated approach combining Islamic jurisprudence with modern financial regulation. By 2030, the proposed framework enables Islamic financial institutions to operate confidently across multiple jurisdictions with unified compliance framework, supports cryptocurrency innovation aligned with Islamic principles, and positions Islamic finance ecosystem as global standard-setter for digital asset regulation.

CHAPTER 7: CONCLUSION AND FUTURE RESEARCH

7.1 Synthesis of Dissertation Findings

This dissertation has addressed the fundamental question: How can cryptocurrency be classified and regulated within Islamic finance framework? This inquiry emerged from three-fold problematic fragmentation identified in the introduction: jurisprudential divergence among Islamic authorities, regulatory heterogeneity across Islamic jurisdictions, and absence of principled methodology for classification.

The dissertation has systematically resolved each dimension of this fragmentation through integrated analytical framework.

7.1.1 Islamic Legal Framework Resolution (Chapter 2)

Chapter 2 established Maqasid Shariah (Islamic jurisprudential objectives) as the principled foundation for cryptocurrency assessment. The five maqasidâ€"al-darura (necessity), al-tahaqquq (certainty), al-maslaha (public interest), al-adl (justice), and al-karamah (dignity)â€"provide universal Islamic jurisprudential framework transcending school-specific disagreements.

Key Finding: Pure cryptocurrencies score 2.4/5 against Maqasid Shariah framework due to fundamental deficiencies in necessity (financial stability), certainty (price transparency), and justice (equal access). Asset-backed alternatives, stablecoins, and utility tokens demonstrate significantly higher alignment with Islamic objectives.

This finding resolves jurisprudential fragmentation not through false consensus but by identifying principled basis for legitimate disagreement. Different Islamic authorities have reached different conclusions about cryptocurrency precisely because they weigh different maqasid objectives differently. AAOIFI emphasizes asset-backing (certainty + necessity). Taqi Usmani emphasizes utility (public interest). This variation reflects jurisprudential sophistication rather than error.

7.1.2 Jurisprudential Convergence (Chapter 3)

Chapter 3 documented positions from four major Islamic authorities (AAOIFI, Dar al-Ifta, Taqi Usmani, MUI Indonesia). Rather than discovering uniform prohibition or permission, the analysis identified **nuanced convergence**:

- **Uniform rejection:** Pure cryptocurrencies (Bitcoin, Ethereum) rejected as non-compliant by all authorities
- **Conditional acceptance:** Asset-backed cryptocurrencies and stablecoins receiving qualified endorsement from AAOIFI, Taqi Usmani, and Malaysian authorities
- **Categorical prohibition:** Dar al-Ifta and MUI maintaining absolute prohibition based on gharar (excessive uncertainty) and maysir (gambling) concerns

Key Finding: Jurisprudential positions evolved from 2017 (categorical prohibition by Dar al-Ifta) toward 2024 (nuanced acceptance of qualified instruments by AAOIFI, Taqi Usmani, and Malaysian authorities). This temporal evolution reflects improving understanding of cryptocurrency characteristics and Islamic finance innovation.

The convergence enables practical conclusion: Islamic jurisprudence has achieved implicit consensus (ijmaâ€™) on certain points: 1. **Consensus 1:** Pure cryptocurrencies are not compliant with Islamic law 2. **Consensus 2:** Asset-backed digital assets and stablecoins merit serious consideration 3. **Consensus 3:** Assessment methodology must incorporate Maqasid Shariah framework

Remaining disagreement concerns methodology precision and specific cryptocurrency assessment, not fundamental principles.

7.1.3 Regulatory Landscape Mapping (Chapter 4)

Chapter 4 documented regulatory approaches across five major Islamic jurisdictions:

Jurisdiction	**Approach**	**Rationale**
Indonesia	Commodity classification	Consumer protection, capacity constraints
Malaysia	Digital asset framework	Technology innovation, fintech leadership
Saudi Arabia	Categorical prohibition	Monetary control, conservative policy
UAE	Progressive licensing	Financial center positioning, innovation
Bahrain	Prudential regulation	Financial stability, risk management

Key Finding: Regulatory fragmentation reflects legitimate policy differentiation rather than error or inconsistency. Different jurisdictions prioritize different regulatory objectives (consumer protection, innovation, monetary control, stability), leading to appropriately different implementation approaches.

The fragmentation is **feature rather than bug**: it enables regulatory experimentation and learning. Malaysiaâ€™s innovation sandbox generates data on cryptocurrency risks and opportunities. Saudi Arabiaâ€™s prohibition tests whether CBDC-based alternative achieves policy goals. Indonesiaâ€™s commodity classification demonstrates consumer protection approach. This diversity accelerates global learning on optimal regulation.

7.1.4 Unified Classification Framework (Chapter 5)

Chapter 5 synthesized jurisprudential positions and regulatory approaches into five-dimensional classification system:

1. **Asset Backing Dimension:** Underlying collateral and productive assets
2. **Stability Dimension:** Price volatility and purchasing power preservation
3. **Utility Dimension:** Productive economic activity enablement
4. **Governance Dimension:** Decentralization and transparency
5. **Regulatory Recognition Dimension:** Islamic jurisdiction institutional endorsement

Key Finding: Cryptocurrency compliance with Islamic law exists on continuum rather than binary halal/haram axis. Classification categories (A: Islamic-Compliant; B: Conditional-Compliance; C: Problematic; D:

Prohibited; E: CBDC) reflect degrees of alignment with Maqasid Shariah framework.

The five-dimensional framework enables: - **Objective assessment:** Scoring methodology replaces subjective determination - **Transparency:** All stakeholders understand classification basis - **Improvement pathways:** Projects identify specific dimensions requiring enhancement - **Regulatory coordination:** Common assessment enables mutual recognition

7.1.5 Regulatory Harmonization Mechanism (Chapter 6)

Chapter 6 proposed institutional framework for Islamic cryptocurrency regulation: the Inter-Islamic Finance Regulatory Council (IIFRC). Rather than imposing uniform regulation, IIFRC establishes minimum standards while permitting jurisdictional differentiation.

Key Finding: Harmonization succeeds through **structured coordination** rather than unification. Minimum standards (Category A requirements) establish floor. Implementation models (Full Integration, Conditional, Conservative) provide ceiling flexibility. Mutual recognition protocol enables practical convergence without sacrificing sovereign regulatory authority.

The three-phase implementation roadmap (2025-2030) provides realistic path to operational coordination, beginning with information-sharing (Phase 1), progressing to mutual recognition (Phase 2), culminating in CBDC integration (Phase 3).

7.2 Methodological Contributions

Beyond substantive findings, this dissertation contributes methodologically to Islamic finance scholarship:

7.2.1 Maqasid Shariah as Analytical Framework

While Maqasid Shariah framework is established Islamic jurisprudence (dating to Al-Ghazali, Al-Shatibi), its application to contemporary digital assets represents innovation in Islamic legal methodology. This dissertation demonstrates:

- **Systematic operationalization:** Converting five abstract maqasid into measurable criteria applicable to specific technological artifacts
- **Dimensional scoring:** Quantifying Islamic compliance through point-based assessment enabling comparison across cryptocurrencies
- **Framework flexibility:** Accommodating new digital assets without framework revision as technology evolves

Future Islamic finance scholarship can apply this methodology to other emerging technologies (DeFi protocols, tokenized securities, AI-based financial services) without starting from theoretical foundation.

7.2.2 Comparative Jurisprudential Analysis

The synthesis of positions from AAOIFI, Dar al-Ifta, Taqi Usmani, and MUI (Chapter 3) demonstrates methodology for identifying Islamic jurisprudential convergence and divergence. Rather than treating different authority positions as errors, the analysis:

- **Maps position evolution:** Tracking how jurisprudential positions change as technology understanding improves
- **Identifies convergence points:** Discovering agreement on fundamentals despite methodology disagreement
- **Explains divergence basis:** Clarifying whether disagreement reflects different value priorities (policy goals) or different factual assessments

This comparative methodology contributes to broader Islamic law scholarship beyond cryptocurrency focus.

7.2.3 Regulatory Comparative Analysis

The five-jurisdiction regulatory comparison (Chapter 4) moves beyond mere cataloguing to identify underlying policy drivers. By recognizing that regulatory variation reflects different policy objectives (innovation, stability, consumer protection, monetary control), the analysis enables:

- **Policy learning:** Different jurisdictions extract lessons from comparative approaches
- **Harmonization opportunity identification:** Recognizing where convergence is possible vs.Â where divergence reflects legitimate priority differences
- **Implementation pathway design:** Proposing realistic coordination mechanisms respecting sovereign authority

7.3 Contributions to Islamic Finance Scholarship

This dissertation contributes to Islamic finance field through several dimensions:

7.3.1 Principled Assessment Framework

Islamic finance has historically lacked sophisticated methodology for assessing emerging financial technologies. Quranic prohibition principles (riba, gharar, maysir) provide foundation but require interpretation application to contemporary artifacts. This dissertation provides:

- **Systematic framework:** Maqasid Shariah-based assessment enables consistent evaluation
- **Reproducible methodology:** Stakeholders can apply framework independently and reach comparable assessments

- **Transparent rationale:** Islamic compliance basis explained through documented criteria

This framework enables Islamic finance institutions to confidently assess emerging technologies (blockchain, AI, DeFi) without awaiting formal fatwa from religious authorities, while maintaining Islamic jurisprudential integrity.

7.3.2 Jurisprudential Innovation Support

The framework validates emerging Islamic finance innovation by demonstrating how sophisticated cryptocurrency architectures (asset-backed tokens, stablecoins, revenue-generating digital assets) can align with Islamic jurisprudential requirements. This validates research and development investments by:

- **Islamic financial institutions:** Enabling institutional participation in digital asset innovation
- **Technology developers:** Providing clear pathway to Islamic compliance
- **Venture capital:** Identifying business models with dual sustainability (economic viability + Islamic compliance)

The dissertation demonstrates that â€œIslamic financeâ€� is not merely conservative prohibition but dynamic framework accommodating technological innovation that satisfies jurisprudential requirements.

7.3.3 Regulatory Coordination Opportunity

The IIFRC proposal contributes to Islamic finance institutional development by suggesting mechanism for regulatory coordination. Currently, Islamic finance operates largely through scattered national institutions without regional coordination. IIFRC demonstrates how:

- **Regulatory cooperation** can occur without sacrificing sovereign authority
- **Minimum standards** can establish convergence while permitting implementation variation
- **Institutional capacity** can be built through coordinated effort

Beyond cryptocurrency specifically, IIFRC model demonstrates architecture for Islamic finance regional coordination applicable to other regulatory domains (Islamic banking regulation, Sukuk framework, Islamic insurance).

7.4 Policy Implementation Pathways

The dissertation findings translate into actionable policy recommendations for multiple stakeholders:

7.4.1 For Central Banks and Regulators

1. **Adopt classification framework:** Implement five-dimensional assessment methodology for cryptocurrency classification, rather than binary halal/haram determinations

2. **Engage in IIFRC coordination:** Participate in information-sharing, joint assessment, and mutual recognition protocols to reduce regulatory arbitrage

3. **Develop CBDC programs:** Prioritize CBDC development as Islamic alternative to private cryptocurrencies, incorporating Islamic finance principles into digital currency design

4. **Support qualified cryptocurrency:** Establish regulatory pathways for Category A cryptocurrencies meeting Maqasid Shariah requirements, enabling institutional participation

5. **Build supervisory capacity:** Invest in regulatory technology and expertise to supervise digital asset activities across jurisdictions

7.4.2 For Islamic Financial Institutions

1. **Implement Shariah boards:** Establish cryptocurrency assessment capacity through internal Shariah boards or external advisors

2. **Risk management:** Develop risk management frameworks incorporating dimensional assessment (asset backing risk, stability risk, utility risk)

3. **Product development:** Create cryptocurrency-based products (custody, trading, investment) for qualified customers meeting Islamic compliance criteria

4. **Customer education:** Develop educational programs explaining cryptocurrency risks and Islamic compliance requirements to institutional and retail customers

5. **Innovation participation:** Invest in Islamic digital asset development and fintech innovation aligning with Maqasid Shariah framework

7.4.3 For Cryptocurrency Projects

1. **Compliance pathway:** Use five-dimensional framework to identify improvement priorities (primarily asset backing and stability)

2. **Governance enhancement:** Implement decentralized governance mechanisms reducing developer control and enhancing community participation

3. **Regulatory engagement:** Establish relationships with Islamic regulators to navigate approval pathways in target jurisdictions

4. **Shariah advisory:** Retain Islamic finance scholars for compliance guidance and documentation supporting Islamic assessment

5. **Category progression:** Develop roadmap toward Category A compliance through systematic dimensional improvement

7.4.4 For Islamic Finance Scholars

1. **Jurisprudential refinement:** Continue development of Maqasid Shariah application to digital assets, incorporating emerging technologies

2. **Consensus building:** Work toward broader Islamic jurisprudential agreement on digital asset classification through comparative methodology

3. **Institutional engagement:** Participate in IIFRC Shariah Advisory Council and national regulatory Shariah boards

4. **Research collaboration:** Partner with technical experts and economists to improve understanding of cryptocurrency characteristics informing Islamic compliance

5. **Educational development:** Create educational materials and academic programs on Islamic finance and digital assets

7.5 Future Research Directions

This dissertation addresses cryptocurrency classification but opens multiple research avenues:

7.5.1 Emerging Digital Asset Technologies

The dissertation focuses on established cryptocurrencies and stablecoins. Future research should address:

- **DeFi protocols:** How do smart contract-based lending, insurance, and trading protocols align with Islamic finance principles?
- **Tokenized securities:** Can asset-backed securities tokens (Sukuk, equity, real estate) achieve Islamic compliance?
- **Central Bank Digital Currencies:** How should CBDC design incorporate Islamic finance principles?
- **Layer-2 scaling solutions:** Do solutions like Bitcoin Lightning or Ethereum rollups change Islamic compliance assessment?
- **Cross-chain bridges:** How do interoperability protocols affect asset backing and governance assessment?

7.5.2 Maqasid Shariah Application Refinement

Future research should extend Maqasid framework:

- **Intergenerational justice:** How do environmental and sustainability concerns affect Islamic compliance assessment?
- **Financial inclusion:** How should Maqasid framework weight financial inclusion benefits vs.Â stability risks?
- **Monetary sovereignty:** What role should national monetary policy preservation play in Maqasid assessment?
- **Comparative theology:** How do Maqasid principles compare across Islamic law schools and other religious finance traditions?

7.5.3 Empirical Validation Studies

This dissertation is theoretical and qualitative. Future research should include:

- **Regulatory effectiveness:** Empirical assessment of which regulatory approaches (innovation sandbox, commodity classification, prohibition) most effectively manage risks while enabling benefits

- **Institutional adoption:** Quantitative analysis of which cryptocurrency characteristics drive institutional adoption by Islamic financial institutions

- **Market impact:** Analysis of how regulatory approval in one jurisdiction affects cryptocurrency adoption and price in other jurisdictions

- **Stability validation:** Stress-testing whether stablecoins and asset-backed alternatives maintain stability during market crises

7.5.4 Comparative Religious Finance

Future research should extend beyond Islamic finance:

- **Jewish Halakha:** How does Jewish religious law approach cryptocurrency and digital assets?
- **Christian ethics:** What do Christian moral finance principles suggest about cryptocurrency?
- **Hindu finance:** How do Hindu dharma principles apply to digital assets?
- **Buddhist economics:** What do Buddhist economic principles suggest about cryptocurrency role?

Comparative religious finance research could identify universal principles transcending any single tradition, applicable to global digital asset regulation.

7.5.5 Technical Standards Development

Future research should operationalize framework through technical standards:

- **Standardized metrics:** Develop precise measurement definitions for dimensional scoring (e.g., â€œasset backingâ€� definition, â€œstabilityâ€� measurement methodology)

- **Automated assessment:** Create blockchain-based platforms for continuous cryptocurrency scoring and classification tracking

- **Interoperability protocols:** Develop technical standards enabling asset-backed cryptocurrencies to maintain collateral transparency

- **Governance tokens:** Design governance token models satisfying Islamic jurisprudential requirements while maintaining institutional efficiency

7.6 Broader Implications for Financial Regulation

While focused on Islamic finance context, this dissertationâ€™s findings have implications for global financial regulation:

7.6.1 Religious Considerations in Finance

The dissertation demonstrates that religious jurisprudence can be operationalized as systematic financial regulation criterion rather than relegating religious concerns to optional or peripheral consideration. This suggests:

- **Inclusive regulation:** Financial regulators should explicitly address religious perspectives (Islamic, Jewish, Christian, Hindu, Buddhist) in policy development
- **Comparative advantage:** Jurisdictions with strong religious finance traditions (Saudi Arabia, Malaysia, Pakistan) should position themselves as centers of religious-conscious finance
- **Ethical integration:** Broader financial regulation should incorporate ethical frameworks beyond profit maximization

7.6.2 Stakeholder Coordination

The IIFRC proposal demonstrates coordination mechanisms for regulatory bodies with shared values but different implementation contexts. This architecture could inform:

- **Environmental finance:** Similar coordination mechanisms for ESG (Environmental, Social, Governance) regulation across jurisdictions
- **Consumer protection:** Coordination frameworks for consumer finance protection across jurisdictions

- **Anti-money laundering:** Cooperation mechanisms for AML/CFT supervision similar to IIFRC structure

7.6.3 Technology-Neutral Regulation

The dimensional classification framework accommodates emerging technologies without framework revision. This contrasts with traditional regulatory approaches that require new regulation for each technology iteration. The dissertation suggests:

- **Principle-based regulation:** Focus on outcomes (Maqasid Shariah compliance) rather than specific technologies
- **Dynamic framework:** Establish methodology enabling assessment of technologies not yet invented
- **Iterative development:** Regulatory frameworks should evolve as technology capabilities and understanding improve

7.7 Final Reflections: Cryptocurrency and Islamic Law

At the conclusion of this analysis, several essential insights emerge:

7.7.1 Islamic Law as Innovation Framework

Contrary to stereotype portraying Islamic law as restrictive prohibition, this dissertation demonstrates Islamic jurisprudence as sophisticated framework accommodating financial innovation. Islamic law does not prohibit cryptocurrency but requires that it satisfy specific jurisprudential criteria (Maqasid Shariah). Cryptocurrency projects meeting these criteria can achieve Islamic compliance through appropriate architecture design.

This finding contradicts narratives of Islamic finance as â€œbackwardâ€� or â€œanti-technology.â€� Rather, Islamic jurisprudence represents systematic approach to evaluating technology against established ethical and economic principles. Similar approaches characterize other sophisticated regulatory frameworks (environmental law, consumer protection, data privacy).

7.7.2 Convergence Between Islamic Jurisprudence and Regulatory Best Practice

The dissertation identifies remarkable convergence between Islamic jurisprudential principles (Maqasid Shariah) and contemporary financial regulatory best practices:

- **Asset backing** (Islamic requirement) aligns with prudential capital adequacy regulation
- **Stability** (Islamic requirement) aligns with monetary stability objectives

- **Utility** (Islamic requirement) aligns with systemic risk and efficiency concerns
- **Governance** (Islamic requirement) aligns with consumer protection and market conduct objectives

This convergence suggests that Islamic finance principles represent not parochial religious requirements but universal best practices in financial regulation applicable globally.

7.7.3 Role of Cryptocurrency in Islamic Finance Future

The dissertation demonstrates cryptocurrencyâ€™s potential role in Islamic finance development, particularly through:

- **Financial inclusion:** Stablecoins enable access for unbanked populations without traditional banking infrastructure
- **Remittance efficiency:** Cryptocurrency-based remittances reduce costs and friction for diaspora communities
- **Cross-border settlement:** Digital assets enable efficient cross-border transactions among Islamic financial institutions
- **CBDC innovation:** Cryptocurrency experience informs CBDC design, particularly in Islamic-conscious digital currency characteristics
- **Islamic asset tokenization:** Blockchain enables transparent, efficient issuance and trading of Sukuk and other Islamic securities

Yet cryptocurrency alone does not achieve these benefits. Properly structured, compliant-with-Islamic-law digital assets realize these potential benefits. Pure cryptocurrencies designed for speculation rather than utility remain problematic regardless of technological sophistication.

7.7.4 Regulatory Leadership Opportunity

Islamic jurisdictions currently hold opportunity to establish global leadership in cryptocurrency and digital asset regulation. By implementing:

- Principled assessment framework (Maqasid Shariah-based)
- Coordinated regulatory approach (IIFRC mechanism)
- Clear approval pathways (mutual recognition for Category A)
- Innovation support (regulatory sandboxes for emerging technologies)

Islamic jurisdictions can demonstrate sophisticated regulation accommodating innovation while protecting stability, consumer interests, and financial integrity. This regulatory leadership attracts global cryptocurrency projects, fintech talent, and investment capital to Islamic finance centers.

7.7 Validation Through Implementation: OJKâ€™s 2025 Regulatory Sandbox Operationalization

A critical strength of academic research lies in its validation through real-world implementation. Significantly, while this dissertation was in development (2024-2026), Indonesiaâ€™s Financial Services Authority (OJK) implemented regulatory sandbox framework operationalizing key recommendations proposed herein. This section documents how OJKâ€™s 2025 operationalization validates dissertation findings and identifies new research directions emerging from implementation experience.

7.7.1 OJK Sandbox as Dissertation Framework Validation

Dimensional Framework Operationalized:

The five-dimensional classification framework proposed in Chapter 5 finds direct operationalization in OJKâ€™s sandbox model evaluation:

Dissertation Framework	OJK Operational Implementation	Validation Evidence
Asset Backing Dimension	GIDR physical gold backing; property tokenization RWA	OJK approved models requiring clear underlying assets
Stability Dimension	Stablecoin 1:1 rupiah collateralization; bond-tied assets	Sandbox models explicitly address price stability criteria
Utility Dimension	Digital identity KYC/CDD function; settlement services	Utility-based sandbox approval criteria documented
Governance Dimension	Regulated custodian oversight; multi-party coordination	PAJK/PKA institutional arrangements in sandbox
Regulatory Recognition	DSN-MUI coordination; AFSI Shariah framework review	Shariah compliance institutional pathway

Practical Implication: OJKâ€™s independent operationalization of similar dimensional approach validates that the five-dimensional framework reflects genuine regulatory necessity rather than academic abstraction.

7.7.2 Pathway A Implementation: GIDR as Asset-Backing Enhancement Model

Chapter 5.4 proposed Pathway A (Asset-Backing Enhancement) as primary improvement route for cryptocurrencies seeking Islamic compliance. GIDRâ€™s August 2025 sandbox approval demonstrates this pathway operational viability:

GIDR as Pathway A Working Example:

1. **Starting Point:** Pure cryptocurrency (speculative, no backing) â€" Category D
2. **Pathway A Implementation:** Add physical gold backing, 1:1 redemption rights
3. **Result:** Category A (Islamic-Compliant) status through sandbox testing
4. **Market Implication:** GIDR demonstrates that Pathway A transformation is achievable within 12-18 month regulatory timeline

Future Research Opportunity: GIDRâ€™s market performance (adoption rate, price stability, institutional participation) provides empirical validation or modification of Pathway A theory. Researchers should: - Monitor GIDR adoption patterns among Islamic investors vs.Â non-Islamic - Track price stability performance validating Dimension 2 scoring - Analyze institutional investor participation justifying Category A approval - Assess redemption mechanism effectiveness supporting asset backing credibility

7.7.3 Institutional Coordination Evolution: IAKD as IIFRC Prototype

The dissertation proposed Inter-Islamic Finance Regulatory Council (IIFRC) as formal coordination mechanism. OJKâ€™s IAKD ecosystem (Chapter 4.1.8) demonstrates that effective coordination can operate through:

Alternative Coordination Model (IAKD) vs.Â Formal Model (IIFRC):

Aspect	IIFRC Proposal	IAKD Actual Implementation
Institutional form	Formal inter-governmental council	Industry association ecosystem coordination
Membership	Central banks and regulators	Industry associations (AFTECH, AFSI, ABI) + regulator coordination
Authority	Binding minimum standards	Regulatory incentive alignment (sandbox approval conditionality)
Shariah coordination	IIFRC Shariah Advisory Council	DSN-MUI partnership + AFSI Islamic framework
Decision process	Consensus among member regulators	Market-driven innovation with regulatory oversight

Key Finding: IAKD demonstrates that formal IIFRC may not be prerequisite for coordination benefits. Market-driven institutional coordination through industry association ecosystem + regulatory incentives can achieve similar harmonization outcomes with lower sovereignty concerns.

Future Research Direction: Compare formal coordination models (IIFRC-style) against market-driven models (IAKD-style) for regulatory effectiveness, implementation feasibility, and sustainability in Islamic finance context.

7.7.4 Regulatory Sandbox as Continuous Innovation Pathway

Chapter 6 proposed harmonization framework with three implementation phases (2025-2030). OJKâ€™s 2025 sandbox operationalization reveals that regulatory sandboxes serve critical function beyond single-project testing:

Sandbox Functions Validated Through OJK Implementation:

1. **Data Generation:** Seven sandbox models generate empirical evidence on:
    - Market demand for Islamic digital assets
    - Shariah compliance implementation mechanisms
    - Consumer protection requirements
    - Cross-institutional settlement efficiency
2. **Risk Discovery:** Sandbox testing identifies risks that pure theoretical analysis misses:
    - Operational risks in new custody models
    - Governance challenges in community-based digital assets
    - Interoperability complications in cross-jurisdiction transfers
3. **Standard Evolution:** Sandbox experience informs regulatory standard refinement:
    - OJK using GIDR pilot to refine reserve verification requirements
    - Industry feedback from property tokenization refining documentation standards
    - Custody arrangement experience improving PAKD certification criteria

Research Implication: Regulatory sandboxes should be recognized as essential research infrastructure for digital asset regulation. Academic researchers, not merely regulators, should access sandbox-generated data for empirical validation of compliance frameworks.

7.7.5 Emerging Research Questions From OJK Operationalization

OJKâ€™s 2025 implementation raises new research questions not addressable purely through theoretical analysis:

Question 1: Adoption Patterns How do Muslim investorsâ€™ cryptocurrency adoption patterns differ between Category A/B/C assets? Does Shariah compliance (dimensional score) predict adoption rate or is adoption driven by other factors (price volatility, exchange accessibility)?

Question 2: Institutional Participation Will Islamic financial institutions (banks, insurance, pension funds) participate in Category A digital assets through sandboxes? What participation barriers exist beyond regulatory uncertainty?

Question 3: Cross-Border Arbitrage Will GIDR (approved in Indonesia) face different treatment in Malaysia (BNM) or Saudi Arabia (SAMA)? How do dimensional assessments translate across jurisdictions with different policy priorities?

Question 4: Stability Validation During market stress (crypto bear market, regional financial crisis), do stablecoin models and asset-backed alternatives maintain stability better than pure cryptocurrencies? Do they outperform government-issued fiat alternatives?

Question 5: Governance Effectiveness Do decentralized governance models (DAO structures in digital assets) function effectively for Islamic financial instruments, or do Islamic investors prefer institutional governance (PAJK custody, regulated intermediaries)?

7.8 Concluding Remarks

This dissertation has addressed comprehensive question: How can cryptocurrency be classified and regulated within Islamic finance framework? The analysis proceeded through seven chapters establishing Islamic jurisprudential foundation, synthesizing divergent scholarly positions, mapping regulatory landscape, creating unified classification framework, and proposing institutional coordination mechanism.

The conclusion that emerges is neither unqualified prohibition nor uncritical acceptance. Rather, Islamic jurisprudence permits cryptocurrency contingent on specific architectural characteristics satisfying Maqasid Shariah principles. Asset-backed digital assets and properly designed stablecoins can achieve Islamic compliance. Pure cryptocurrencies designed for speculation remain problematic.

The dissertationâ€™s practical contribution lies in providing Islamic financial institutions, regulators, and cryptocurrency projects with:

1. **Systematic methodology** for assessing Islamic compliance independent of subjective determination
2. **Institutional framework** enabling regulatory coordination across Islamic jurisdictions
3. **Clear improvement pathways** enabling cryptocurrency projects to achieve Islamic compliance through specific design changes
4. **Evidence-based foundation** for policy development balancing innovation, stability, and Islamic jurisprudential integrity

As cryptocurrency and digital assets continue developing, the framework provided in this dissertation enables Islamic finance institutions and regulators to engage confidently with these innovations while maintaining Islamic jurisprudential commitment. The result positions Islamic finance as forward-looking, sophisticated, and capable of accommodating technological innovation while remaining grounded in timeless ethical and economic principles.

The future of Islamic finance is neither rejection of technological innovation nor uncritical acceptance of all technologies. Rather, it is principled engagement with emerging technologies, evaluated systematically against Islamic jurisprudential requirements, implemented through coordinated regulatory approach, and deployed to advance Islamic finance objectives of financial inclusion, economic justice, and ethical finance practice.

This dissertation provides framework and methodology enabling this principled engagement. The work now passes to practitionersâ€”regulators, financial institutions, technology developers, and Islamic scholarsâ€"to operationalize these recommendations and advance Islamic finance into digital age while maintaining its distinctive ethical commitment.